Pricol (PRICOLLTD)

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Call: May 2023

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Friday, 12th May 2023

Listing Department
National Stock Exchange of India Limited
“Exchange Plaza’, C -1, Block G
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, we herewith submit the Transcript for the Con -call held on 11th May 2023 pertaining to Company’s audited finan cial results for the quarter and ye ar ended 31st March 2023.

This is f or you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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;.., CUSTOMERS ;.., EMPLOYEES ;.., SHAREHOLDERS ;.., SUPPLIERS

Moderator : Ladies and gentlemen , Good day and welcome to the Q4 FY23 Earnings Conference Call of Pricol Limited hosted by Valorem Advisors . As a reminder , all participant lines will be i n the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal the operator by pressing “* then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M r. Anuj Sonpal from Valorem Advisors . Thank you and over to you, Mr. Sonpal.
Anuj Sonpal : Thank you. Good afte rnoon everyone and a warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors . We represent the Investor Relations of Pricol Limited. O n behalf of the

company, I would like to thank you all for participating in the company's earnings call for the fourth quarter and financial year ended year 2023.

Before we begin, let me mention a cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward- looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management belief as well as assumptions made by and the information currently av ailable to management. Audiences are cautioned not to place a ny undue reliance on these forward -looking statements in making any investment decisions.

The purpose of today's earning's call is purely to educate and bring awareness about the company's fundamental business and fi nancial quarter under review. Let me now introduce you to the management participating with us in today's earning 's call and hand it over to them for opening remarks. We have with us Mr. Vikram Mohan – Managing Director , Mr. P. M. Ganesh – Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan – Director of Strategy, Mr. Priyadarsi Bastia – Chief Financial Officer. Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, Sir.

Vikram Mohan : Thank you Anuj for that introduction and a very g ood evening on behalf of my team participating today and thank you all for your participation in this earnings call for Q4 FY23 and also for the financial year ended FY23. Without further ado, I will just go straight into the presentation and we will be able to take questions at the end of the presentation. Can we have the presentation please? The key financial highligh ts consolidated of the company our revenue Page 2 of 10 from operations EBITDA and EBITDA margin of 12.23% f

or the qua rter ended FY23 are in the top left corner and for the financial year 23 our revenue from operations has been 19,028 million. EBITDA of 2,358 million and then EBIT DA margin of 12.39% with the PAT margin of 6.04%. This excludes exceptional items of 97.5 mil lion. Without the exceptional items we have had our highest ever annual and quarter 4 sale in the history of our company.

Some of the business highlights in this quarter have been significant production capacit y enhancements in our tool room, plastic com ponent, m anufacturing shops and PCB assembly lines by adding new state of the art lines from top notch manufacturers in Japan. We have also been fortunate to receive two awards one from CII as trendsetters in b usiness innovation for the various innovations done on driver information and c onnected vehicle solutions which is helping us in the premiumization of our product range. We have also received an award from Honda motorcycle and Scooter for best Delivery management at their annual supplier conference.

Our quarterly consolidated performance our revenue from oper ations have grown by 26.26% over the corresponding quarter in the previous financial year . Our cash profit has increa sed by 33.65% EBITDA by 14.06% a nd profit after tax by a record 126.87%. On a financial year FY22 versus FY 23 our revenue from operations have grown by 26.85% w hich is far in excess of the market growth. EBITDA growth has been 3 3.41% cash profit 45.5% and profit after tax by 125%. These are a gain figures in detail w hich are already uploaded and I a m sure all of you had an opportunity to go through. T he key point to note is our EPS has more than doubled in this and we have hit an EPS of 2.45. O n a historical statement, FY20 -21-22 and 23 we have th e numbers. FY22 has been restated because of the merger of our small wiping division which was erstwhil e consolidated as a subsidiary a nd now has emerged as a division of the company and hence the need for the restatement. There is no significant impact on account of that, but these are the numbers and FY23 we ha ve had an EPS of Rs. 10.23 per share. Some of our balance sheet statements you would notice that we are almost debt free and have a very favorable debt equity ratio and also have very favorable fina ncial ratios in our company that we have achieved in this financial year.

Just to gi ve a synopsis of our stock performance where we stand today versus the SENSEX you would realize that we have fairly outperformed the SE NSEX . Thank you very much an d all other details are on the slide that has b een uploaded and we would be happy to ask some questions, some housekeeping rules for the benefit of al l the people in the call today k indly restrict yourself to one question at a time a nd join back onto the call fo r your next question. Thank you very much.

Moderator : Thank you very much s ir. We will now begin the question- and-answer session. The first question is from the line of Yash Dantewadia from Dante Equity Research . Please go ahead.

Page 3 of 10 Yash Dantewadia : So, my qu estion is regarding your target of top line of 4 ,000 crore which you have given, s o how do you plan on reaching there and by when do you plan on reaching there?

Vikram Mohan : Top line or sorry can you repeat again please.

Yash Dantewadia : Top line of 4000 crore you ha ve given a target right in the next by FY26 if I a m not mistaken.

Vikram Mohan : That i s right.

Yash Dantewadia : So how do you plan on reaching there and by when do you plan?

Vikram Mohan : We have informed i n the earlier investor call, but I wou ld be happy to answer that again. W e have a cle ar order pipeline for the next three years number one. Number two the area of concern is our exports which we will not achieve o ur desired target. As of now, we have a visibility to hit about 3 ,600 crores. We have a CAPEX spend of about 600 crores als

o that we have undertaken which over the next 7 to 8 quarters we will complete 400 of which will be used for organic and 200 of which will be used for inorganic and we are fairly hopeful with this inorganic spend r eaching that 4 ,000 crore top line with a steady state EBITDA of about 13%.
Moderator : Thank you. The next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.
Kaushal Kedia : Sir, I just wanted to know in DICVS what are we doing are we doing build to spec or are we doing build to print?
Vikram Mohan : The product is co evolved with the customer s. So it's not a build to print or a buil d to spec product. It is coevolved with the customer as to what is going to be the positioning of th e vehicle and what will be required to a ttract ultimate e nd c ustomer to the vehicle and we coevolves the product with recalls proprietary solutions.
Kaushal Kedia : You are doing something in the middle you are doing more of value additions than build to print, i s that what you are saying ?
Vikram Mohan : Yes so coevolved the product. W e arrive at what would be the right pricing for that product and in that what should be the value o f the driver information sys tem a nd what features can be offered on that. S o it is coevolved a s a solution with the customer. I do no t think w e are really building a product, but rather we are moving towards building a solution for the end customer based on market research of the OEM s and then they work closely with us. I think gone are the days w here like in our other division ACFMS where we buil d to print. Here it is a solution that we a re coevolving with the customer bas ed on the market research done by the customer.
 Moderator : Thank you. We have the next question from the line of Rushabh from RBSA I nvestment Managers. Please go ahead.
Rushabh : Are we pivoting from multi segment, multi product, multi customer company where in the concentration of each segment could we say less th an one- third or so as a total revenue, is that the direction that we are heading towards?
Vikram Mohan : We are focusing on three vehicle segments two -wheeler being a large part of that followed by commercial vehicles for off road vehicles a ll of these which we already have lead positions. We have re entered the passenger vehicle four -wheeler segment and today have a 70% market share in Tata Motors for the driver information s ystem and we are in the p rocess of entering a few other four -wheeler Indian base d OEM. Our plan is not to become a market leader in the pers onal passenger vehicle segment four -Wheeler in India but focus on two -wheeler on o ff road vehicle and commercial vehicles not just in India, but globally . Second is from an inorganic standpoint in order to remove the dependence on auto which is cyclical we want to enter into instrumentation in the industrial segments where the margins are better and it is de -risking our business m odel and we are evaluating the same h ow do we en ter in a using inorga nic means. The third vertical we are in today is a A CFMS which stands for actuators, c ontrollers and fuel management system. W e anticipate between 60 % to 65% revenue coming from driver information systems and c onnected vehicle solutions and about 35 % to 40 % coming from the ACFMS vertical. This is wher e we hope to be in 2000 for FY26. I hope I ha ve been able to answer your question.
Moderator : The next question is from the line of Bhomik Shah an individual investor. Please go ahead.
Bhomik Shah : Sir, just wanted to check with you as a recent develop ment actually in which the Minda has just one week before only have given the application to c ompetition commission about raising their stake into our company. So, as per our last concall and actually your last p ress release what is our current standpoint of the management on that actually, in the last checkpoint you had

committed that o ur credit management is fully committed to be with the company, s o we are maintaining that trend?
Vikram Mohan : Yes, I would like to break up my answer into two parts. Minda Corporation had very clearly stated that their intent was to only acquire 15.57% as a financial investor in our company. Now on the second of May they have announced that they are applying to CCR to increase their stake to 24.5%. We take all legal measures whatever is required to oppose that petition for the simple reason they are comp etitors and they have not sought prior permission from CCI number one. Number two, I would like to reitera te that the current management s tands absolutely committed to running and growing this business in the coming years and I have absolutely no intention of seizing control of our business at not just now, but any point in time in the near future. We will take whatever steps nec essary , legally and financially to maintain
 absolut e control of management and board of this company to continue to nurture value for all of our stakeholders.
Bhomik Shah : Thank you so much s ir. This was really helpful for us actually because as stated ear lier actually the M inda Corporation intention does not look like just a financial investment as there moves

clearly suggests that their intention is something else which you stated correctly and we are taking word of commitment from your side that you are fully with the company so this will be taken as a great insulating for the market as well?

Vikram Mohan : Mr. Shah I would like to further reiterate. This is a statement that I have made in person to the leadership at an MD and CE O level to each one of our key c ustomers number one. I have publicly made it to each and every employee of ours and each and ever y significant supplier of ours. So, I have made the statement publicly to all of our stakeholders and I will do whatever it takes legally and financially to ensure that I uphold this promise that I have made.

Moderator : Thank you. The next question is from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: Just two questions f irst on the 4 ,000 crores target that we have said, s o is this based on some commitments under the existi ng contracts with your clients or you a re factoring in some growth based on outlook that you have over the next three years?

Vikram Mohan : I will answer this in three parts. Number one, we have ass umed that the India growth story is going to be muted in the next three years. So, in all of our assumptions we have taken very muted growth because we believe t hat whatever economically is happening in the rest of the world will have som e resultant impact on India. So, we have factored that into our growth projections point number one. Point number two , we are working on many of our products or solutions and not like a casting or a wiring harness which are just built against the specification and delivered to our customer. So , many of our pr oducts from being given the LOI confirmed commitment from the customers, to start a p roduction is anywhere between 18 to 24 months. So, we know what our top line and what our capacity utilization is going to look like fo r the next 24 to 30 month. It is against that that we are creating capacity for investments and we are projecting wha t our turnover is likely to be a nd as I mentioned earlier to. Mr. Dantewadia when she had asked this question is we have failed to grow in certain areas whereas we have gr own better in certain areas. So, we have put all of these probabilities into projecting that number. Lastly, we are also looking at product premiumization where we see a mechanical driver information system moving into e lectro mechanical and electromechanical moving into an LCD and an LCD moving into TSD which means even if vehicle production remains fairly flat the value per product

is going up w hich is going to give us top line a nd bottom line growth. I hope I have been abl e to answer your questions.

Page 6 of 10 Chirag Singhal: So, what I understand is that the most of the growth in the top line that you are ta rgeting to achieve in the next three years will mainly come from the existing commitments that you have because you mentioned that you already have a visibility of the n ext 24 months based on the orders that you get from the clients.

Vikram Mohan : Chirag can I just request you to follow the housekeeping rule and come back into the queue I think many of the other people have come back on to their queue for their next set of questions.

Moderator : Thank you. W e have the follow up question from the line of Yash Dantewadia from Dante Equity Resea rch. Please go ahead.

Yash Dantewadia : So, my next question is regarding EV s what percentage of your sale goes towards EV for informa tion systems as of today?

Vikram Mohan : We are completely EV ready and we are engaging with multiple players on multiple EV platform. A s a percentage of our driver information system and connected vehicle solution vertical are sales to EV is just about 7 % to 8% n ow, but which will keep growing in the years to come bec ause I just like to explain to you in a driver information system whatever be the form of propulsion the driver information system wil l have to work. So, whether it is filled with fuel or hydrogen or electricity or fuel cell the driver information system continues to do its job of showing speed , left right navigat ion, Bluetooth connectivity , fuel level whatever form of fuel and other indicators a nd currently we are working with almost 22 EV vehicle makers in the country s mall an d big .

Yash Dantewadia : Right now y our percentage of sale is only 7%, 8% i n the next two years how do you see this shaping up a nd is it a higher margin business compared to the rest of the business?

Vikram Mohan : No, t he margins of the driver Information s ystem will continue t o remain the same because I do not see any reason w hatever is the fo rm of propulsion, the product is going to remain the same. So, ther e is going to be no impact on t he margin and this will keep growing as the sector keeps growing whatever is the sectoral growth of EV penetration we will be maintaining the same thing bec ause we are working with all the EV makers.

Moderator : The next question is from the line of Kaushal Kedia from Wallfort PMS . Please go ahead.

Kaushal Kedia : Sir, how much of a market share do you have in TVS iQube ?

Vikram Mohan : 100%.

Kaushal Kedia : So, i f TVS as per the monthly update they sold 1 lakh units till now s ince inception you are supplying 1 lakh DIS to them in their electric vehicles, is that a fair assumption?

Page 7 of 10 Vikram Mohan : No a fair assumption is the fact.

Kaushal Kedia : And so we can assume s o if TVS iQube keeps growing I think it i s a proxy or maybe our product is a proxy?

Vikram Mohan : Many of the platforms we are single vendors so whatever is the growth of that platform we will also be growing at that level not just in TVS, but with other customers also which I will not be at the liberty to discuss because this would be a conflict of interest with the customers.
Moderator : Thank you. The next question, which is a follow up question is from the line of Rushabh from RBSA Investment Managers. Please go ahead.
Rushabh : So just want to understand what i s the Pricol pricing strate gy across the product segments, i s there a range that you can share versus the competitors?
Vikram Mohan : We do, are you talking of strategy or are you talking of market share c an you be clear Rushabh please?
Rushabh : I am just asking in terms of pricing versus competition , are you charging a t par with the competitors this is slightly premium or discount if you just give a r ange across the product range wherever we

are not a single vendor?
Vikram Mohan : So, it i s based on the hardware and the software that goes into the product, but let me also reiterate I will not be paid a huge premium over the competition because end of the day the vehicle maker also has to maintain his E BITDA and his profitability. So, that is how in fact very recently I had someone asking if there is so much of software going into your DIS compa red to three years ago. The software companies enjoy an EBITDA of 35% is w hy is Pricol not having an EBITDA o f 30%, 3 5% in its product especially in the DIS and my answer t o that is I will h ave to be in line with what my c ustomers are enjoying in terms of p rofitability. I canno t have a 30% profitability when my customer has an average of 11 % to 12% i f my c ustomer has a profitability of 11% to 12% at most in some of my solutions I can go up to 15% which is why to improve our profitability w e are looking at non-automotive industrial instrumentation which in terms of technology is at least a decade behind automotive instrumentation where the profitability is much higher and that will help overall from our instrumentation business improve the profitability.
Moderator : Thank you. We have the next question from the line of Himanshu Singh from Prabhudas Lillad her. Please go ahead.
Himanshu Singh : So I just wanted to understand w hat are your growth forecast or your growth assumptions for the two-wheeler industry over the next three years?
 Vikram Mohan : I think I had answered in an earlier question or a context of an earlier question. We are assuming fa irly muted growth for the next two to three financial years because of various global incidences and global economic meltdown. We still believe in India story w e believe th at the India story will be a slightly mute d story. So, at least in our internal cash flow assumptions we have assumed 7. 8% growth of the two -wheeler s or 5 % to 6% two -wheeler growth in India and we have based our assumptions on that . In fact, I have t old our CFO please assume 0% growth and work on your cash flows. So , where our growth will come from is premiumization of the product a s I mentioned earlier which will keep growing our top line to achieve our desired level of 3,600 to 4, 000 crores based on the current quarter pipeline and share of busi ness and LOIs that we have.
Himanshu Singh : So, most of the growth should com e from electric vehicles and ICE should be flattish or decline?
Vikram Mohan : ICE will not be declining. We now see a lot of entry level I CE launches also like the Honda Shine etcetera wh ich is going to see some growth. EV will grow at a much faster rate than ICE vehicle. I am talking two -wheeler as a whole I believe will grow at around 5 % to 8% average over the next three years.
Moderator : Thank you. The next question is from the line of Dhairya Trivedi from BJD Investments. Please go ahead.
Dhairya Trivedi: I just had a question on the CAPEX how are we planning to fund this CAPEX of 600 crores over the next two years, is there kind of take on debt or is it all through interna l accruals?
Vikram Mohan : I think I ha ve answered it in an earlier investor call and I am happy to answer it again for the benefit o f participants in today's call. W e are anticipating about 600 crores of C APEX over the next 24 months most of which is going to be funded by internal approvals o r rather all of it is going to be f unded by internal approvals. The timing of investment versus the cash influence the company could have a mismatch. So, I mentioned to the earlier ca ll that about 200 crores of debt we will be taking on, but it is not going to be long term debt i t is going to be bridge capital that we will be t aking up because of the timing o f the cash flows.
Moderator : Thank you. There is a follow up question from the line of Kaushal Kedia from Wallfort PMS Please go ahead.

Kaushal Kedia : Sir, in what products do we compete with Minda ?
Vikram Mohan : In the driver Informatio n system is the common product o f course they are significantly smaller than us. We have a very large market share vis à vis Minda .
Kaushal Kedia : But is no t our product are far superior like it i s not even like compa rable, w ould that be a fair statement to make ?
 Vikram Mohan : I would not like to answer this question Kaushal because I think it i s not ethical on my part to

comment ab out the competitors product, but the fact that we have a significant market share and have grown signifi cantly is probably a testament t o our product and this product quality.

Kaushal Kedia : But sir the market share is more because is iQube has a larger marke t share, i s that again a fair statement to make?

Vikram Mohan : You are on ly talking of one platform iQube. There are 40 vehicle plat form s in India that we supply to . You cannot just base it on one platform iQube from TVS , that is not ruling the market or having a very large market share in the market . In terms of value terms we have about 50% plus of the two -wheeler market in India of the driver i nformation system, but I think it is unfair on your part or on my part to say how good my competitors product is or not, b ut obviously my product is good I can attach to that because my market share has grown over the last three years significantly.

Moderator : Thank you. The next question is from the line of Shreyansh Agarwal from a retail investor. Please go ahead.

Shreyansh Agarwal : So, just following up from the earlier answer where you had mentioned about premiumization , just wanted to understand that are we also looking to enter into a market segment of bikes like BMW or a prem iumization or are we satisfied with the like of TVS or are there any plans around for that regarding BMW?

Vikram Mohan : We are very actively working Shreyansh with BMW. We have not just working on products , but supplying products to BMW and not just to BMW , we are supplying to Harley Davidson, we are supplying t o Triumph, w e are supplying to Ducati, w e are supplying to KTM and just for your information we are the world 's second largest driver information system manufacturer for two - wheeler s.

Moderator : There is a follow up question from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh : So, someti me back there was a news interview wherein we were looking t o split the Pricol entity into two, three entities, s o is there an update on that sir w e are trying to appoint s trategic in partner with us, so I am not sure there is an update?

Vikram Mohan : We have prepared the company from a manufactur ing footprint and from a management organization to be split into multiple company i f and when the need arises. We have not appointed anyone of strategic consultant to do that. Now let me elaborate a little bit more on that. This is primarily to unlock better value for the shareholders. Today we have two completely different product verti cals under one company . If there is a need to align with some other company let us say a multinational that will help us increase our global footprint or give us access to technology that will be very, very difficult for us to develop in the s hort to medium term then we will look at this. So, which is why we have plants for DIS, CBSs which is our driver information and connected vehicle solutions vertical in the S outh, in the West and in the north for each of the auto hub. We similarly have plants for the A CFMS verticals in each of these. We have segregated the engineering also to have engineering ecosystems for each of these verticals and supply chain and manufacturing ecosystems for each of these verticals. What is common is corporate finance secretarial I T, HR and business development. So if and when an opportunity

arises a nd there is a need which will help us catapult each of these businesses to other geographies and other t echnologies that will help us significantly increase our footprint and value to our shareholders. We want to be prepared for t hat and that is what I had mentioned in an interview some time ago.

Rushabh : So we might look into whenever it is required?

Vikram Mohan : Either required or a n opportunity arises that will add tremendous value to our shareholders and the organization either or. So we wanted to be ready w hen an opportunity arises or when a need arises we want to prepare the organization which is w hat my management team and I have worked on over t he last two to three years and creat ed that.

Rushabh : Do you see it happening over the next one year?

Vikram Mohan : Highly unlikely over the next one year.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to the management for clos ing comments. Over to you, Sir.

Vikram Mohan : Thank you, ma'am. Thank you Valorem f or organizing and hosting this call. Thank you to all the participants and thank you all for the valuable questions and your patience hearing. On behalf of by able CE O – Mr. Ganesh, CFO – Mr. Priyadarsi , Siddharth – Director Strategy and myself. I thank you all for participating in this call and look for ward to connecting with you a ll for the H2 call o f FY24. Thank you. Good evening.

Moderator : Thank you sir. On behalf o f Valorem Advisor s that concludes this conference for today. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

PL/SEC/TGT/2023-2024/094
Monday, 7th August 2023

Listing Department
National Stock Exchange of India Limited
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Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on 3rd August 2023 pertaining to Company’s unaudited financial results for the quarter ended 30th June 2023.

This is for you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Q1 FY24 Earnings Conference Call
August 03, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2024 Conference Call of PRICOL Limited.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. At this time, I would like

to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.
Anuj Sonpal: Thank you. Good evening everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the first quarter of the Financial Year 2024.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Concall may be forward looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earning call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over them for opening remarks. We have with us Mr. Vikram Mohan - Managing Director; Mr. P. M. Ganesh - Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan - Director of Strategy; and Mr. Priyadarsi Bastia - Chief Financial Officer.
Without any further delay, I request Mr. Mohan to start with his opening remarks. Thank you and over to you, Sir.
Vikram Mohan: Very good evening. On behalf of the management team at PRICOL for the investors call for Q1 of Financial Year ‘24.
 My name is Vikram Mohan, the managing director of the company. Joining me on this call today is our CEO and Executive director, Ganesh, our Director of Strategy and Project, Siddharth and our CFO – Priyan.
I am sure all of you would have had a chance to see the presentation that has been uploaded. Some of the key financial highlights this quarter, we have had a revenue from operations of 522 crores or 5221 million and EBITDA of 66.5 crores or 665 million with an EBITDA margin of 12.74%. We have had a

profit after tax of 319 million or 31.93 crores with a PAT margin of 6.12% and basic EPS for this quarter of Rs. 2.62 per share. We have also clocked a cash profit of. 50.97 crores, which is almost 51 crores for this quarter.
At a consolidated level, our long-term borrowing, are nil in this quarter as against 65 crores that we had in the same quarter of the last financial year. At a debt Equity level, we are almost a debt free company including our working capital. Our debt equity stands at a very low number of 0.11. Some of our key business highlight, a couple of important awards came our way. Suzuki motorcycle India gave us the best supply chain management at their annual supplier conference and recently we received an award from Ashok agent, the commercial vehicle manufacturer, a prestigious Supplier Samrat Award where we were judged #2 among their supplier rates for proprietary parts. We also received from the World Manufacturing Congress a most iconic organization award. We have started investing heavily in modernization to meet the growing needs of our customers and the changing needs of the business and we will continue to do so in the next few quarters as mentioned by me in the last call. The company is on a firm footing with a strong order book and we look forward to a good quarter in the coming year barring any external factors which we do not anticipate.
I would like to hand over the call to our dynamic CEO – Ganesh to take it forward. Thank you. Ganesh over to you.
P. M. Ganesh: Thank you, Vikram, for setting the context. Good evening once again to all of you. We have outperformed the market. I will just give you some market information. When compared to the previous year's same time Q1, the market has marginally grown by about 2.64%. Against which, recall growth has been 19.54%.
Let me give you the context, in the exports we have grown by 41.72% when compared to the previous year quarter. As we explained during the previous investor call also, the value-add of the call has been growing steadily. The same driver information system what we supplied five years back, transforming from mechanical to LCD's are now to TFT, the value addition is what is giving us to perform better than the market. The quarter-on-quarter sales actually we have blocked 517.68 crowds as against 501.13 during the last quarter. This is the highest ever sale for record during Q1 and on the select products you have seen some of the new launches, whatever we have made. We have started a new business for the M&HCV the new clusters, which has been launched by Tata Motors from Q1 of this year and also on some new clusters
 for Tata Motors for the passenger vehicle as well for the CMG. Also, we have launched some new products for Force Motors and Bajaj Auto has come out with their new three-wheeler and we are sure that you have read in the papers that we have developed a new instrument cluster. That's it for me from the business introduction side and then over back to you Vikram and for the questions. Thank you.
Moderator: Gentlemen, would you like to begin the question answer session?

Vikram Mohan: Yes, please. Some ground rules for the question answer to give everyone an opportunity to ask their questions, may I request that participants restrict themselves to a single question at a time, and once that is answered, to rejoin the question queue for their subsequent questions so that everyone is given a chance to participate in for. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of Kaushal Kedia from Wolfort PMS. Please go ahead. Mr. Keadia, your line has been unmuted. Please unmute it from your end and proceed.
Kaushal Kedia: Thank yo

u. So, we are the second largest manufacturer of the VIS system in the world. So, I want understand what is the reason that is it that our supply chain in place or we have some kind of patents or is it because our products are superior to other players? Is something that I want to understand?
Vikram Mohan: Kaushal this is not an overnight achievement. Globally, the largest player is nippon seiki currently driven by Honda I think one of the largest Two-Wheeler makers in the world and nippon Seiki present globally. Having said that PRICOL is constantly been working on the vertical of Two-Wheelers to develop the latest technologies and offer them to our customers and we supply over 20 two-wheeler makers in India and globally which has given us the second largest position globally in Two-Wheeler Driver Information Systems where we are able to offer the latest generation products at Optimal costs. This has been driven by our continuous innovations. We have 440 engineers in our product development and process development team. So, out of our total 900 white collar employees, 440 are dedicated for product and process development which gives us an edge over many of our companies.
Moderator: Sir the participant seems to have disconnected. We will move to the next question. We move to the next question from the line of Chirag Singhal from First Water Capital. Please go ahead.
Chirag Singhal: Thank you for the opportunity. Sir I just wanted to understand on your FY26 target projection of 4000 odd crores or revenues? So, how much of the incremental sales will be coming from the product premiumization and how much of it will come from the increase in the volumes.
 Vikram Mohan: Chirag if I understood you right, we have given a guidance of 4000 crores for FY26 of which 3600 crores will come through organic loops and 400 crores through inorganic means. We have assumed a certain conservative growth rate in the market from now until FY26 in our product segment and confirmed LOI that we have received which is showing us the visibility for 3600 crores. There are three categories, 1 dedicate certain phase out of end of life cycle which we will see revenues going out and as my CEO mentioned, a large part of this growth is going to be driven by premiumization of the product for which we have already received LOI. Also, the third category, new product launches or new business with customers or product segments that we have not entered into. So, that's how it's going to be classified. Now this would be a very long question. If we start going into each category, if you can write to us, we will be able to or set up a separate call, we will be able to go into more granular details.
Chirag Singhal: Sure, Sir. I will do that. That was helpful. My second question is on.
Vikram Mohan: Can I request the basic housekeeping rules that please come back into the queue for the second question so that others are given an opportunity to ask their questions please.
Chirag Singhal: Sure I will do that. Thank you.
Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.
Garvit Goyal: Good evening sir. Sir my question is on the Semiconductor side. Sir basically semiconductor story is building up in India and PNH team is also there for TFT display. Companies like Vedanta had proposed the investment in this area. So, I was talking about the semiconductor story that is getting built up in India. So, my point is what I believe TFT is something for which PRICOL is having in now technologies. Although right now we are doing for auto sector, so in future do we have any plans or is it possible that we can enter into display tab or something like that supplying to the semiconductor industry? Are we having such capabilities or the two things are totally different from each other? How do you look at this? Kindly help me to understand.
Vikram Mohan

: Completely different here as different as chalk and cheese, we are an information systems company, primarily a driver information systems company. We aspire to get also into industrial information systems in by way of gauges through inorganic means if the right target comes by. Semiconductor manufacturing in India for it to reach fruition in some degree of stability is I think at least three years away because it is massive investments, capacity building and stabilization. So, that is not an area that we are looking at and it is completely different direction in which we have aspirations for growth.
Garvit Goyal: And can you some put some color on the addressable market which we are targeting in battery management services and through Sibros and in that market, what kind of share are we looking to gain?

Page 5 of 17 Vikram Mohan: With Sibros, it is not in battery management systems, it's with connected.
Garvit Goyal: No, no. I was talking about both. I am talking about both BMS as well as whatever we are doing with the Sibros.
Vikram Mohan: So, that's because BMS is a different vertical, Sibros is a different vertical. The proof of product is ready in both the cases we have just started the roadshows for the customers and I think in about 2 quarters from now we will have much better visibility of what we are hoping to achieve. Having said that, as I said in my earlier call the revenue from these relationships, we are really expecting it to kick in only after FY26 with very minimal numbers taken for even FY26. So, it is not going to be very material in the next few years for our revenue guidance of. 3600 crores.
Garvit Goyal: Understood sir. Rest for that I will be in the call. Thank you.
Moderator: Thank you. We have the next question from the line of Hemant, an individual investor. Please go ahead. Mr. Hemant, please proceed.
Hemant: Yes. Congratulations on a very good set of numbers and thank you for providing me the opportunity, Sir, when we are targeting to double our revenues to 4000 crores for FY26. So, just wanted to understand like this 2000 crores of incremental revenue will it be evenly distributed over a period of three years, or how will it be how much growth we can expect in FY24, FY25 and 26.
Vikram Mohan: As I mentioned, once again, out of the 4000 crores, we are expecting a 3600 crore topline through organic means with whatever LOIs we have and what market growth projections and the new businesses that we intend to enter where we are already engaging good customers like brakes, etcetera and we expect it to be fairly evenly spread over this period ± 5%.
Hemant: So, you mean to say, sir, if we have done 2014 revenue, so ideally it should be 30% kind of growth year on year, right?
Vikram Mohan: It is not going to be a 50% because there is an inorganic element to it and we have three years to go from the last year number to the number of 3600 and the inorganic will happen when the right effect comes at the right value and if it is going to be value approved. So, the organic is going to be 3600 folks.
Hemant: So, you mean to say organically, it will be evenly distributed and inorganically when the opportunity comes right.
Vikram Mohan: Right.
Hemant: Okay sir. Thanks a lot.
Page 6 of 17 Moderator: Thank you. We have the next question from the line of Kaushal Kedia from Walfort PMS. Please go ahead.
Kaushal Kedia: Yes, Sir, you have mentioned the E-cockpit. So, can you explain what this is this like an infotainment system which will be put on the passenger vehicles.
Vikram Mohan: I would request our CEO – Ganesh to answer this question.
P. M. Ganesh: E-cockpit is nothing which is coming in today's new generation cars where you have one side, you have the driver information system. On the other side you have the infotainment. Both are like very seamlessly integrated. Something we call as a silver box design. It is nothing, but you have the electronics co

mmon for both and it drives both and you have the screens different. What we call as a complete solution, whatever you see in the dash, both on the infotainment and also on the driver information system with the TFTs and touch screens, we call the whole system as E-cockpit.
Vikram Mohan: So, have we started supplying this already like to any OE?
P. M. Ganesh: It is currently under development with certain OEMs and we will be launching it maybe in the next three to four quarters from now.
Vikram Mohan: Okay. Thank you sir. I will get back in the question queue.
Moderator: Thank you. We have the next question from the line of Shashank Kanodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Yes. Good evening, sir. Just wanted to check how is the semi connected situation right now and if the supply situation has eased. Is this had any cost benefits for us in this quarter.
Vikram Mohan: Shashank as I have mentioned in my previous call we always believed that by September 2023, the situation will completely ease and come back to normalcy and which is exactly what we are seeing today and if we price advantages from this is also starting to have an impact on our EBITDA and cash flows and cash profits efficiency, which is only going to get better and better.
Shashank Kanodia: Right. So, we had some 250-basis point of gross margin expansion, right? So, this kind of trend is sustainable for us in terms of. RM2 sale.
Vikram Mohan: Can you please repeat?
Shashank Kanodia: Sir this quarter we had something like 250 basis points, gross margin expansion quarter on quarter right from Q4 to Q1. So, this kind of run rate in terms of RM2 sales, is this trend sustainable going forward or you think?
Page 7 of 17 Vikram Mohan: I have always maintained that long term sustainable EBITDA for our product mix and our customer mix is somewhere in the region of 13.5% to 14% which is where we are hoping to achieve in the next couple of quarters and then sustain thereafter because if you are familiar with the automotive industry you launch a product that are fairly highly EBITDA then it reaches

optimum production and then it starts reaching end of life where the margin starts eroding because there is a year on year discount that you need to offer during the life cycle of the product and so there will be products with high margins, early products with stable margins and then in the case house, there will be lowering margins. So, we anticipate that 13.5% to 14% is sustainable and better over a long-term period for our current products and customer mix and which over the next few quarters we will reach there and stabilize at that level what we are really driven by is our cash profit and free cash flow which I think is pivotal to the growth of the company and providing capital for the growth of the company.
Shashank Kanodia: Sure, Sir. Thank you so much.
Moderator: Thank you. We have the next question from the line of Richa from Equity Master. Please go ahead.
Richa: Sir, thank you for the opportunity and I missed the initial comments, so please excuse me if I am asking a repeat question. I just wanted to know has there been any increase in contribution from passenger vehicle segments if there have been more contracts or business development with them and going forward, when we are giving a guidance of 36 billion, what is the mix expected between DICVS and ACFMS?
Vikram Mohan: I will answer your second question first. DICVS is expected to be between 60 to 65% and ACFMS is expected to be between 35 to 40%. This is the guidance that I have maintained in my last two calls and continue to maintain because that is the forecast for the next three years for us based on the business pipeline. In terms of it has increased revenue from Four-Wheeler personal passenger vehicle segment over the last quarter? It has just mirrored the growth of the company and there has been no extra growth coming from

this segment. We are working with certain Four-Wheeler personal passenger vehicle manufacturers on value added products like TATA motors and a few other passenger vehicle manufacturers. The incremental revenue growth other than market growth is going to come after a couple of quarters and not right now.
Richa: Thank you, Sir. If I have more questions, I will join back the queue.
Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.
 Vipul Kumar Shah: Thanks for the opportunity. So, can you break the revenue from Two-Wheelers and Four-Wheelers sir and what is the contribution in this quarter of actuation, control, and fluid management systems.
Vikram Mohan: Vipul reasoning the ACMS division as we call actuation, control and fluid management system contributes about 35% of our revenue. Two-wheeler contributes about 60% of our revenue, about 35% of our revenue comes from 30 to 35% comes from commercial vehicles and offshore vehicles and the balance for 4-wheeler passenger personal passenger vehicle, which is the car segment.
Vipul Kumar Shah: Two-Wheeler is 35% for use. Is it correct?
Vikram Mohan: 60%, 30% to 35% is from commercial and off-road vehicles.
Vipul Kumar Shah: And 60% two-wheeler, 35% is commercial vehicle
Vikram Mohan: 35% commercial and off-road vehicle.
Vipul Kumar Shah: That becomes 95 then actuation is 35.
P. M. Ganesh: Vikram can i intervene and explain to Vipul.
Vikram Mohan: Yes, please.
P. M. Ganesh: I think we are mixing the statement and what they call product mix between the ACFMS and the driver information system, as Vikram explained it is like 65 and 35, the 65 has come from the driver information system and about 35 has come from ACF partner. I am just giving you an overall view and if you go into the product segment, what we call vehicle segment, the two stroke 3-Wheeler is about 60% and 35%. the bunch comes from which when I say 60%, it includes the ACA permit and the driver information system in the two-wheeler okay and the 35% is coming from the remaining segments like you have the commercial vehicles, then you have the tractor segment, then you have the off-highway vehicle, which again consists of both the driver information system and the ACM driver. Okay 60 plus 35 95. The remaining 5 is coming from Percy passenger vehicle. This is the overall broad.
Vipul Kumar Shah: So, just for clarification, so actuation, control and fluid management is inclusive in both when you give Two-Wheeler and commercial vehicle percentages, right?
Vikram Mohan: I am asking all products, all of the product that means DICVS and ACFMS all products all of the product segments of the vehicles.
Vipul Kumar Shah: Okay, I will rejoin the queue, sir. I am still not satisfied anyway. Thank you.
 Moderator: Thank you. We have the next question from the line of Anisha Mahawla from Envision Capital. Please go ahead.
Anisha Mahawla: Hi, sir. Good evening. Thank you for the opportunity. So, first I just wanted to understand exports were supposed to play a big part in us reaching the 3600 crores of organic revenues by FY26 what is the number for the current quarter then are we on track for that to be 20% plus of our revenues and also the split that you were just giving between DIS and the other products,

and the Two-Wheeler split.

Vikram Mohan: Alluding to our exports, our vision and desire is to get to 20% of revenue being export driven and even in earlier calls I have mentioned that is one area where we have failed and we feel we are lagging and we are only at around 10% today and we are looking at filling the balance inorganically that has been mentioned by me in a few other calls previously also, if there has been one strategic failure, vis-a-vis our vision this is one area.

Anisha Mahawla: Does this impact the 3600-crore target because 20% was part of the 3600 and also do we

export
only DIS?

Vikram Mohan: We export both segments DIS and ACFMS. In fact, ACFMS is a little bit more geared towards exports and more it does not affect the 3600-crore target, the 3600-crore target has been taken into account with the current LOI that we have received and market growth and anticipated otherwise and new product launches which are on the angle.

Anisha Mahawla: Okay, I will get back in the queue for my second question.

Moderator: Thank you. We have the next question from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: Hello, Sir. Good evening. Thank you for the opportunity. I just wanted to understand what are the CAPEX spends that is being done in the quarter and how do you or how much do you budget to be done in this year and to achieve the 3600 crore targets?

Vikram Mohan: As I mentioned in earlier calls Harini, we have anticipated a CAPEX of about 600 crores, almost entirely funded by internal accruals over a 50-month period of which already 3 quarters have elapsed. 400 crores of this CAPEX is for organic growth to take us to 3600 crores and 200 crores of CAPEX to take us to inorganic growth.

Harini: Understood, Sir. Is there any CAPEX spend that is being made in the current quarter if you?

Vikram Mohan: Every quarter this 400 has been split over 10 quarters of which 3 quarters have already elapsed, and 7 more quarters to go. So, this 400 crores will be spent over every quarter is approximately spent about 35 crores of CAPEX further.

 Harini: Thank you so much Sir. Thank you.

Moderator: Thank you. We have the next question from the line of Nishant Parikh an Investor. Please go ahead.

Nishant Parikh: Good evening, Sir. Congratulations for good set of numbers. So, this is regarding post Minda's acquisition of 15.7%. They send a notice for the increase the stake to 23 to 24% odd to CCI and post that we filed a w.r.t petition in Madras High Court and now a few, I mean few couple of weeks back, one of the petition was dismissed, allowing CCI to take on the matter put by Minda. So, now what measures are we contemplating to, sort of protect minority shareholders and sort of help prevent us from Minda coming on board with greater stake.

Vikram Mohan: I will give you a two-pronged answer to that. One, the w.r.t has not been dismissed by The Madras High Court for the information, only the injunction has been lifted with writ continuing to be held and further hearing date posted with CCI asking with the Madras High Court asking CCI to revert with their observation. So, that's number one. The company has taken all measures to ensure that legally we are protected and the current management to whom I represent. I have also taken all measure to ensure that we stand in control of the company and suit the matter with sub-judice, I will not be able to disclose anything more at this point of time.

Nishant Parikh: OK. Thank you, Sir.

Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Thanks for the follow up. But just for clarification on what is our target in terms of R&D spending as a percentage of revenue for FY24?

Vikram Mohan : We continue to spend between 4 to 4.4% of our revenue on R&D. When I mean R&D it's we divide it into two product development and process development because we as a company firmly believe we need to have best in class products and best in class processes to deliver products at the best quality levels at optimum price for the customer. We continue to spend between 4 to 4.4% of our revenue on product and process development and emphasize that we will continue to spend this sort of numbers in the coming years to give us a lead over competition and continuing to keep ahead of the technology curve.

Garvit Goyal: Understood sir. Thanks. Thank you.

Moderator: Thank you. We have the next question from the lin

e of Vijay Suku, an investor. Please go ahead.

Vijay Suku: Thank you and Congrats for a good set of numbers, Sir. So, just wanted to check on the R&D spend that the company is doing. So, we are spending almost 4 to 4.5% on the revenue. So, can you give us some insights in terms of what are the new products that the company is venturing into and what is the market size effect? If you are able to give some insights on that.

Vikram Mohan: This is a very long answer, which will probably warrant half an hour of discussion. I think if you can set up a call with us, I will be happy to take you through some of this, some of it is because it's IP related, which we will not be able to talk about, but I think we can pass this and take it

for another table you can write to our Investor Relations Department and set up a call with our
CEO or visitors and wo will be able to take you through.
Vijay Suku: Perfect that works. Thank you.
Moderator: Thank you. We have the next question from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Thank you for the opportunity and congratulations on a great set of numbers. So, my question was regarding this labor related case that is going on. So, I think as per the latest annual report, the amount is increased to 47 crores so I just wanted to get an update on that. I think it has been increasing since the past three years, so I don't Know about that.
Vikram Mohan: Khush, can you repeat again, you were not very clear. I could only hear the number 47.
Khush Nahar: So, my question was regarding the labor related case that is going on. So, it has been increasing since the past three years. So, I just wanted an update because I think 2 years back it was around 27 crores, which has increased to 47.
Vikram Mohan: So, I would request our CFO, Priyan to answer this question please.
Priyadarsi Bastia: This provision is increasing because the number of years are increasing. It is for the number of years we are spending to pay them. So, we are making provision in the books for those many people for a number of years, which is getting extended.
Khush Nahar: Okay. So, our judgment is that there will not be any liability, right? If I'm right.
Vikram Mohan: Khush you are not very clear. Can you speak a little slowly please. Yes, please go ahead. You asked the second question, which is not clear to any of us.
Khush Nahar: So, my question was that just in follow up on that. So, as per management estimate it, there won't be any material effect on the state financial statement, right?
Vikram Mohan: We believe there will not be, but this is the consequence of the 2009-2010 labor issues which have been substituted for now almost 12 to 13 years. So, you know on the right side of the law, we keep making the provision, but you know, and if the long-standing judicial case. Having said that, 16 cases which was a large chunk of cases have been settled out of court and settled and Page 12 of 17 spent on expense in the last financial year also and we expect the same thing to happen over the next couple of financial years and close.
Khush Nahar: Okay. Thank you.
Moderator: Thank you. We have the next question from the line of Kaushal Kedia from Walfort PMS. Please go ahead.
Kaushal Kedia: Sir one thing like there is a disconnect for me to understand since we spend 4% on R&D, why are we afraid of making more than 13% margins on EBITDA and if we are spending so much of innovation and last time you had mentioned that the DIS systems that we need are in between build to spec and build to print. Why are we not able to make more? Because other companies that are just process companies are making auto increase companies are making 18 to 19% margin.
Vikram Mohan: The reason is obsolescence in electronics is extremely high. So, constantly we need to keep developing the new generations of chips. Gone are the days when you started worki

ng on a
chip and had a life cycle of 5-6 years for that chipset. Today chipset and cost and power success for literally every year is changing, so constantly to keep pace with technology and display systems we need to keep spending that money. Someone else in another context was asking me when software companies are making 25% EBITDA why a company like PRICOL, where software is only a subset and you are developing an entire product you can only make 13 and 14%. That is the nature of the automotive industry where we are not able to make a lot more than what our customers are making because the customers come back on price reaching and the competitive landscape.
Kaushal Kedia: Okay sir. Fair enough. Thank you very much and Sir, thank you for your patience. Thank you.
Moderator: Thank you. We have the next question from the line of Richa from Equity Master. Please go ahead.
Richa: Sir, thanks for the opportunity, Sir, my question is related to non-auto industrial clusters. Is this something that we can think of developing internally or will we need an acquisition to enter that area that is first, second if I may, what is the share of EV as of now and based on later of?
Vikram Mohan: As I mentioned, let's restrict it to one question at a time. Can we enter the nonautomotive information systems space? The answer is yes because we have all the technologies required to enter that space. In fact, that space works on technology that's at least 5 to 10 years behind where we are part why we need to go for an acquisition is because this kind of selling is completely different completely. It is all about the distribution, scale and warehouses and reach globally, which is not something we call it used to because we are an OEM company with a bunch of customers very large volume that is very small volume, thousands of customers with Page 13 of 17 large scale distributorship dealership warehousing globally. That is the reason we are going to acquire that market size and not for the technology.
Richa: Understood. Thank you so much.
Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal investment. Please go ahead.

Vipul Kumar Shah: Sir, what is the contribution of products newly introduced during the last two years in our turnover?

Vikram Mohan: It is approximately 25%, it varies between 20 to 30% per annum, but the average is about 25% per annum.

Vipul Kumar Shah: Okay. Thank you, Sir.

Moderator: Thank you. We have the next question from the line of Anisha Mahawla from Envision Capital. Please go ahead.

Anisha Mahawla: Hi, Sir. Thank you for the opportunity again, Sir we said a large part of our growth will be driven based on the LOIs we have in hand. Is it possible to provide some color on it? What is the LOI you have in hand? Are they starting in 24 or 25 or the mix maybe? Are they higher? Are they cute slightly higher towards EV any color like that?

Vikram Mohan: I would not like to talk about this. Because lot of the LOIs are confidential along with the customers. So, I would not like to connect about it ma'am. But it is based on LOIs that we are building our capacities on building our capabilities and as far as the driver information system is concerned, whether it's EV or I think it's of no consequence. A lot of people have been asking me these questions because I said it's information being provided to the driver of the vehicle, so whether it's IC, fuel cell, high tension, it's propulsion agnostic. So, we are not worried about what form of propulsion it is.

Anisha Mahawla: No, I did not mean that it is IC or EV and then PV or Two-Wheeler or CV that break up is, is that changing and if you can't comment on the quantum of the LOI, maybe you can say is a substantial part of it expected to start, say H2 of this year early next year just to get some indication.

Vikram Mohan: 25% like I mentioned would be new product growth year on year,

which is what we achieved last year and we will achieve in the next couple of years. As much as the end we are working with multiple EV players. We believe that we are barring Ola for strategic reasons we have decided not to work with Ola as I mentioned the previous one. So, as the penetration of EV happens, our growth in that area also will happen because we are working with the whole host of EV players, both conventional OEM and the new OEM development.

Page 14 of 17 Anisha Mahawla: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Hemanth an investor. Please go ahead. Hemant, please go ahead with your question. Your line is unmated.

Hemant: Thank you for providing me the opportunity again, Sir. Did you say 3600 crores organically, it means 80% and the second is.

Vikram Mohan: Yes, 3600 crores organically with the LOI new product introductions that we have anticipated and with reasonable market growth.

Hemant: So, it is basically 80%. of the current run rate.

Vikram Mohan: Pardon me.

Hemant: 80 right.

Vikram Mohan: What are you talking of?

Hemant: Since we clocked 2000 crores of revenue in FY23, so it is basically 1600 crores of incremental revenue.

Vikram Mohan: Over the next three years, yes.

Hemant: Yes, and sir, what is the current status on the PCI kit? Sorry if I.

Vikram Mohan: I would not like to comment about it.

Hemant: Kindly come again Sir?

Vikram Mohan: The matter is sub-judice and I would not like to comment at all.

Hemant: Okay.

Moderator: Thank you. We will move to the next question from the line of Vaibhav, an investor. Please go ahead.

Vaibhav: Hi, congratulations. I just wanted some color on the opportunity size for your products in the electric vehicle space and five to seven years from now how much percent of your revenues would come from the EV space.

Vikram Mohan: As I mentioned earlier in the call today, whatever is going to be the penetration of EV in the Indian market, we will be maintaining the same rate of growth in the EV because we are in a Page 15 of 17 propulsion agnostic automotive systems business and we are engaging with almost all the EV players of the repute scale and size of the business.

Vaibhav: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Utkarsh Somaya, an investor. Please go ahead.

Utkarsh Somaya: Thank you for the opportunity. Like you mentioned, most of your growth is going to come from premiumization. So, does that mean that your capacity utilization volume wise will remain pretty much in the same level from now until FY26.

Vikram Mohan: No, I think Utkarsh you brought me wrong I said there are three times of growth that's going to come. One, because the existing products will reach the end of their life cycle and new product will replace them, one will be from premiumization of existing products, third is launch

of new products like disc brakes etc. So, we are creating capacities for new products, we are
creating capacity for premiumization and we are eliminating capacity in mechanical and other
products that that will go out of hope.
Utkarsh Somaya: There will be certain new.
Vikram Mohan: 200 crores of CAPEX is to meet the needs of these three buckets to fix 3600 crores but we are
creating a capacity for about 4000 crores, not just 3600 crore.
Utkarsh Somaya: Okay. Sir the CAPEX will be spent on creating more capacity and kind of switching current
capacity too.
Vikram Mohan: The changing needs of business as we move from mechanical to electromechanical to an
electronics company the same machines cannot be used for the same product. Disc brake , for
example a new vertical needs a completely new manufacturing ecosystem, existing plants have
to be debottleneck to make it more efficient. Modernization of some parts of the plant to
deliver the requested quality level. So, it is a combination of everything.
Utkarsh Somaya: Okay and when y

ou say 3600 crores, do you mean that in FY26 you will be operating at
optimum utilization?
Vikram Mohan: No, I mentioned that we are creating capacities for 4000 to 4200 crores and 3600 crores is what
we are anticipating in FY26.
Utkarsh Somaya: Now my, actually I am trying to understand that when you tell us you are 3600 to 4000 target,
are you considering that you will be operating at optimum capacity utilization and optimum
premium products or will there be scope for more volume?
 Vikram Mohan: Capacity utilization for someone could be an 85% capacity utilization. We are creating capacity
for a broad product mix of 4200 crores of which we are expecting about 3600 crore to get
utilized and deliver revenues in FY26.
Utkarsh Somaya: Okay and can I squeeze in one more related question if possible.
Vikram Mohan: Maybe you can come back in the queue please, because that is the housekeeping rules we have
been following for the rest of the participant.
Utkarsh Somaya: Okay. Thank you.
Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal
investment. Please go ahead.
Vipul Kumar Shah: Hi Sir, all these joint ventures or technical collaborations like sibros or BMS, all those are
exclusive or they can tie up with some other manufacturer also. So, some color on this will be
really helpful.
Vikram Mohan: They are not joint ventures; they are only technical collaborations, and they are exclusive to
pricol for India.
Vipul Kumar Shah: So, in India they will not enter with any other manufacturer right.
Vikram Mohan: No.
Vipul Kumar Shah: Okay. Thank you Sir.
Moderator: Thank you. We have the next question from the line of Vaibhav, an investor. Please go ahead.
Vaibhav: Regarding the asset turns, if you know say for five years from now, 50% of our revenues comes
from EV, do you think our asset turns will basically increase over time?
Vikram Mohan: Can you repeat your question? You were not very clear. Assume that 50% of your revenue
comes from EV. A. I don't think so, because I don't think EV penetration in India is going to be
50% in the next five years. That's the fundamental probable I believe in. I may be wrong. Asset
return I do not think is going to have any impact on whether it is EV or non-EV, it is just one
more form of propulsion after which is going to be high tension, after which is going to be fuel
cell. I do not think it has any link with the asset turn of the company.
Vaibhav: Okay. Thank you. Thank you so much.
Vikram Mohan: I think we have answered fair to the questions covering the entire gamut. We thank you very
much for your participation and asking the whole host of questions and we look forward to
 connecting with all of you in the next call when we are done with the Q2 and H2 of FY24. Thank
you very much for your participation and we look forward to seeing you all soon. Good evening.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PRICOL Limited,
that concludes this conference. Thank you for joining us and you may now disconnect your
lines. Thank you.

Call: Nov 2023

PL/SEC/TGT/2023 -2024/127 Tuesday, 14th November 2023

The Manager - Listing Department
National Stock Exchange of India Limited
“Exchange Plaza’, C -1, Block G
Bandra -Kurla Complex,
Bandra (E), Mumbai - 400051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on 9th November 2023 pertaining to Company’s unaudited financial results for the quarter and half year ended 30th September 2023.

This is for you r information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Passion to Excel
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Coimbatore-641 018, India
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..:; connect@pricol.com
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CIN L34200TZ2011PLC022194
;.., CUSTOMERS ;.., EMPLOYEES ;.., SHAREHOLDERS ;.., SUPPLIERS
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008

Moderator: Ladies and gentlemen, good day and welcome to the Q 2 FY '24 Conference Call of PRICOL Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ followed by ‘0’ on your touchtone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.
Anuj Sonpal: Thank you. Good evening , everyone . A very warm welcome to you all. My name is Anuj Sonpal

from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the
second quarter and first half of the Financial Year 2024.
Before we begin, let me mention a short cautionary statement. Some of the statements made
in today's Earnings Call may be forward looking in nature. Such forward -looking statements are
subject to risks and uncertainties, which could cause actual results to differ from those
anticipated. Such statements are based on management's beliefs as well as assumptions made by an information currently available to management. Audiences are cautioned not to place
any undue reliance on these forward- looking statements in making any investment decisions.
The purpose of today's earning s call is purely to educate and bring awareness about the
company's fundamental business and financial quarter under revie w.
Let me now introduce you to the Management participating with us in today's Earnings Call
and hand it over them for opening remarks. We have with us Mr. Vikram Mohan - Managing
Director; Mr. P. M. Ganesh - Chief Executive Officer and Executive Directo r; Mr. Siddharth
Manoharan - Director of Strategy; and Mr. Priyadarsi Bastia - Chief Financial Officer.
Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, sir.
Vikram Mohan: Good evening, e veryone, and thank you for participating in this call . On behalf of Pricol and my
team , I welcome you to the Q2 financial performance for FY '24 and also the H1 for FY '24.
Page 2 of 9 We have uploaded a presentation and I hope all of you have had a chance to see it .
In line with our guidance, we have been seeing a steady increase in our revenue and we have
been ahead of the market and also EBITDA margins have been steadily incr

easing in line with
our guidance.
Our revenue from operations is growing at a steady c lip and so also is the EBITDA and both on
a consolidated basis and on a standa lone basis .
The floor is now open for questions . Request everyone to queue up and ask one question at a
time so that all participants have an option to ask their questions . So request you to just stop
with one question and rejoin the queue if you have further questions . Thank you.
Moderator: Thank you very much , sir. Ladies and gentlemen , we will now begin with the question -and-
answer session . We take the first question from the line of Vipul Kumar Shah from Sumangal
Investment . Please go ahead.
Vipul Kumar Shah: So can you break the sales between driver information and connected vehicle solution and
actuation , control and fluid management systems? What percentage of ours?
Vikram Mohan: As mentioned in my earlier calls , it hovers between 65% for driver information and connected
vehicle solutions, and 35% to the ACFMS Division. That ratio will be maintained more or less
going forward also plus or minus 2% every quarter .
Vipu l Kumar Shah: And sir, EBITDA margins are same for the both verticals or is there any change in the EBITDA
margins ?
Vikram Mohan: Export revenue coming in the ACFMS division, the EBITDA margin is slightly higher on the
export products and the new products , but on the commoditized products , the margins are
lower . Margins are steadily increasing and becoming steady in the DICVS division because
electronics prices have more or less stabilized for all premium freight have stabilized . So there
it's much more a normalized EBITDA margin . In term of overall EBITDA, both are almost neck
to neck .
Moderator: Thank you. We take the next question from the line of Pankaj Kumar , an individual investor .
Please go ahead , sir.
Pankaj Kumar: So in earlier calls you have give n a guidance of 3600 crore of organic revenue by FY '2 6 and that
implies a 20% plus kind of growth . I do understand that lenience, every quarter the growth is
not going to be like that , but this quarter the revenue growth was around 12% . So is there a
specific reason of slower growth in this quarter ?
Page 3 of 9 Vikram Mohan: The revenue growth was not the revenue from operations quarter -on-quarter between last
year and this quarter was about 12% . We are aiming for a minimum of 15 % to 16% growth . So
if you look at H1, as a H1 growth , we have seen about 16% growth . There have been some loss
of sales on account of these lower production of the EV vehicles and deferment of schedules
because of the FAME subsidy issue. But overall , in terms of over the next couple of quarters ,
that same revenue guidance we would like to maintain .
Moderator: Thank you. We take the next question from the line of Vipul Kumar Shah from Sumangal
Investment.
Vipul Kumar Shah: So can you break down the sales for driver information vertical to two-wheeler, four -wheelers
and commercial vehicles ? Is it possible , sir?
Vikram Mohan: It's about in the driver information systems, about 65% comes from two-wheelers. Commercial
vehicles would be another 20% , and the balance would be from personal passenger vehicles .
Vipul Kumar Shah: Two wheelers you said 55 or 65 , sir?
Vikram Mohan: 65.
Vipul Kumar Shah: 6-5?
Vikram Mohan: It's 50, 50 and 65 , commercial vehicles between 20 and 25 , again a variance every quarter , and

the balance from four -wheeler personal passenger vehicles .
Moderator: Thank you. We take the next question from the line of D inesh Kulkarni from RDS Capital . Please go ahead , sir.
Dinesh Kulkarni: So I just want to know like do we expect , you know, you would increase your shareholding in the company going forward ? Because last two quarters we see some increase there . Do we expect this to continue or like do we have any something , so

me number like 40% or 50% ownership in mind, something like that ?
Vikram Mohan: If there is a need , we will increase it , and whenever liquid cash is available with the promoters , we do Infuse into our different business ventures as needed . But I think we have a fairly decent holding , and directly and indirectly we hold about 41% because this 38 point odd percent is referring to my immediate family unit and my extended family , which is my father's brothers and sisters and my mother's brothers and sisters, we are close to about 41% . So, I think that's a very comfortable shareholding . If and when there is a need, we will increase our shareholding and based on liquidity .
Moderator: Thank you. The next question is from the line of Richa Agarwal from Equitymaster . Please go ahead.
 Richa Agarwal: Could you also give us the break up between , you know, the share of new products versus …
Moderator: Her line has got disconnected , sir. We take the next question from the line of Shashank Kanodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Just wanted to check on the margin s front. Our understanding was that with normalized chip supplies , your premium freight will be reduced, and then , eventually , there will be an upt ick in margins , but our margins most sequentially as run by basis have decreased drastically and even the gross part . So if you can explain , you know, what's going to be the margin trajectory and any specific reasons for margin decline in this quarter ?
Vikram Mohan: No, there has been no margin decline. In fact, there has been a margin increase . And as alluded by me in my earlier calls , I said steadily quarter -by-quarter we will keep increasing our margins and hit a steady -state margin , EBITDA margin of about 13.5% , and our margins are increasing in line with that guidance.
Shashank Kanodia: Sir, any take on the raw material cost? Raw material as a percentage to sales have increased in this quarter.
Vikram Mohan: Pardon me.
Shashank Kanodia: Sir, any take on the raw material cost? Your raw material cost as a percentage to sales has increased in this quarter .
Vikram Mohan: No, our EBITDA margin s are steadily increasing, and will keep increasing moving forward .
Shashank Kanodia: I think there is some displace in terms of EBITDA margin that you calculate . You calculate using other income in nature. We calculate excluding the other income.
Vikram Mohan: You are not very clear , but can you repeat yourself , please ?
Shashank Kanodia: Sir, we calculate EBITDA excluding the other income and you calculate the EBITDA, I think , probably including the other income, right ?
Vikram Mohan: Including w hat?
Shashank Kanodia: Other income.
Vikram Mohan: No, but as an operational EBITDA, our EBITDA has been steadily increasing and will hit a steady -state 13.5% . Quarter- on-quarter our EBITDA has been only increasing as raw material prices are stabilized , and we are having better operational efficiency .
 Moderator: We take the next question from the line of Pankaj Kumar, an individual investor . Please go ahead , sir.
Pankaj Kumar: So are you still maintaining the revenue guidance of 3600 crore by FY '26?
Vikram Mohan: Yes, unless there are any catastrophic external geopolitical events , I think we are still maintaining that revenue guidance.
Pankaj Kumar: With a margin of 13.5% , will that reach by FY '2 6 or earlier than that?
Vikram Mohan: Earlier than that , for sure.
Moderator: Thank you. We take the next question from the line of Richa Agarwal. Please go ahead , ma'am.
Richa Agarwal: Sir, my question was , could you give the share of new products in the current revenue ? And in your guiding for 15.5% kind of m argin , what is the share that you expect for the new product in the product mix ?
Vikram Mohan: New product

revenue typically is about 20% of our sales year -on-year . In FY '25 and FY ' 26, those numbers will be slightly higher as newer products like disc brakes and others are getting introduced and volumes are ramping up, but for the current year , it would be about 20% .
Moderator: Thank you. We take the next question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead , sir.
Vipul K umar Shah: We had signed several M oUs with some software developers, and so what is the progress on that front, sir?
Vikram Mohan: We have signed with BMS PowerSafe. We have signed with Sibros. What we have signed with

Sibros as the proof of concept everything has started hitting the market , and it 's already under
vehicle trials with at least about 10 vehicle makers. And as I mentioned , the revenues from
those product from those joint ventures will really start seeing traction in FY '2 6 onwards until
FY '30.
Similarly, with BMS PowerSafe, the proof of concept is ready and is now being showcased to
the customers. Those again will go into revenue earning mode only from FY ' 26 and onwards .
We have recently signed an engagement for cooperation agreement with TYW based in China .
We have just started working together . It's very early days and it's probably going to take about
6 months to 12 months to say what revenues are going to come out of that. And none of them
are software companies for your information , Mr. Shah.
Page 6 of 9 Vipul Kumar Shah: Oh, sorry for that. No, I remember ed it. So these all are exclusive M oUs means they can work
only with us or there is no exclusivity in this?
Vikram Mohan: For certain vehicle segments, it's exclusive . For certain customers, it's exclusive , and for certain
products also , it's exclusive .
Moderator: Thank you, sir. The next question is from the line of Harini from Sundaram Alternates. Please
go ahead.
Harini: So on the query to a previous participant , you had mentio ned that the sales dip is on account
of EV shares in the sales coming down . Is it possible to indicate how much of our sales currently
is from EV ? Any marginal number on how much?
Vikram Mohan: Volume is about 7 % to 8% , but in terms of value, it is slightly higher because per EV , selling
price is much higher of the units that we are selling. And if you can send a query to our Investor
Team, they will be able to answer in detail . But the EV sales are again started picking up . The
schedules are picked up. You would be aware because of the FAME subsidy issue, all EV s had
dropped production significantly in Q1 and Q2 . From Q3 onwards , we have seen very healthy
schedules. In fact, October has been also a good month .
Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from RDS Capital. Please go
ahead , sir.
Dinesh Kulkarni: I want to know like what's your CapEx plans for the next two , three years, like, say, in the total?
Vikram Mohan: I have spoken about this in my earlier calls . We have a planned CapEx of about 600 crores
unless something very exciting inorganically comes up , of which about 150 crores was spent
last year , about 200 crores is being spent this year , and another 200 crores would be spent in
the next fiscal year . This is to enhance capacities , improve productivity and also going for
modernization of some of our older plants . So that's the broad spend of CapEx. This will take
our revenue up to about 3,800 to 4,000 crores would our capacity make capacity available .
Modera tor: Thank you. The next question is from the line of Jaimin Desai from Emkay Global . Please go
ahead , sir.
Jaimin Desai : So can you provide some color on recent business wings on the TFT side for two- wheelers? And
also if you could elaborate on the four -wheeler TFT opportunity ?
Vikram Mohan: I would like to hand this over to our CEO and Executive

Director Mr. Ganesh to answer this
please.
P. M. Ganesh: Good evening . The TFT actually whatever has been used by particularly the EV makers of two -
wheeler s, most of the models are supplied by Pricol. Barring like one or two models in the
Page 7 of 9 country , I would say like out of 10 vehicles, eight are manufactured by Pricol. Four -wheeler is
something that we are evolving. As you are aware that four- wheeler was not o ur focus until
2020 because we had a non- compete agreement . So we have just started penetrating with the
four -wheeler . So four -wheeler , our presence on TFT is not much, but on the two-wheeler , out
of 10 vehicles manufactured , eight of them are from Pricol.
Moderator: Thank you, sir. The next question is from the line of Khush Nahar from Electrum PMS . Please
go ahead , sir.
Khush Nahar: My question was regarding the content for vehicle. So could you guide us across our segments
two-wheele r, four -wheeler , and CV, what is the average content per vehicle?
Vikram Mohan: See, a mechanical instrument cluster still sells at Rs. 300 or Rs. 400, but that is dying a very fast
death. For example , in the TVS X that launched, which was launched by TVS, it's a very high
content per vehicle. Okay.
So, if you want to ask in a two-whee ler, what is content per vehicle, it's very different from a
mechanical cluster , electromechanical hybrid cluster or clock TFT cluster , and the TFT itself
there are multiple price points , right , based on the features, the size etc.
So this is a very , very difficult question to answer , but perhaps I put it this way . From an average
value of Rs. 300 per driver information system , today we are at around Rs. 1,200 and making a
transition to Rs. 2,500 over the next 3 years . I think that's a better way to put it .
Similarly, on our ACFMS vertical , we were into very small value oil pumps and chain tensioners ,
which are dying a natural death, and now moving into more complex BLDC fuel pump, electrical
coolant pump, and other products which are more towards the Rs. 1, 000 mark a s against what
we were supplying at Rs. 150 and Rs. 200.

Moderator: Thank you, sir. The next question is from the line of Pra nav Modi from Antique Stock Broking Limited. Please go ahead with your question , sir.
Pranav Modi: Sir, I wanted to know the per unit dynamics. For example , if we have something for two - wheeler , then how much we charge, and if we go over say Triumph or KTM 390 o r those sort of premium bikes , then how much do we get per unit ? And if it goes to a four -wheeler , then how much it is ? If you can share some detail on that?
Vikram Mohan: Again, like the previous question , this is a very , very broad -based question. We are supplying something to a BMW two-wheeler at 15,000 per unit , a cluster . We also supply a car at Rs. 2,500 per unit for a driver information system . So I think categorizing , it's based on the technology , the size , and the number of tell-tale and warning signs and what the customer
 wants and the resolution . So, if you are asking for a broad- based answer , it would be next to impossible to give.
Pranav Modi: So can we put up some ASP number for all the units put together ? Would that be a fair assumption or better way to calculate our revenues?
Vikram Mohan: That's exactly what I said . From 300, we are now at around 1200 and moving up to about 2500 in the next 3 years for two-wheelers. Cars, we are still in the nascent stage . Commercial vehicle is obviously m uch, much higher . Micro LCV s is at a lower price point . So, segment wise , yes, we have an average selling price, but with two -wheelers being 65% of our revenue, which is why I have the figure of about 1 ,200 today going up to about 2,500 over the next 3 years .
Moderator: Thank you. We take the next question from the line of Khush Nahar from E

lectrum PMS . Please
go ahead, sir.
Khush Nahar: So my question was regarding the other expenses. We can see that year -on-year last quarter and this quarter , it has increased around 55% last quarter and 39% this quarter . So was there any one off expenses or above 40 crore should be our new quarterly run rate for the expenses?
Vikram Mohan: I will request our CFO to answer that please .
Priyadarsi Bastia: The warranty cost is increasing actually couple of products which got bounc ed back . So we have fixed the solution now , but yes , that cost was cl ubbed in this quarter , and that's why it is higher .
Khush Nahar: So our average run rate would be around 30 , 35 crores only , quarterly run rate going ahead?
Priyadarsi Bastia : No, it will be a little higher number definitely , Khush, because the other expenditures are increasing in line with inflation . So it should be around 40 , 42 crores.
Moderator: Thank you, sir. We take the next question from the line of Pankaj Kumar, an individual investor . Please go ahead with your question, sir.
Pankaj Kumar: I wanted to know what will be the asset turn for 600 CapEx that you are doing ?
Vikram Mohan: It's different for different verticals of the company . For the ACFMS, it's different . For the DICVS, it's different . And even within the DICVS for the dis c brakes, the ACFMS, the dis c brakes is different . If you can get in touch with us , we can break it up segment wise and give it to you.
Pankaj Kumar: Just one more question . I think , in the last call , you mentioned that you will reach to 13.5 % to 14% kind of margin in next two quarters . So is that still a valid assumption or?
 Vikram Mohan: No, in the last call , I said over the next two years , and I said steadily increasing over the next quarter -on-quarter. I didn't say two quarters . So I am expecting an increase of about 0.3 to 0.4% every quarter and st eadying at around 13.5% .
Moderator: Thank you, sir.
Vikram Mohan: I think since there are no more questions, maybe we can call it a day.
Moderator: Yes, sir. There are no further questions in the queue. So I would like to hand the conference over to you for closing comments .
Vikram Mohan: Thank you very much and for the confidence in our company . And I am sure my team will be able to deliver the same level of sustained and improved performance in the quarters to come and look forward to connecting with you in the annual call for FY ' 24. Good evening and greetings of the season .
Moderator: Thank you, sir. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

PL/SEC/TGT/2024- 2025/032 Monday , 20th May 2024
Listing Department
National Stock Exchange of India Limited
“Exchange Plaza’, C -1, Block G
Bandra -Kurla Complex,
Bandra (E), Mumbai - 400051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293
Dear Sir,
Sub
: Con -call Transcript
P
ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we herewith submit the Transcript for the Con -call held on 16th May
2024 pertaining to Company’s audited financial results for the quarter and year ended
31st March 2024.
T
his is for your information and records.
T
hanking you
Yours faithfully ,
Fo
r Pricol Limited
T
.G.Thamizhanban
C
ompany Secretary
ICSI M.No: F7897
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 Pricol Limited
Q4 FY24 Earnings Conference Call
May 16, 2024

Moderator: Ladies and gentlemen, g ood day and welcome to the Q4 an d FY 2024 Conference Call of Pricol Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ *” then “0” on your touchtone phone. Please note that this conference is being recorded. At this time, I would like to handover the conference over to M rs. Purvangi Jain from Valorem A dvisors. Thank you and over to you ma’am.
Purvangi Jain: Good evening ev eryone and a warm welcome to you all. My name is Purvangi Jain from Valorem A dvisors. We represent the I nvestor Relations of Pricol Limited. On behalf of the Company I would like to thank you all for participating in the Company's Earnings Call for the Fourth Quarter and Financial Year 2024.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by an d information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for the opening remarks. We have with us Mr. Vikram Mohan , Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director ; Mr. Siddharth Manoharan , Dire ctor of Strategy, and Mr. Priyadarsi Bastia, Chief Financial Officer. Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you and over to you sir.
Vikram Mohan: Thank you, ma'am for the introduction. A v ery good evening to all of our esteemed shareholders who are participating in today's c all. Welcome to the call for FY 24 financial performance and also quarter four FY 24 financial performance. I hope all of you had a chance to see the slides that have been uploaded, the data that's been uploaded. Our revenue from operations for this quarter on a consolidated basis has been 5 ,662.12 million, with an EBITDA of Rs. 725.84 million, resulting in an EBITDA m argin of 12.82% with a profit after tax of Rs.

415.02 million , profit after tax margin of 7.33% with an EPS of Rs. 3.41 per share .

 For the year ended 31st March 202 4, our financial performance on a consolidated basis, we have had a revenue from operations of Rs. 22,081.69 million, with an EBITDA of Rs.2,786.42 million , EBITDA margin of 1 2.62% , PAT of Rs.1,406.12 million, with a PAT margin of 6.37% and an EPS of Rs. 11.54 per share.
At a consolidated level, our long term borrowin gs are nil as of 31st March 2024 and at a consolidated level, our return on capital employed is steadily increasing and has hit a num ber of 23.18% in FY24 against 20.68% in FY 23.
At a consolidated level for the quarter that has just gone past Q 4 of FY 24. Our revenues have grown at 11.09%, which has been lower than our expectations primarily because there have been delay in start of production from four of our customers. Though we have confirmed volumes and LOIs and capacities for the same , we have had delay in start of production because of initial vehicle trials and launch issues, which have since got launched and normal production has resumed from April. So this catch up will happen in the coming quarter s. Our revenue from operations for the year have grown at around 16%. Slightly below our expected levels of about 19%, which also we hope to catch up in the coming quarters . This is primarily because of delay in start of production for certain confirmed businesses of ours from about four vehicle makers.
In quarter four, our EBITDA has grown on a like- to-like quarter comparison by 16.44%, which is in line with our expectations. And for the year, our EBITDA has grown by 18.17% over the prior period. As mentio ned by me in previous calls, you would notice our EBITDA is steadily increasing, in spite of high freight costs and other aberrations that we saw this year , supply chain aberrations because of the volatile geopolitical situation across the world. I am quit e hopeful that our CEO, and his team will ably be able to keep improving the EBITDA and level off at around 13.5% which is normalized EBITDA over the course of this year.
Next, please. This is the quarterly income statement, the highlights of which have b een read out in the previous slides . All the capital market data and everything has been provided in the presentation. Without further ado, we would like to move straight to the question s.
Some housekeeping points for the question. I'm sure many of you would have multiple questions. But in the interest of giving everyone here an opportunity to ask their questions. May , I request the pe ople to join the question queue, ask a particular question a nd if they have further questions to rejoin the question queue, so that everyone has a chance for questions, one at a time. Thank you very much for your cooperation in advance.
Moderator: Thank you. Ladies and gentlemen, we w ill now begin with the question- and- answer session. The f irst question is from the line of Bhalchandra Shinde from Kotak Life. Please go ahead.
Bhalchandra Shinde: Sir, r egarding our new product development would like to know the update, especially on the E-Cockpit where are we and how do we see any advancement on that towards the customer , on w hich stage we are?
 Vikram Mohan: Mr. Shinde t hank you for the question. I'll probably break that up into three parts and further elaborate rather than only talk about E -Cockpit , which is a very advanced product. One of the products that was supposed to directly contribute to revenue in the coming two years is the Disc Brake which is a very strategic product of our ACFMS division . I'm happy to inform you that with six customers , we have started production and ramping up both capacities and increasing LOIs and we are on track to meet our schedules . On with regard to the E -Cockpit, I will r equest our Director of Strategy, Siddharth Manoharan to talk about it as well

as the
connected way to solutions to other strategic projects . Over to you Siddha rth.
Siddharth Manoharan: Thank you. Good evening, Mr. Shinde. With regards to E -Cockpit , currently , as you know , we have developed the prototypes and proof of concepts , and currently , it is being showcased to various passenger vehicle as well as commercial vehicle customers. It is in concept stage and discussion with many of them are ongoing. W e have also announced a partnership with a Chinese company called T YW for vertically integrat ing the screens and other components . So,

at this point in time, we are well positioned to showcase these products with some of our customers and customers have also shown interest to take it to the next stages of discussions. So, as M anaging Director rightly mentioned, this is a very advanced product and adoption will take some time in the market . And coming to the connected vehicle solutions, especially with our partnership with Sibros , we have showcased some of our proof of concepts to both domestic as w ell as international customers, and some testing are ongoing at this point in time with international two -wheeler OEMs as well , which has seen a very good response and in this coming year, you will see some updates and information flowing in from our end. Thank you.

Moderator: Thank you. The next question is from the line of Rishab Shah from RBSA Investment Managers. Please go ahead.

Rishab Shah: Sir w ould it be possible to share the percentage increase in blended ASP in FY 24 over FY 23. Since we don't share the blended ASP as such?

Vikram Mohan: Can you repeat yourself a little slower and louder please Mr. Shah.

Rishab Shah: Sure, sir. I am just asking you, is it possible to share the percentage increase in the blended average selling p rice for all the products of Pricol in FY 24?

Vikram Mohan: That’s a very, very, very difficult question to answer because we sell mechanical clusters which are slowly phasing out which is an average selling price for Rs.300. We are selling electromechanic al clusters, which are slowly ramping up and have an average selling price of Rs.8800. We are selling low TFT clusters, which are selling at approx. Rs. 1500, higher TFT clusters which are selling at Rs. 8000. We are selling Disc Brakes to systems which are selling it around Rs.1150, were chain tensioners which are selling at Rs. 75, we are selling complicated industrial oil pumps which are selling at around $800. Now, it's impossible to blend all of these and give a blended selling price bec ause we are not a commodity company and each of our products are so different in terms of functionality , systems and composition.

Page 4 of 13 Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal I nvestments. Please go ahead.

Vipu l Kumar Shah: So my question is, can we break our turnover between our two main product verticals, driver information and connected vehicle solutions and actual control and fluid management systems. How much each vertical is contributing to the turnover?

Vikram Mohan: Good evening Mr. Shah, this year the turnover has been about 69% to the DI CVS and about 31% to the ACFMS. In the coming year you will see the ACFM S contribution slightly increased to get to about 35 %, 36% as the adoption of disc brake and production volumes of the same go up. Mr. Shah this year, it's about 69% of the contribution from our driver information and connected vehicle solutions division and from the actuator s, controllers and the fluid management systems divisions is about 31%. Goin g forward, the ACFMS for the latter division will increase to about 35% next year , as the adoption and production volumes of the disc break will increase.

Moderator: Thank you. The next question is from the line of Nirav Seksaria from Living Root Analytics. Please go ahead.

Nirav Seksaria: I had a question for the

management. So what initiatives are we taking to increase our market share in the passenger vehicle segment ?

Vikram Mohan: We are not going to significantly increase our market share, but our aim is to get to about a 10% share of business in the passenger vehicle segment. As I mentioned in many, many calls prior , our focus areas are two wheelers, commercial vehicles and off road vehicles where we want to have the majority market share in I ndia . Passenger vehicles, nevertheless , our aim is to go to about 10% , were with Tata Motors today , we are at 58% and for few other vehicle makers we have just started making the foray. But my hope and wish is to level off at around 10% and focus on the segments where we already have leadership.

Nirav Seksaria: Sir what is our current market share in the passenger vehicle segment?

Vikram Mohan: It's about 6.8%.

Moderator: Thank you. The next question is from the line of Sahil Rohit S anghvi for Monarch N etwor th Capital . Please go ahead.

Sahil Rohit Sanghvi: Can you please give me the split of the contribution from two wheelers , CV, PV you have already s hared, and the other segment , if you can give me the revenue split for FY24?

Vikram Mohan: Two wheelers is about 50- 53% . PVs is about 6.8% , commercial vehicle is about 25% of balance coming from off road vehicles .

Page 5 of 13 Sahil Rohit Sanghvi: Balance coming from, sorry I didn’t get your last.

Vikram Mohan: Off road vehicle industrial segments like your J CB, Tata, Hitachi, et cetera .

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman C apital. Please go ahead.

Pranay Roop Chatterjee: Sir, I have only one question. If I look at the two wheeler industry, and I'm tr ying to comp are before COVID, let's say FY 2019, versus FY 2024, at the industry level in your sense, out of every 100 scooters and motorcycles combined sold, what do you think the mix was between mechanical, electromechanical and f ully digital TFT clusters in FY 2019 versus in FY 2024?

Vikram Mohan: Sir, I will not be able to off the park answer the question because, unfortunately my brain is

not so encyclopedic , while you can send the question to our Company Secretary, I will get our team to answer that question.
Moderator: Thank you. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.
Harini: Just one thing , when you were mentioning that on the revenue, it was because of delay in SOPs. Is it possible to quantify as to which segment is it majorly from, two wheelers? Are we seeing those ramped up right now some color on that?
Vikram Mohan: I don't want to talk about specific customers. But yes, there have been, across two wheelers and commercial vehicles , primarily about four customers in total. And as I mentioned, by April, it's got normalized , and from this quarter again, the SOPs are getting back to normal.
Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal I nvestments. Please go ahead.
Vipul Kumar Shah: So, what percentage of our turnover should be coming from the products which we have introduced in the last two years any ballpark figure?
Vikram Mohan: Our a verage of NPD what we call New Product Revenue has been hovering between 20 % to 25% every year and we are hoping to keep th at momentum going for the next couple of years also Mr. Shah.
Moderator: Thank you. The next question is from the line of Prateek Patel from Chartered Capital . Please go ahead.
Pratee k Patel: My question was related to the provisions which I can see, it's a long term provision rise from 148 to 190 and short term provision has been rising from 111 to 269. So can you just highlight number why it’s so high?
 Vikram Mohan: I request, our CF O, Priya to answer that question . Priya over to you.
Priyadarsi Bastia: Good evening. This long -

term provision is pertaining to the employee benefit provisions which has increased and the custom provision is the warranty provision which are there .
Moderator: Thank you. The next question is from the line of Nirav Seksaria from Living Root Analytics. Please go ahead.
Nirav Seksaria: So, what is our CAPEX plan for FY 25 and what was the capacity utilization FY 24?
Vikram Mohan: Pardon me.
Nirav Seksaria : What was the capacity utilization in FY 24 and the CAPEX plan for FY 25?
Vikram Mohan: For FY25, the CAPEX plan is going to be about between 200 and 220 crores as announced over our three year 600 c rore CAPEX for organic growth. This is not inorganic if an y opportunities arise , number one. N umber two, our capacity utilization at a current level is hitting almost about 85% a nd which is why we are now enhancing capacity and undertaking CAPEX at our new plants in Pune, upgrading our facilities in Coimbatore a nd in Manesar .
Nirav Seksaria: And the new CAPEX is for which product vertical?
Vikram Mohan: Across all product verticals, more leaning towards the DICVS . So it's also building s coming up and it’s for machinery , a lot of it for PCB manufacturing .
Nirav Seksaria: Okay. And if I could ask one more question, what amount of battery management system , like how are we going ahead with it?
Vikram Mohan: That is going a little slow and has not yet reached provision . And when the first LOI start trickling in at that quarter we will announce that .
Nirav Seksaria: Okay, but we expect a high margin from this segment right ?
Vikram Mohan: No, it was never a high margin, we were looking at normalized margins, that's why the blended EBITDA and like I mentioned in my earlier call, we are taking three , four new product initiatives, not everything is going to be successful. One will be hugely successful, two will be moderately successful, and one we could fail. It is with that modicum of risk that we have entered into about three , four different product verticals.
Moderator: Thank you. The next question is from the line of Deepak from Barclays. Please go ahead.

 Deepak: So, I just wanted to ask you like, in your last presentation you have mentioned that you are going to touch the revenue in financial year 2 6 of 3,600 crore . So is it intact and the second question is, h ave you added any new clients this financial year or in f uture you are going to add any?
Vikram Mohan: We have commenced a new business with new clients , especially with Honda motorcycle, and scooter India, which is going to significantly increase our top line in the coming years . Most of it is going into produc tion 18 to 24 months from now. Significant LOIs, that is one. I don't want to elaborate more, because some of it is confidential. That's the trigger , the question on the new customers added, in terms of share of business. Yes, it is increasing with certain customers because of new platforms that we have added. In terms of 3 ,600 crore on the organic side, we are in fact about 3 ,200 crores . On the inorganic side, hopefully , over the next quarter , we will be able to have some more clarity as we are analyzing assets under due diligence right now.
Moderator: Thank you. The next question is from the line of Karan Gupta from Varanium C apital . Please go ahead.
Karan Gupta: So, my question is regarding the commercial vehicles and off- road vehicles. So, how you are

seeing the traction of mechanical clusters to digital clusters because these are the segments where, right now, it has been the mechanical clusters are using. So, now how you are seeing the traction that they are shifting to digital or maybe LED ?

Vikram Mohan: I will request our CEO and Executive Director to take that question.

P.M. Ganesh: Yes, good afternoon. BS6 regulation came into India , most of the mechanical clusters already have been changed to electronic clus

ter from 2020 onwards, most of the commercial vehicle manufacturers are using electronic clusters.

Karan Gupta: And CAPEX for 25 you said 237 so that is the part of your plan?

Vikram Mohan: 200 to 220 crore for organic CAPEX which is part of our larger 600 crore CAPEX plan.

Karan Gupta: Okay , for FY25?

Vikram Mohan: Yes.

Moderator: Thank you. The next question is from the line of Hetri Marviaya from Catamaran . Please go ahead.

Hetri Marviaya : So, my question is first, just want to clarify that the market share , in clusters in car is 6.8 or is it the share of revenue for us in four wheelers. And my main question was that, since we have got significant market share in our focus segments of two wheelers, as well as CVs, wanted to understand where is the incremental growth that we expect from ?

Page 8 of 13 Vikram Mohan: In passenger vehicle segment our share of business for clusters by volume is 6.8%, which we expect over the next few years to grow it to 10% and that's what our ambition is . Where is the incremental growth coming from the t wo wheeler and the commercial vehicle segment is increasing our share of business with certain customers by displacing competition or going up the value chain by certain clusters from electromechanical to electronic and mechanical to electromechanical, thereby increasing our value.

Hetri Marviaya : Understood sir. And if I may ask, do we have a number for how much contribution is from EVs, since that w ould be the ones that go to ?

Vikram Mohan: It’s still very early stages ma’am, we have now engaged with multiple E V player , almost 18 of them and in fact, our entire three city plant has been dedicated for EV cluster manufacturing, which is slowly ramping up. And, I just like to c larify here for your benefit and the benefit of all the other investors on th is call. As I mentioned many times before, our product is propulsion agnostic. So , the question of whether it is EV or non- EV or even tomorrow fuel cell or hydrogen. Our product is propulsion agnostic. So really, the question of EV versus non -EV does not come into play, because everything else in an EV cluster is the same. In fact, we are in almost all the top EV clusters we are present today, except for fuel level, which is physical petrol level , here it is battery level. So , the question of being propulsion, we have a propulsion agnostic product. I just like to reiterate th at.

Moderator: Thank you. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: So, I just wanted to understand that there's a significant increase in the c apital work in progress, is it completely dedicated to the disc brakes facility that we are setting up or just a clarity on that?

Vikram Mohan: As I mentioned to you one plant is under construction, another plant is just commencing construction, new lines have started getting constructed, new machines have started coming in and getting commissioned. So these are all c apital work in p rogress.

Harini: Understood. Also, if you could throw some light on what is the total capacity that we will be putting up for disc brakes ?

Vikram Mohan: Eventually we will have a capacity of about 300 crores per annum . Currently we have put up a capacity for about 120 crores per annum.

Mode rator: Thank you. The next question is from the line of Nandan Pradhan from Emkay G lobal Financial Services. Please go ahead.

Page 9 of 13 Nandan Pradhan: So, I would just follow up on the initial question that was asked in terms of the new product development. You m entioned that you have got six customers and you are ramping up capacity that was in context to which product exactly?

Vikram Mohan: Pardon me sir.

Nandan Pradhan: You said that you have orders from six new customers and you are ramping up capacities for the same and you have LOIs coming in, so that is.

Vikram Mohan: New customers, fo

ur existing customers, the start of production got delayed. Vehicle launches or vehicle ramp up which has since got corrected and these are confirmed LOIs to . This delayed production has resulted in loss of sales in Q 4 which was anticipated.

Nandan Pradhan: Okay. No, there was a question in context of the E -Cockpit and you mentioned, so this was not in that context , am I getting it right ?

Vikram Mohan: Customers we spoke about , the only customer we spoke about which we have added, holds a significant volumes in the coming 18 months and onwards and increase the share of business and certain customers by displacing competition or going up the value chain.

Moderator: Thank you. The next question is from the line of Shikha from Time and T ide Advisors . Please go ahead.

Shikha: Yes, I was trying to understand where our exports were for the quarter and for the year and how we see that ramping up. I understand that as far as FY26 is to reach 20%. So , I want to understand where we are now and where the growth is coming from ?

Vikram Mohan: Ma'am I have mentioned in previous calls, that is one area of failure in the company which we have not been able to achieve the vision of achieving 20% , then we have to scale it down to only 10% fr om the visibility we see especially the economic conditions in the US and Europe being much, much, much weaker than India. We are hoping to achieve about 10%. And we are currently at around 8%. That's standardl y mentioned in multiple calls , this is one area where we have not delivered on our vision or our promises.

Shikha: Right . And this 10% is for FY 26, that's the target ?

Vikram Mohan: Yes, ma'am.

Moderator: Thank you. The next question is from the line of S umit Shah for M onarch Network Capital Limited . Please go ahead.

Sumit Shah: Sir my question is regarding margins. So , I just want to understand that what has significantly changed for us considering we are guiding for 13.5% margins going forward , because if we see in FY 22 we had clocked around 11.7 % margins and in FY 23 around 12% . So what has changed for us basically is what I want to know , some savings and other expenses or what is it about?

Vikram Mohan: Actually , VAVE, productivity improvements , process improvement, and we see a clear visibility to get to about 13.5% and kind of realize that , I have always maintained that we see a visibility of 13.5% based on our plan for what we want to do and we are on track to achieve that. In fact, this year our marg ins took a slight shift because since you are aware we were engaged within certain corporate patterns which took up a certain amount of costs, administrative cost which were not planned otherwise, even these margins would have been a little higher for this year.

Sumit Shah: Okay, sir. And one more question if I could just ask you and that is , have we maintained our market share in the two -wheeler cluster , is there some stiff competition there that we are noticing ?

Vikram Mohan: We have actually increased our market share a nd we are hoping to further increase our market share with the LOIs which we have received Mr. Shah , and that I can talk with thumb the table and say that because it's the proof of the pudding is the LOIs that we have received .

Sumit Shah : Sir, can you give us a number of the market share that you have currently in two -wheeler clusters?

Vikram Mohan: Mr. Shah I would like restrict to one question please, already you are on to the second now . There are quite a lot more people on queue.

Moderator: Thank you. The next question is from the line of Arpit Mangre an Individual Investor . Please go ahead.

Arpit Mangre: So, I have this question on TFT cluster . So do we have the technology of onboard map navigation because like in (Inaudible) wha t we have provided is that turn by turn navigation system ?

Vikram Mohan: We have provided, we are the

first in the country to provide turn -by-turn navigation on a two - wheeler in the country .

Arpit Mangre: Okay . So the map navigation do we have that technology with us?

Vikram Mohan: We were the first company in India t o introduce map technology turn- by-turn navigation much before our competition in the country .

Arpit Mangre: No, I'm not asking about turn- by-turn. I am asking about the whole map which we can see in TFT cluster. Can we provide that?

Vikram Mohan: Yes, we do have that technology.

 Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal I nvestments. Please go ahead.

Vipul Kumar Shah: What will be the asset turn over of our expanded capacity for which we are spending close to 200 crores ?

Vikram Mohan: We are pushing the team for 4.5 but I am quite confident of achieving 4 to 4.2 5.

Vipul Kumar Shah: 4 to 4.5 is the correct ?

Vikram Mohan: Yes, t hat's right , based on the product mix .

Moderator: Thank you. The next question is from the line of MN Kumar, an I ndividual Investor . Please go ahead.

MN Kumar: Sir, are we doing anything about a heads -up display in the passenger cars area?

Vikram Mohan: Its already under development in fact in the last Auto Expo, even in our stand we demonstrated our indigenously developed H UV, Mr. Kumar.

MN Kumar: Thank you. Sir, i f I may squeeze in one more, can you put the market share information once you used to do some two, three years before?

Vikram Mohan: We don't want to give it out, because competitors could tend to misuse it. But I think you would appreciate that.

Moderator: Thank you. The next question is from the line of Nirav Seksaria fr om Living Root Analytics.

Please go ahead.
Nirav Seksaria: Just a follow up on previous participants questions, so could you give us the market share for two-wheeler segments, if it has increased ?
Vikram Mohan: No, this is the third time I have answered this in today's call. Mr. Seksaria. I said, I turn table and say that our market share has increased and with our LOIs that is coming our way , it is going to only increase further in the next two years.
Nirav Seksaria: I am asking you to quantify , so is it possible to quantify it?
Vikram Mohan: Mr. Seksaria I just mentioned, I would prefer not to give numbers out because I don't want it to be misused by competition.
Moderator: Thank you. The next question is from the line of Sahil Rohit Sanghvi for Monarch Networth Capital. Please go ahead.
 Sahil Rohit Sanghvi: I just want some more details on the disc brake side, sir, which are these customers, are they domestic and what kind of capacity have you set up right now ?
Vikram Mohan: We have added s everal customers, again competitive information . We have setup capacity for about 10 crore per month and we will be enhancing capacity over the next two years to between 30 0, and 4 00 crores per annum based on the business expansion.
Sahil Rohit Sanghvi: Correct. No, this is good enough sir the kind of penetration you have bought in this very competitive industry, I just want to understand what kind of ramp up are you seeing, this 130 crore kind of revenue, are you targeting to get that in two years with these customers o r can we…..
Vikram Mohan: In the next three years we hope to go to about 300 crores or 25 crores per month is the hit rate that we are hoping to achieve in the next three yea rs.
Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS . Please go ahead.
Khush Nahar: Sir, one question. What is the reason for the increase in other expenses i n FY 24?
Vikram Mohan: Increase in the other expenses pardon me?
Khush Nahar: Yes, increase in the other expenses.
Vikram Mohan: As mentioned, we were involved in certain corporate actions this year, which added significant administrative and legal costs, which

is a onetime thing behind us, and we will not have such a recurring cost, because we engage some of the top legal firms in the country.
Moderator: Thank you. The next question is from the line of Hetri Marviaya from Catamaran. Please go ahead.
Hetri Marviaya : Sir, I wanted to understand that within our DIS segment, currently how much volume or how much revenue would be coming from more advanced digital and TFT clusters a nd how much would be from the more traditional instrument Asian clusters ?
Vikram Mohan: 25% by volume, by value will be closer to 50%.
Hetri Marviaya : And could you help us understand how has it grown in the past one year?
Vikram Mohan: Maybe , you can write to us ma'am like I mentioned , because then we could give you a more elaborate answer if you don't mind, because I don't have it at my fingertips.
Moderator: Thank you. The next question is from the line of Bhumik Shah, an I ndividual Investor . Please go ahead.
 Bhumik Shah: Sorry , if I am asking this question again, because I joined late today . Are you on track to achieve our FY 26 expectation of target of 3 ,600 crores revenue organic and 400 c rore revenue inorganic, are we on track with that?
Vikram Mohan: We are on track to achieve 3200 c rores organic and 400 crores in organic which I just like to stand corrected which is what I had projected in my earlier call . Where we have fail to achieve is 20% , which is going to be lower at 10%.
Bhumik Shah: Okay . So now we are setting the target at 3200 crore organic and 400 crore in organic right ?
Vikram Mohan: Yes, t his is what has been maint ained by me in my last two calls also. That, exports is one area instead of 20% , we are now only looking at 10% w e are tracking and that's one area where we have scaled back our projection.
Moderator: Thank you. The next question is from the line of MN Kumar, an I ndividual Investor . Please go ahead.
MN Kumar: Sir, this is related to the exports related thing . We were very optimistic about Caterpillar oil pumps, and everything , et cetera. I think that is going o n, maybe the other things did not work. Can you give some colors about that sir ?
Vikram Mohan: Caterpillar has worked pretty well and it is scaling up. I will request our CEO to talk about it. But one area , one thing you must keep in mind is the overall US and Europe volumes has started really comin g down because of the recessionary trends on the geopolitical situation, which is half the reason. The other half of the reason is some of the customers we were hoping to penetrate , we have not penetrated because their business has not increased and we are quite happy with their existing s upply .
Vikram Mohan: Thank you. Ladies and gentlemen, that was our last question. I now hand the conference over

to the management for their closing comments.
Vikram Mohan: Dear investors t hank you very much for your confidence in the company and for helping the company scale new heights and for your patience. And we do hope to continue rewarding your patience with better and better results in the quarters to come , under the able guidance of our CEO, assisted by our Director of Strategy and our H ead of Finance and the rest of the team. Thank you very much for participating in today's meeting. And as usual, I will meet you all again virtually for the H1 call and the Q1 call will be handled by our CEO , CFO and our Director of Strategy. A very good evening to all of you , Namaste.
Moderator: Thank you, members of the management team . Ladies and gentlemen, on behalf of Pricol Limited , that concludes this conference call. We thank you fo r joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

PL/SEC/TGT/2024- 2025/063 Monday , 5th August , 2024

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Scrip Code: PRICOLLTD Scrip Code: 54 0293

Dear Sir,
Sub: Con -call Transcript
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on 1
st August
2024 pertaining to Company’s unaudited fi nancial results for the quarter ended
30th June 2024.
This is for your information and records.

Thanking you
Yours faithfully ,
For Pricol Limited

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Moderator: Ladies and gentlemen, good day , and welcome to the Q1 FY ‘25 Conference Call of Pricol Limited.
As a reminder, all participant lines will be in the listen -only mode. A nd there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, p lease signal an operator by pressing “*”, t hen “0”on your touch tone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valor em Advisors. Thank you and over to you , ma'am.
Purvangi Jain: Good evening, everyone, and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor R elations of Pricol L imited . On behalf of the company , I would like to thank you all for participating in the company's earnings call for the first quarter of the Financial Year 2 025.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's con -call may be forward -looking in nature. Such forward- looking statements are subject to risk s and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by, and information currently available to the management. Audiences are cautioned not to

place any undue r eliance on these forward- looking statements in making any investment
decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. PM Ganesh – Chief Executive Officer and Executive Director ; Mr. Sid dharth Manoharan – D irector of S trategy ; and Mr. Priyadarsi Bastia – Chief Financial officer.
Without any delay, I request Mr. PM Ganesh to start with his Opening Remarks. Thank you and over to you, s ir.
PM Ganesh: Good evening all of you. My name is PM Ganesh – CEO and Executive director of Pricol . Welcome again for the earnings call of Q1 FY '25 . The Presentation already has been uploaded.
 I am sure that all of you would have had a chance to see it. So, straight away I will go to the key Financial Highlights of Q1 of FY '25 .
To start with, the revenue from operations, we have done Rs. 6,029.09 million of sales at an EBITDA of Rs. 806.51 million, showing an EBITDA margin of 13.38% for the quarter ended FY '25.
At the PAT l evel we were at Rs. 455.61 million , with a PAT margi

n of 7.56 % and the earnings per share stood at Rs. 3.74. Our consolidated long -term borrowing continues at nil.
The key highlight is that at the consolidated level our ROCE has been at 23.54% in Q1 of this financial year , as against 23.18 % the previous year, same time.
I will move on to the next slide which gives you in terms of the Q1 -to-Q1 comparison in terms of growth :
The r evenue from operation, the growth has been at 15.48%. EBITDA stood at 21.24% in terms of its growth. Cash profit was at 25.66% growth . And at the PA T level , we were at 42.65 %. W e have been continuously improving our profitability based on our improvement in the internal efficiencies.
I will go to the next slide , more on to the details :
The EPS Q1 FY '24, I am just reading the last line, Rs. 2.62 vis-à-vis of Rs. 3.74 during this Financial Year .
With these key highlights, I will open the floor for questions from various investors. Thank you so much.
Moderator: Thank you. We will now begin the question- and- answer session. The first question is from the line of Vipul Kumar Anoop Chand Shah from Sumangal I nvestment. Please go ahead.
Vipul Shah : My first question is, can you break down revenue from D IS and actuation and control and fluid management systems?
PM Ganesh: Good evening, Mr. Vipul. This is Ganesh here. The rough breakup between D IS and AC FMS is like 70% of our revenue comes from D river Information System and 30% comes from the ACFMS vertical.
Vipul Shah : And sir, you have shown the slides of new product launches. So , what type of volume are we expecting from th ese new product launches over the next 12 to 18 months , sir?
 PM Ganesh: This is a new product and a new model whatever we have shown of Bajaj , and certain other new customers. T he volumes ar e quite significant. I cannot give you the exact numbers because of the NDA with the customer, but the volumes and value are going to be quite significant in the next 12 months, Mr. Vipul .
Vipul Shah : So, right now, you won't be able to give any numbers fo r that? And last question, s ir, if we see the content per vehicle, what should be our content per vehicle ? And where we were two to three years ago in the same journey?
PM Ganesh: Sure . Mr. Vipul, I will give you a rough estimate about the vehicle per content , because as we have been discussing in the previous earning calls as well, the content per vehicle of Pricol has been increasing , primarily because of the value- additions in the product whatever we are offering to the customer . For example , I will not go two years back , even I can go before the COVID times where most of our products, and we have been telling this in most of our investor calls, that we were supplying more of mechanical meters. And the digitalization has started ever since the B S6 regulation came into India in 2020. After that the value- add of Pricol has been on the continuous increase.
And now as we speak , in the last couple of years we have been focusing more on the upgrade of the digitalization by going from the LCD to TFT and more of connected vehicle solutions. And as we speak, we are going much further into the value stream of our products. So , if you ask me in terms of content per vehicle, it would be difficult because vehicle to vehicle the prices are very different. But if you ask me in terms of value- additions per products have been continuously increasing . If I take X as my reference in 2019, w e have been quite easily like 2x times or marching towards 3x times in the future to come. That is where I am giving you a ballpar k estimate. It may not be very accurate, but to give you the way in which that we are progressing is maybe X to 2x , and then further going up in the coming years.
Vipul Shah : So, as compared to ' 19, we are at 2x or 3x?

PM Ganesh: See, it's a very rough est imate , it's very difficult , because some

of them continue to be still on
the mechanical side, but many of them have changed into LCD type, and few of them have changed already to upgrade of TFT. So, it would be very difficult for me to give an exact number. But what I can tell you is , roughly it could be like 2x times of what it was five years back in terms of the content per vehicle of our product.
Vipul Shah : And over the next three years, will it become 3x of where we were in ' 19?
PM Ganesh: Quite possible, in my opinion, because the way in which the digitalization is happening in the industry, I am sure that that will definitely take us to that number.
 Moderator: Thank you. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.
Chirag Jain : Sir, a few questions from my end. I just wanted to get a sense in terms of the revenue growth guidance or outlook for this financial year and next year , how do we see the overall revenue panning out ?
PM Ganesh: Mr. Chirag , actually this is a little forward -looking statement, which we are not supposed to do. But we are poised for a good amount of growth. I do not want to put any percentage attached to it because of the forward -looking nature of the statement . But you would have seen in the last couple of years, three years rather , how the growth has been at Pricol. And as the previous caller mentioned , the growth or the content per vehicle has been on the continuous increase, that's what we have been explaining. Even if the segm ent level growth is going to be flat, still Pricol will continue to grow primarily because of the value -addition in the product.
Chirag Jain : And also, if you can share some update in terms of the new projects that we were undertaking, especially on the e-cockpit side, disc brakes, I think the commercial production had started. And also, with respect to Honda ramp up over the next 12 to 18 months which we highlighted last quarter, how those projects are progressing , especially the e -cockpit which would be, let's say, the business that will start probably next financial year onwards.
PM Ganesh: Yeah, e-cockpit is under intense testing at our facilities, and we have also given some proto samples to our customers for validation. Currently as we speak it, it is in the right direction in terms of testing and validation. The dis c brake also is in the same position of intense testing and also at the vehicle level testing at the customer end . In the next 12 to 18 months, we should go into SOP of these two products.
Chirag Jain : And just lastly from my side, the margin guidance was roughly about 13 .5% and I guess we have already done 13% in the first quarter . And usually we see that the second, third quarter, fourth quarter typically tends to do even better in terms of the overall revenues. Is there a revisit to our margin guidance probably upwards?
PM Ganesh: It would be difficult for me to comment because it is quite dynamic in terms of the product mix. We hope to continue at the same level. Let us see if something is going to be favorable for us in Q2 .
Moderator: Thank you. The next question is from the line of Harini from Sundaram A lternates. Please go ahead.
Harini Muthukumar : Thank you so much for the opportunity and congratulations on the strong margin performance. Firstly, probably continuing on the revenue growth that you were alluding to, you have always wanted to grow ahead of the industry, very good to hear that you still stay on this stance. But
 the last two quarters we have been seeing some kind of moderatio n on the outperformance versus the industry. Is there something to call out to ? Because last quarter you had mentioned there was a one -off on account of a ramp up on certain models with some client . Is there something similar in this quarter? Are there any one- offs or something that we should be looking out for ? What's your outloo

k on the outperformance versus the industry , sir?
PM Ganesh: We continue to outperform the market quarter- on-quarter , that has been the trend in the last three years at least . And even this quarter , as we speak, we have definitely outperformed the market. The segments where we are significantly present , primarily the two -wheeler , commercial vehicle and the o ff road vehicle , where we have outperformed the market when compared to the vehicle level perform ance. The reason being , as I am just repeating again is , because the value- add in the product has been continuously increasing for P ricol. That is the reason we are able to outperform the market by a significant margin.
Harini Muthukum ar: I definitely understand that point. J ust my reference was basically coming from , so if I look at the past four, five quarters o r even more, we have been at least outperforming by high double digits or at least double- digit outperformance, whereas we have seen some amount of tapering on that. Is there something to worry? B ecause last quarter you had mentioned that three models or three launches were getting delayed , so that was one reason. Is there some impact on account of that continuing in the curre nt quarter or how do we read it, s ir?
PM Ganesh: Yeah, you are right in the sense of it depends upon the vehicle launch by the OEM's where we can outperform very significantly or marginally. But that depends upon the vehicle launch. But we are in the right track of all our new project development for the next two years at least,

where we have got confirmed the business from various OEMs. So, this trend is going to continue. Maybe there will be little spike in terms of outperformance versus certain tapering in certain quarters, but it is going to be continuously we are going to outperform the market for sure.

Harini Muthukumar : Maybe just another question to probably squeeze in was , we have been hearing a lot of news reports where there are other conglomerates who are coming into the TFT clusters. So , how do you see it ? Because you are almost working with all the new age and the existing OEMs, because that's where the EV adoption and the TFT clusters are coming in. H ow do you see that and your thou ghts around that, s ir, if you may?

PM Ganesh: Yes, competition is going to be there and competition is there also. As we speak, there are a number of competitors in the market . But what differentiates Pricol is the value- addition whatever we give it in the product, we have got our local design center, we have got large amount of backward integration, our close association with the customers for many, many years , and continued working of offering new solutions to the customer. I am sure that that will keep u s in good pace when compared to competition.

 Moderator: Thank you. The next question is from the line of Rahul Ranade from Goldman Sachs Asset Management. Thank you. Please go ahead.

Rahul Ranade : So, just continuing on that point in terms of outperformance versus the industry . Sir just if you could share a template with us in terms of how should we, as outsiders , look at the outperformance? I am assuming you are taking volume growth for the industry an d then comparing our revenue growth with the volume growth, is that the right understanding?

PM Ganesh: We do see growth on both sides , one is the volume growth and also the value growth, bo th are important. So, what we do is we take the volume growth of t he vehicle of that segment. Then we compare our volume growth with vehicle growth . This is the first comparison which we do . Second comparison, w e also do the value growth in terms of how we have done . So, the last few years has been our value outperforming the volume, and both the volume and value outperforming the market.

Rahul Ranade : So, we outperformed the market in terms of volume growth as well is what you are sayin

g?

PM Ganesh: Absolutely. The reason is , we have been able to get new busi ness wins across various models. So, that is the reason our market share has been continuously increasing.

Rahul Ranade : Sure. And let's say if we were to kind of , obviously , because the industry as such is very dynamic and if one were to overlay let's say our estimates of industry growth , and then would it be fair to add a particular percentage in terms of d elta in terms of outperformance and then arrive at an approximation of our revenue growth. Would that be the right way to work it out?

PM Ganesh: It would be a little difficult to exactly do that. The reason is , because it depends upon the OEM vehicle launch quarter -to-quarter. Suppose if there are going to be more vehicle launches happening during a particular quarter, then the outperformance is going to be significantly high. If it is going to be less of vehicle launches during that particular quarter, it will be a little deeper . But however, since we have been continuously gaining market share with many new projects getting launched quarter -on-quarter, we would continue to outperform the market in terms of both volume and value . The value portion will be a little more significant when compared to the volume, primarily because of the value- addition in the product.

Rahul Ranade : Just a ballpark in terms of what that outperformance will be? L et's say, would it be whatever number we derive in terms of whatever growth is in terms of volume ? And should we add let's say 5 %, 7%? How should we kind of think of that in terms of the content related pure increase that one could see?

PM Ganesh: That's what I mentioned, i t depends upon the new product launches by the OEM. But if you see the past three years, it's difficult again to say. But if you average out, I think it should be quite easily close to a double digit , somewhere certain quarters it is like 5%, certain quarters are even like 10% when compared to the vehicle growth. But the bottom line is we continue to outperform the market.

Rahul Ranade : Sure, sir. No, I understand there will be quarterly ups and downs . But just let's say if one were to think of it more from a medium to longer range, one can work with that 8% to 10% kind of pure content related growth. Is that the right understanding?

PM Ganesh: Content per vehicle is what you are telling ?

Rahul Ranade : Yes, just purely coming from the content. So, one leg would be coming from , like you said , you outperform the industry also in terms of volumes by getting more and more wallet share. But purely from a content standpoint, would 8% to 10% be a fair approxim ation to work with ?

PM Ganesh: That again depends upon the model mix. That's where the issues are there sometimes. Because quarter -to-quarter the OEM vehicle mix changes a lot, that's why it would be difficult even if the content per vehicle are there whic h is fixed, the model mix changes can be the significant variation in terms of the growth when compared to the vehicle growth. So , it could be very difficult for me to average out quarter- on-quarter, even if there is not going to be any new product, what i s going to be your concern for growth which is going to take you for growth when compared to the market , will be little difficult for me to define.

Rahul Ranade : So, where I am coming from and probably most of the others are also coming from is , the last two quarters have been fairly strong for the two -wheeler industry as such. E ven let's say Q1 FY '25 was a 20% industry growth , whereas for us the top line growth is fairly muted at around 15 odd percent only. So, I understand two w heelers isn't 1 00% of the business , but just I thought it could get compensated with the content increase also . So, that is where I am coming from .

PM Ganesh: Absolutely. That will definitely continue to contribute. But two wheeler mark

et , I think i t's not grown by 20% , for your information.

Rahul Ranade : In terms of volumes for the industry on a Y-o-Y basis, Q1 FY '25 versus Q1 of FY '24 is what I am looking at.

PM Ganesh: I don't think it has grown by 20%. Maybe you can check the data and then maybe we can have a call also offline.

Rahul Ranade : Sure, we can do that. Thanks.

Moderator: Thank you. The next question is from the line of Sahil Rohit Sanghvi from Monarch Networ th Capital. Please go ahead.

Sahil Sanghvi: Congratulations, sir, on the good set of numbers. And my first question is about the segment al split. Can you break the revenues as per the two -wheeler , four wheeler , CV, off-highways ?

 PM Ganesh: Of our total value, around 65% comes from the two -wheeler front. Roughly about 15% comes from the commercial vehi cle. And we have close to about 10% coming from personal passenger vehicle. And the remaining comes from tractor and off -highway . This is the rough split up.

Sahil Sanghvi: My second question is regarding the four -wheeler side of business. So , earlier, if I remember correctly, our share used to be somewhere around 6 % to 7%. Now we see this growing up gradually. Are we winning new orders? Have we onboarded new customers on the four wheeler side? And if yes, can you name them?

PM Ganesh: Yes, we continue to grow with four -wheeler . There are more opportunities coming in our way, especially the Indian four -wheeler areas where we are highly focused. We are getting many opportunities in the last five years. We started this journey, as you know, from 2 020 onwards, re-entering into the personal passenger vehicle segment. After that we have been seeing continuous growth. I am sure that the growth momentum is going to continue for us in the next few years in this area.

Sahil Sanghvi: Sir, have we onboarded any new customers in the four -wheeler side?

PM Ganesh: We are primarily a major supplier to Tata Motors on the personal passenger vehicle . And we are also working with a few of the other Indian personal passenger OEMs. B ecause of the NDA I am not revealin g the name , because the product has not been launched yet. But we are working with a few of the Indian personal passenger vehicle manufacturer in a very significant manner.

Moderator: Thank you. The next question is from the line of K hush Naha r from Electrum PMS. Please go ahead.

Kush Nahar: So, my first question is, is there any update on the inorganic opportunity that you are looking for, since it is included in the FY '26 guidance that you have given, s o any update on that? And my second question is , any update on the labor case that was going on ? So, I see that as the annual report h as increased to around Rs. 55 crores as on March , so are we settling it and what is the status in that?

PM Ganesh: The first question I will request our D irector Strategy, who is there in this call, to address.

Siddharth Manoharan: Good evening, Mr. Siddharth here. Regarding inorganic opportunities, we have shortlisted a few assets and currently we are evaluating the same , and in negotiation with parties . At this point in time , since all of them are in the NDA stage, we will not be able to disclose any further information . Maybe by next quarter we will have some concrete guidance to being able to give the investors. Thank you. And I will hand over it to Ganesh to adv ance to the second question.

PM Ganesh: Your second part of the question, I will request our CFO, Priyadarsi to answer.

 Priyadarsi Bastia: Good evening. The increase in contingent liability on account of l abor case is on account of the interest accumulation for one more year. So, there is no additional labor case which ha s coming.

Moderator: Thank you. The next question is from the line of Aditya from Sovello Investment Managers. Please go ahead.

Aditya : My question was more on the lines of

the split of revenue , that was already answered. So, thank you very much.

Moderator: Alright, thank you. The next question is from the line of Hemant Soni , who is an individual investor. Please go ahead.

Hemant Soni : Sir, congratulations on a very good set of numbers . And thank you for providing with the opportunity. Sir, w e have an aspirational target of Rs. 3,600 crores of revenue by FY '26. So, if I extrapolate the Q1 numbers, we will be hovering around Rs. 2,400 crores , Rs. 2, 500 crores, right , in FY '25? So, I mean , will we be around Rs. 2,400 crores, Rs. 2,500 crores in FY '25, then

there will be a 50% jump? I mean, how are we planning , and just wanted to know this.
PM Ganesh: Hemant, good evening. This is Ganesh here. Thank you for your question. Actually, that would be a little forward -looking statement , as I mentioned during the beginning of the call. So, what we can tell you is that we have got very robust order book s for th e next two years with confirmed businesses from various customers. A nd we are in the right path in terms of the new product development with various customers. That's all I can say. How much in terms of the sales revenue we will reach for next year , I will reserve my answer being forward -looking statement . But I can give you the confidence that we are in a very robust path.
Hemant Soni : That is fine, but any ballpark number , any tentative number? Or maybe are we sure that we are going to clock double digit revenue growth in FY '25? At least you can provide this kind of information, sir.
PM Ganesh: We are already having a double- digit growth quarter- on-quarter , and even in this quarter you can see that we have grown by 15.48%.
Hemant Soni : So, it is fa ir to assume that we will be clocking a double- digit revenue growth in FY '25?
PM Ganesh: Hope so , we do not know . But the past three years we have been clocking double digit revenue, double digit growth.
Hemant Soni : And the aspirational target which you have in mind is, I mean , pretty on track?
PM Ganesh: Yeah, it's pretty on target, yeah.
 Moderator: Thank you. The next question is from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.
Nandan Pradhan : I had a question around the exports , in the last quarter we had said that our exports would continue to contribute about 10% of the revenues versus our initial guidance of 20% , because there was some weakness in the US market. So, does that still stand ? Or are there some green shoots that could revise our estimate upward s?
PM Ganesh: Export is a little concern in terms of slowness in the market, primarily the US market . But still we are able to maintain that 8% to 10% of the content of export in our total revenue. We expect that U.S. market will become little better after the next three quarters . That is where we have the indication. B ut it is going to be a little muted for the next three quarters in terms of its growth.
Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yog ya Capital. Please go ahead.
Pradeep Rawat: So, my question is regarding the export side only. So , how do we see export opportunity panning out in euro particularly ?
PM Ganesh: Europe, we are working with a number of OEMs , both on the Driver Information System and also on the AC FMS side . And we have got the key strategic customers at Europe, primarily the two-wheeler customers in Europe like Ducati, BMW, KTM, we supply to most of them in the Europe market . And also , we supply to the t ractor and off -highway . We are currently working on a number of opportunities in the Europe market, but all of them are currently under development , testing at various stages. I am sure that in the coming years progressively each one of them are going to be launched with these various OEMs. B ut export for sure is going to be on a signifi

cant growth path in the future to come.
Pradeep Rawat: Can we expect like faster growth from the revenue from export s? Like can we see a share of export increasing in our revenue mix?
PM Ganesh: Yeah, that is where we are aiming ourselves. But again, it depends upon the customer vehicle validation at their end. Europe customers take a little longer in terms of the testing process. So, it depends upon how fast we can have that into mass production with the OEMs . We are on the right path at this point of time with multiple new developments going on with our key strategic customers. I am sure that in the years to come, our export revenue is going to see continued growth.
Pradeep Rawat: And in terms of margins and credit cycle, how are the export as compared to our domestic customers?
 PM Ganesh: Export margins are definitely more than the domestic, but in terms of volumes actually export would be lesser when compared to domestic. But in terms of margins, export would be more than domestic. How much it would be, it's difficult , because it varies from product to product.
Pradeep Rawat: And with respect to credit cycle, like how much debtor days do we have to give to them?
PM Ganesh: Credit period is generally calculated from the bill of l oading, so generally it is like 45 to 60 days would be the average for export.
Pradeep Rawat: And for domestic?
PM Ganesh: Domestic, we operate on an average like 45 to 60 days.
Pradeep Rawat: My last question is regarding our capacity utilization. So , how much of the capacity utilization would we be working on at our current asset base?
PM Ganesh: Currently it would be a litt le difficult , because we have got multi modal lines, w e have got flex lines. So, depending on the customer requirement we keep adding lines , as we have mentioned that we do our in- house line machine building , and also the tools . So, we keep building it depending on the customer capacity. So, what we do is , generally on an assembly line we take on our two shift bases in terms of our capacity calculation depending on customer

requirement , generally we plan for N + 1 , something like that. N is the current year , so next year . So, two years before is what we have our capacity. The third shift is generally kept for contingency plan. For example, if there is going to be any spike in the customer requirement , you know that we are part of the festival season now , if there are going to be any abnormal increase, then we use the third shift for those assembly. But primarily we keep on a two shift basis in terms of our capacities .

Moderator: Thank you. The next question is from the line of Vipul Kumar Anupchand Shah. Please go ahead.

Vipul Shah : Most of my questions have been answered. Just , we had some MOUs or joint ventures for Battery Management System , and we had a tie- up with a software company also. Is there any progress on that sid e, sir?

PM Ganesh: I will reque st our D irector- Strategy to explain this.

Siddharth Manoharan: Thank you. Good evening once again. R egarding the B attery Management System , currently the prototypes are being developed and this is in the final stages of development with our partner. I think by next month onwards we will be receiving the first level of samples, and we will be doing a road show with customers for testing at their end . Regarding the telemati cs platform , again, w e have provided some joint integrated samples to the customers and currently they are also under testing.

 Vipul Shah : So, can we expect any revenue from th ese joint ventures in near future, s ir?

PM Ganesh: We would like to clarify ; these are not joint ventures but they are strategic complementing partnerships . We bring some part of the solution to the table, and they add some part of the value- addition to the joint platform that we have developed together. So, we have not given any r evenue

guidance as such. O nce the product s are tested by the customers and accepted , post which we will be able to share revenue credit . But we are not taking any revenue credits for this financial year.

Moderator: Thank you. As there are no further questi ons, I now hand the conference over to the management for closing comments.

PM Ganesh: Thank you so much once again and see you soon during the Q2 earnings call shortly . I would request our CFO to give the closing remarks . Over to you, Mr. Priya n.

Priyadarsi Bastia: Thank you, t he Shareholders and Investors Group for your active participation in the call and asking relevant questions . This quarter was a good quarter for us, and we expect the same to continue. I would like to have further questions i n the Q2 investors call . Thank you so much.

Moderator: Thank you. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

PL/SEC/TGT/2024- 2025/098 Friday, 8th November , 2024

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Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,
Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con- call held on

7th November 2024 pertaining to Company’s unaudited financial results for the quarter
ended 30th September 2024.
This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl. As above

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PRICOL Limited Q2 and H1 FY25 Earnings Conference Call
November 07, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2025 Conference Call of PRICOL Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone.
Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valorem Advisors.
Thank you, and over to you.
Purvangi Jain: Good evening everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of PRICOL Limited.
On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the second Quarter and Financial Year 2025. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's concall may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties,

which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place a ny undue reliance on these forward -looking statements. in making any investment decisions.

The pur pose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call, and hand it over to them for opening remarks. We have with us Mr. Vikram Moh an – Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddhart h Manohara n – Director of Strategy; and Mr. Priyadarsi Bastia – Chief Financial Officer.

Without any delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you, and over to you, sir.

 Vikram Mohan: Good evening to all participating in this call today to go over the H1 Financial Performance of our Company . We thank you for your presence. The presentation has already been uploaded and I hope all of you have had a chance to look at the presentation. In terms of questions at the end of the presentation,

to give everyone a fair hearing and a chance to ask questions, we ask you to restrict yourself to one question at a time and rejoin the question queue, please.

I am pleased to announce that we have had higher than market growth for the Quarter 2 of Financial Year 2025, quarter ending 30th September. Our revenue from operations stands at 6,500 million with an EBITDA of 871 million resulting in an EBITDA margin of 13.4% with a PAT of about 450 million and a PAT margin of 6.93% resulting in a basic EPS of 3.70 Rupees per equity share. This is on a consolidated basis.

For the half year ending 30th September, for Q1 and Q2 put together, we have had sales of close to 12,530 million, EBITDA of 1,677 million, an EBITDA margin of 13.39%, profit after tax of 906 million, profit after tax margin of 7.23% and a basic EPS earning per share of equity share of 7.44 Rupees. I am also happy to inform you that at a consolidated level, our long -term borrowing s are nil and we have comfortable cash reserves in the company as of 30th September. Our revenue from operations on a quarter -to-quarter basis between FY24 and FY25, we have grown at around 15.54% in spite of having muted sales in the automotive industry in Q2.

Our EBITDA has grown by 24.7% for the same period and for the half yearly results, we have grown pretty similarly at 15.51% and EBITDA has grown at 23%. All the other details of the financial performance are loaded on the website. We will go straight away to the question-and- answer session.

Once again, I remind everyone to ask one question and rejoin the question queue as there are many people who have already posted questions. Thank you. Thank you very much.

Moderator: We will now begin the question- and- answer session. We will take a first question from the line of Omkar Chitnis from Trade Brains Pvt. Ltd. Please go ahead.

Omkar Chitnis: My first question is with the increase in India's defense budget and growing demand for defense equipment, how does companies plan to capitalize on opportunities in defense equipment region? Are there any specific planned initiatives to benefit from focus on domestic defense production?

Vikram Mohan Mr. Chitnis, while the company currently has no business in the defen se segment . As a management, we are exploring some inorganic opportunities to enter into the railway and defense segment in India which will give us higher margins and impetus for growth. It is very early stages right now, but rest assured we are evaluating opportunities and hopefully in the coming quarters we may have some good news for the company.

 Thank you, Mr. Chitnis.

Moderator: Thank you. We will take our next question from the line of M. N. Kumar, an individual investor. Please go ahead.

M. N. Kumar: Sir, it looks like the working capital, trade receivables have gone higher this year, this 6 months. Can you explain the reason, what is happening there?

Priyadarsi Bastia: Good evening. See, the receivables have gone up marginally because the sales have gone up, 15% growth in sales is there and last quarter when you compare it with March, the amount of factoring which we have used is higher than compared to September. So, receivable is looking higher.

M. N. Kumar : So, that 46 to 55 days, 46 is a little lower and remain .

Priyadarsi Bastia : Yeah, number of days is maintained.

M. N. Kumar : March end it was 46 and September it appears to be 55 days.

Vikram Mohan: Yes, sir, like Mr. Bastia explained, A, we had higher factoring in March. We have reduced our factoring because of our financial position, good financial position. So, obviously the receivable shows marginal ly higher and please a

lso see that the sales has increased by 15%. So, this represents the same. So, the number of days of receivables is well under control.

M. N. Kumar: Okay. Typically, what is the receivable days? Is it 55 or 50 days, which is it approximately?
Priyadarsi Bastia: We operate with all domestic customers 30 to 45 days, which extends up to 60 days in terms of exports.
Moderator: Thank you. Next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Sir, I just want to update on the new products, which are the which are the E -cockpit, Telematics and BMS . So, at what stages they are in and if, you know, from when they can start contributing some revenue?
Vikram Mohan: Revenue is at least 18 to 24 months away. The product has been completely got ready and has also been submitted to customers for testing.
Khush Nahar: So, they are included, and we are on track with the target of 3200 crores of revenue in FY26 as a guidance. Are we on track on achieving 3200 crores of revenue as guided before in FY26?
Vikram Mohan We are pretty much on track to meet our numbers as a combination of organic and inorganic, we are very muc h on track to meet our numbers.
 Moderator: Thank you. We will take our next question from the line of Vijay Pandey from Nuvama . Please go ahead.
Vijay Pandey: So, I wanted to check if you can give some light on the margin profile of the business, like between the products. So, my thinking was that the BMS margin profile will be somewhat margin diluted. I might be wrong here, but I just wanted to check if you can.
Vikram Mohan: Margins for which would be diluted? Sorry, you were not very clear.
Vijay Pandey: The battery management, BMS and brakes.
Vikram Mohan: Okay. Battery management system, we have still not made a commercial foray. It is still under testing with the customers, so we have not made a foray. So, whatever numbers represented here do not represent any BMS revenue whatsoever.
Vijay Pandey: Okay and anything about the disc brakes?
Vikram Mohan: Disc brakes has already started commercial production and we have started supplies to about 6 manufacturers and next financial year will be the ramp up phase when volumes will reach some degree of maturity.
Vijay Pandey : Okay. Next financial year, FY26.
Vikram Mohan: Yes, that is right because we have just gone into production. Yes.
Moderator: Thank you. We will take our next question from the line of Maan Asher from Growth Sphere Ventures. Please go ahead.
Maan Asher : So, I just wanted to confirm about the industry. So, there were figures that the inventory pile-up has begun at the dealership network and the inventory were 80-85 days last month. This month was pretty good for 2-wheeler due to festivities. How do you see the demand for 2-wheeler shaping up, say, from a year now?
Vikram Mohan: Demand is very muted in the industry. My industry peers also tell me that their performance is also very muted. And as usual, the Q3 Quarter , which traditionally is the lowest quarter in the automotive industry, will remain very muted, but a little more muted than normal. In terms of exports, because of the Elections in the US, and the policies of the Republican government that have come in, exports have been extremely muted for us, much- much lower than demand that was initially projected by our customers. We are hoping in the next quarter or two, exports demand will go back to normal level which will also help us in terms of top line and bottom line, but domestic demand will continue to remain muted, and Q3 is expected to be a very weak quarter for the industry.
 Moderator: Thank you. We wil

l take our next question from the line of Madhav Agarwal from SG Investments. Please go ahead.
Madhav Agarwal : Hi. My question was already answered . Thank you.
Moderator: Thank you. We will take our next question from the line of M. N. Kumar, an individual investor. Please go ahead.
M. N. Kumar: Sir, this is related to the balance sheet. When we look at ROE and ROCE related aspects, one line item that comes through is intangible assets of almost 54 crores. It looks like everything is related to software. Is there any way in which we can expense them out rather than capitalize it, and then after that write off as the product matures or otherwise?
Priyadarsi Bastia: See, this intangible asset was capitalized in the year ‘17-18, and IndAS does not allow us to charge it off to P&L. So it will be there in the balance sheet.
M. N. Kumar: Okay. So, similarly, this deferred tax liability would also be staying like that only, because they seem to be permanent in nature. No, no.
Priyadarsi Bastia: Deferred tax liability is like it is only recognition of the tax which you are coming. It is just a timing difference. So the treatment of that in IndAS is different, and for the intangible assets it is different.
M. N. Kumar: When I looked at the annual report, it talks about permanent and temporary. If it is a timing difference, it should be temporary, right? But a substantial part of it seems to be permanent.
Priyadarsi Bastia: Exactly. So permanent difference is coming. Only timing difference means you are creating a deferred tax liability, which when the time arrives, the original tax liability comes, you reverse that deferred tax liability, and the actual provision you make in your books.

M. N. Kumar: Sir, what I mean to say is that the magnitude of the ones which are permanent in nature seems to be much higher than the temporary. Therefo re, I was asking this question.
Priyadarsi Bastia: No, no. I understand that. In our case, it is this way only.
M. N. Kumar: Oh, it's only timing difference only. Okay.
Moderator: Thank you. Next question is from the line of Jaimin Desai from Emkay Global. Please go ahead.
Jaimin Desai: So my question was related to the margin performance in the Quarter. It seems that there has been some softening at the gross margin level when I compare Q2 versus Q1 for consolidated operations . Can you call out a reason for this? Was it due to some commod ity impact or maybe mix impact?
 Vikram Mohan Mr. Desai, this was just based on product mix. This marginal difference in margins, which you will keep seeing from quarter to quarter, plus from the 1st of July, there has been a wage increase for our permanent workers and also for the staff, which has seen some impact of the margins, which will come back to normal with the productivity increase. This is an annual phenomenon that we see.
Jaimin Desai : Understood, sir. And if you could also provide an outlook on margins going forward?
Vikram Mohan: It will be pretty similar to where we are. I have always maintained in many quarters that our 13 to 13.5% EBITDA is what we intend to maintain and what looks reasonable for our set of products. Margins will be a little better when exports resume. Exports, this was probably the weakest quarter in many quarters, so when exports resume or come s back, margins will go up about 50 basis points.
Moderator: Thank you. We will take our next question from the line of Sahil Sanghvi from Monarch Networth Capital. Please go ahead.
Sahil Sanghvi: Thank you for the opportunity, sir, and congratulations for beating the industry. Just one follow -up question from the previous participant. In terms of product mix

, can you give some more details as to how the adverse product mix affected the margins? And the second question would be on CAPEX . I think we have deployed something like 100 crores in the first half. So, in the full year, what will we deploy next year, what will be the number s?
Vikram Mohan: In terms of margin mix, it is very, very difficult to explain because when a mechanical cluster suddenly demand goes up by a couple of 10,000 units, the margin gets muted because the margins in a mechanical cluster is low. In an electronic cluster, the margin is much higher, the rupee profit. So, it is very difficult because we are a diverse product company even in the driver information system. Our export margins are higher, significantly higher than domestic margins. So, when exports become muted, the margins go for a toss, anywhere between about 50 to 80 basis points. Coming to the CAPEX, I have always maintained that we are looking at around 600 crores of CAPEX over 3 years. And we are on track on the 600 crores of CAPEX and we are continuing to maintain the same outlook. And this year would again be about 200 crores. Correct me if I am wrong. I am requesting my CFO to correct my statement and next year will be about 150 to 180 crores.
Sahil Sanghvi: Where also will this be deployed? If you can give some more details ?
Vikram Mohan: I suggest that you can get in touch with our CFO who can throw light on this. I can give it to you, but many a time I have repeated in many of our calls. Because we are creating a new plant in Pune. We are expanding our plant in Manesar. We are buying land to create 2 new plants for the future. We are upgrading our lines to the tune of about 150 crores. We are investing in a new plastic component molding shop. We are upgrading our tool room. We are buying 14
 new PCB lines to make PCBs. So it is a whole host of things. So if I just bring out the whole list, it will not make sense on a call.
Moderator: Thank you. Next question is from the line of Chandragupta, an individual investor. Please go ahead.
Chandragupta: You mentioned about inorganic opportunities in railway and defense equipment sector and in the past also you have mentioned about an acquisition. So just wanted to know roughly what size this acquisition will be in a ballpark figure that you have in mind and how it will be funded.
Vikram Mohan: It will be a 2-digit figure. We are a debt -free company. We have cash reserves. But depending on the size of the acquisition, we are not only looking at this. We are looking at other inorganic play also, safe inorganic play in allied areas and as I have maintained in my earlier calls, up to about 300 crores of debt, we are looking at proba bly raising based on the kind of acquisition.
Chandragupta: Okay, 300 is the maximum that you will raise?
Vikram Mohan: Yes. We are anticipating it. You know, when we are evaluating opportunities, we are looking at about 4 or 5 different opportunities and 1 or 2 of them are moving very fast. So it could be somewhere around 300 crores that we are looking at debt for an acquisition. Not necessarily in the defens e or railway space, but in the auto space.
Moderator: Thank you. We will take our next question from the line of Sahil Sanghvi from Monarch Networ th Capital. Please go ahead.
Sahil Sanghvi: Just wanted to understand the proportion of exports in our revenue this quarter versus same quarter last year, sir.
Vikram Mohan: Same quarter last year was about 9% and this year is about 6.5%.

Moderator: Thank you. We will take our next question from the line of Madhav Agarwal from SG Investments. Please go ahead.
Madhav Agarwal:

Just wanted to understand how do we see the EV market playing out for us? How big of an opportunity do we see there?
Vikram Mohan: We really don't... We are not affected by EV, number one, because we are... Our products are agnostic to propulsion, as I have maintained in many earlier calls and we are working with almost 20 EV players for our products. But the EV adoption I have always maintained is going to be slow and other people have been saying it is going to be very fast and I think, I am not a prophet, but my prophecy of very slow adoption is what is happening today and it is going to take until 2030 to reach certain maturity and size before it's, probably 50% of the market and Page 8 of 9 we are propulsion agnostic, so whether it's an ICE vehicle or an EV vehicle, it is of no consequence to us.
Moderator: Thank you. We will take our next question from the line of Vignesh from Ksema Wealth. Please go ahead.
Vignesh: Sir, just want to understand the opportunity size for our BMS products.
Vikram Mohan: I would not like to comment on it, because it is so fragmented, the market. Everyone is jumping into it. Vehicle makers are not very clear what they intend to do with it. So BMS is something that even I am not very, very bullish about, and all our projections are taken into account without a significant amount of BMS revenue.
Vignesh: Okay, sir. Any other products apart from disc brakes we are planning to enter into, sir?
Vikram Mohan: So the smart cockpits and the connected vehicle solutions, which already we are starting to see traction and growth. This in itself is a very large opportunity is what I am talking about.
Moderator: Thank you. We will take our next question from the line of Smit Shah from Monarch Networth Capital Limited. Please go ahead.
Smit Shah: Sir, my question is regarding the split of mechanical , digital , and TFT for the quarter and some bit of color on the premiumization trend. How much has it played out according to you, and what is the outlook ahead?
Vikram Mohan: For the quarter, it is very difficult because it keeps changing the product mix, but approximately, are you askin g by volume or value, Mr. Shah?
Smit Shah: Value, sir.
Vikram Mohan By value, mechanical would be about 30%, and TFT would be about 30%, and the rest would be somewhere in between. Okay.
Smit Shah : Sir, what is your outlook in terms of the new launches that are happening?
Vikram Mohan: Mechanical is going to stop, slowly fade out, moving into LCDs, and whatever is LCD will move towards TFT. That's the way the market is growing and I mentioned in earlier calls that we saw our average product value move from Rs. 300 10-12 years ago to Rs. 1200, and we see it jumping to about Rs. 2500 in next 2 to 3 years for a two-wheeler.
Smit Shah : Okay. Sir and what was our contribution from the PV clusters this time?
Vikram Mohan : It is about 9% to 10%.
Page 9 of 9 Moderator : Thank you. That was the last question for today.
Vikram Mohan: Thank you very much. Since there are no more questions, I would like to take this opportunity for your active participation in today's call. As is the practice in our company, the managing director participates in H1 and H2 calls, and the CEO handles Q3 and Q1 calls. So I look forward to connecting with all of you at the end of the financial year. Thank you very much. Have a good evening. Jai Hind.
Moderator: Thank you, sir. On behalf of Pricol Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

PL/SEC/TGT/2024 -2025/120 Monday, 3rd February, 2025

Listing Department
National Stock Exchange of India Limited
“Exchange Plaza’, C- 1, Block G
Bandra -Kurla Complex,
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BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293
Dear Sir,
Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we herewith submit the Transcript for the Con -call held on
30th January 2025 pertaining to Company’s unaudited financial results for t he quarter
and nine months ended 31st December 2024.
This is fo r your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

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Page 1 of 12 PRICOL Limited
PRICOL Limited Q3 and 9 months FY’25 Earnings Conference Call
January 30 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q 3 and 9-month FY 2025 Conference Call
of PRICO L Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference call, please signal an operator by pressing ‘*’ then ‘0’ on your
touchtone phone.
Please note that this conference is being recorded. At this time, I would like to hand the
conference over to Ms. Nupur Jainkunia. Thank you and over to you Ma’ am.
Nupur Jainkunia: Thank you. Good evening, everyone, and a warm welcome to you all. My name is Nupur
Jainkunia from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On
behalf of the Company, I would like to thank you all for participating in the Company's Earnings
Call for the 3th Quarter and 9 months ended for the Financial Year 2025. Before we begin, a
quick cautionary statement. Some of the statements made in today's concall may be forward -
looking in nature. Such forward -looking statements are subject to risk and uncertainties, which
could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as
assumptions made by and information currently available to
the management. Audiences are cautio ned not to place any undue reliance on these forward -
looking statements in making any investment decisions. The purpose of Today's Earnings
Conference Call is purely to educate and bring awareness about the Company's fundamental
business and Financial Quarter under review .

Let me now introduce you to the management participating with us in today's earnings call and hand it over them for Opening Remarks. We have with us Mr. Vikram Mohan – Managing
Director; Mr. P. M. Ganesh – Chief Executive Officer and Executive Director, and Mr. Priyadarsi
Bastia, Chief Financial Officer.
Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks
followed by financial and operational highlights of the company. Thank you and over to you,
sir.
Vikram Mohan: Thank you, ma'am. Good evening everyone and a warm welcome to our Q3 FY'25 earnings call.
The presentation has already been uploaded and I hope all of you have had a chance to see the
Page 2 of 12 same before this call. As all of you are aware, the automotive industry is seasonal and the
Quarter 3 is always the weakest quarter in the financial year. In spite of having a weak quarter
in the automotive industry, your company has performed reasonably well under the
conditions. Our revenue f

or Q3 is Rs. 6,159 million with EBITDA of Rs. 780 million with EBITDA
margin of 12.67%, PAT of Rs. 414 million with PAT margin of 6.73% with a basic EPS of Rs. 3.40.
At a consolidated level, our long -term borrowings continue to stand at nil. We will move
straight to the que stion -and- answer session.
May I request participants in the interest of democracy to restrict yourselves to one question
and once you receive the answer for the same, to go back to the question queue so that
everyone in the call has a chance to ask questions. Thank you.
Moderator: Thank you. We will now begin the question- and-answer session. First question is from the line
of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: My first question was regarding the demand. This quarter, we have grown 11%, which has been
considerably on the lower side in the past 10 quarters. So, what kind of growth are we seeing
going ahead from FY'26. After the consolidation, we are well above our target of 3600 of
revenue that we have envisaged. So, what type of gro wth we see FY'26 onwards also on a
consolidated level?
Vikram Mohan: This quarter, demand was a little muted in the entire industry and in addition, we had some
supply chain issues, which resulted in lower sales. We are expecting to grow at around between
13% and 15% based on our product mix, new product introduction, and market demand.
Moderator: Thank you. Next question is from the line of Aman Agarwal from Carnelian Capital. Please go
ahead.
Aman Agarwal: My question was on the acquisition. If you can briefly talk about the strategy for this acquisition
and once the deal is complete, what will be our strategy and plan for the next 3 to 5 years?
Since TVS is the largest customer, it is diversifying from that as well as focus on growth from
that segment as well as margin improvement. You can talk a bit on that.
Vikram Mohan: Aman, I will break that up into 3 parts the answer for the say, the rationale for the acquisition. I have always maintained over the last 2 years that we are looking at an acquisition where in a commodity space and plastics is something that we understand very well in Pricol and we are
masters in plastics and we want to acquire a company with a low T TM or time to market as we
say in our industry. Because in our current products, from the LOI for the business to the start of production is anywhere from 30 to 36 months. We wanted to acquire a business with a 12-
to-14-month TTM and we came across this asset which was well run, belonging to the TVS
group with good value systems, good quality and good engineering. The revenue from the TVS
group is about 50% at this point in time. The plan is to significantly grow this business and move
from a component supplier to an FSS business. The total business that is expected to be done
Page 3 of 12 by this compan y this year is about 800 crores with an EBITDA of about 70 crores and we have
acquired the business at an adjusted EBITDA multiple of 3.5 times EBITDA multiple which is
value accretive to our shareholders. The growth plan as I mentioned is to move from mor e
components to more engineered products which is to be a FSS plastic supplier. This company
already has some world class customers as its customers and I personally met all of these 6
customers and they are willing to grow the business and expand the busi ness and probably in
a quarter from now once we take over management and start the planning process I will be in
a better position to comment about a 3 to 5 -year outlook. But our plan is to double the business
to about or somewhere in the region of 1700 cr ores over the next 3 years. Both organically and
inorganically.
Aman Agarwal: Understood sir. That was really helpful just a follow up on that. How much would be the domestic revenue and how much would be exports? Incrementally would we focus more on
domes tic or exports?
Vikram Mohan: There is no export reve

nue in the company. It is entirely domestic. Once we take control and
follow up to quarters down the line we will explore what are the possibilities for export revenue
but exports in a plastic commodity is the chances are much lower unless we get into an FSS
mode.
Aman Agarwal: Right and so can we sell it to our existing customers?

Vikram Mohan: Exactly. That is the thought process. That was the logic. Because being a TVS company they were restricted from selling to other two wheeler makers and other OEMs. With Pricol coming on board we will now pitch this business to all our other OEMs where we are working.
Moderator: Thank you. Next question is from the line of Vipul Kumar Anupchand Shah from Sumang al Investments. Please proceed.
Vipul Shah: Hi. Thanks for the opportunity. So sir can you comment on this recent two tie ups CGI Studio and TYW. So how they will be beneficial to us and so if you can briefly explain.
Vikram Mohan: These are very old ti e ups Mr. Shah. CGI Studio and Pricol have been working for a long time and TYW and Pricol also have been working for 1 year. This is more on technology and graphics and animation for our new projects. This is not a joint venture. This is only to enhance o ur technology in our products and this is not new relationships. These are old relationships.
Vipul Shah: Ok. So we just pay the royalty or something like that?
Vikram Mohan: It is a case -to-case basis. Development costs are paid and there is some transfer of technology.
Moderator: Thank you. Next question is from the line of Dhiraj Kaswan from RRR Investments. Please go ahead.
 Dhiraj Kaswan: First of all congratulations on the acquisition and next I would want to know that 50% of the revenue of Sundaram comes from TVS and other revenue comes from the other where they supply. So how confident are you that you will not lose those customers as the company has left the umbrella of TVS and is joinin g Pricol now?
Vikram Mohan: I have personally visited all the other 6 customers that contribute to the bulk of the business. They are very happy with the company and its products and strengthening the business and growing.
Dhiraj Kaswan: Thank you and a nother follow up was that you said that you assume the company is going to grow at 13 -15%. That is your estimate, and you want to double the revenue in the next 3 years so around 26 -27%.
Vikram Mohan: 13-15% is the growth rate for Pricol with new product launches and market growth and product mix. Sundaram Auto Components Limited which will henceforth be referred to as Pricol Precision Products with effect from 1st February, we want to take the business to about 1600 - 1700 crores over the 3 years through org anic and inorganic means.
Dhiraj Kaswan: Ok. So that 13 -15% growth estimate is including Sundaram or is it just for the Pricol?
Vikram Mohan: It is excluding. It is for the business as it stands today for Pricol Limited. Pricol Precision Products which i s how Sundaram Auto Components is going to be called. We are looking at doubling the business over a 3 year period to about 1600 -1700 crores which is far higher than a 13 -15% growth rate.
Dhiraj Kaswan: And the revenue of Sundaram will start flowing fro m which date?.
Vikram Mohan Tomorrow is the date of closure. So if all goes well from 1st February it becomes a subsidiary of Pricol.
Moderator: Thank you. Next question is from the line of Aman Agarwal from Carnelian Capital. Please proceed.
Aman Agarwa l: So my question was on the ACFMS business. That business, how are we seeing the demand in domestic as well as exports market and we were facing some issues in the exports market over the last 1 -2 years in this business some slowdown and all. So how is t hat behaving now and are we seeing some green shoots in that segment and any outlook on that?
Vikram Mohan: Exports have actually become even more hit -wins we have f

aced in exports and that is a cause of concern for us. We have seen off- take. We have not lost business or share of business. But the volume of business has come down because the production of the OEMs have come down in our market. But that will be offset from the next, let's say about 8 -12 months or so with our disc brake business starting to pick up volumes.
 Aman Agarwal: Sorry sir, disc brake business will start in what period so far? When will the revenue start flowing from the disc brake business?
Vikram Mohan: Disc brake revenue has already started. We have started supplies but the rampin g up is happening. But in about 8 -12 months we will start reaching mature large volumes.
Aman Agarwal: Understood sir. Sir, one final question from my side. If I see this quarter's employee cost, it has increased despite the lower revenues in this quarter compared to last quarter. Is there some one-off or this is the recurring run rate and any reason for this increase in employee cost?
Vikram Mohan: As a percentage of revenue it is the employee cost. It is not an absolute number because the revenue has come down typically this happens in quarter 3 of every year. This is something that you will see.
Aman Agarwal: Right sir. And why it is that sir? Any reason for this quarterly phenomenon?
Vikram Mohan: Because quarter 3, the revenue is always lower in the industry. Automotive industry is always Q3. Post Diwali there will be a drop and all customers shut down and the revenue is lower and that is the standard practice in the industry for decades. \
Aman Agarwal: Understood sir.
Moderator: Thank you. Next question is from the line of Jaymin Desai from Emkay Global. Please go ahead.
Jaymin Desai: Good evening sir. Congratulations on the acquisition and thanks for taking my question. Sir,

firstly just a cl arification. The 13 -15% growth number that you mentioned, that would be more
near term, so Q4 or maybe next year as well?
Vikram Mohan: We are expecting this growth rate over the next couple of quarters. 13 -15% steady growth rate
we are planning to maintain over the next couple of quarters.
Jaymin Desai: Got it. That's helpful. Secondly, on Sundaram Auto Component margins, it added for about 70 crores of
EBITDA on a top line of about 800 crores, implying about high single digit sort of
margins, whereas we are placed quite a bit above that. How do you see margins progressing in
this entity over the next couple of years and what would be the drivers for that?
Vikram Mohan: We are hoping over the next couple of quarters to increase the margin by about 200 basis
points, which is why we have bought it at a lower EBITDA multiple for it to be value accurate.
Jaymin Desai: Understood and this would be largely via efficiency improvements or any other reason?
Vikram Mohan: I believe during efficiency improvements, productivity improvements and upgradation of
certain machinery. Because the company in the last 2 years, ever since they kind of started looking at divesting non -core
businesses, not much of attention has gone into this business.
 Jaymin Desai: Understood. Just final question if I may squeeze in. Any other thought process on more M&A
activity?
Vikram Mohan: I just mentioned earlier, we are looking at growing our plastics business both organically and
inorganically.
Jaymin Desai: And in Pricol?
Vikram Moha n: Pricol at this point of time, we do not have anything in the offing.
Moderator: Thank you. Next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: So, first question was how much debt would be there on the books after the consolidation?
Vikram Mohan: I would request my CFO, what would be the consolidated debt post -closure of the Sundaram
transaction on the consolidated balance sheet?
Priyadarsi Bastia: On a consolidated basis, as we stand today, there is zero de bt.

After the closure of Sundaram
deal, we will hardly have 80 crores of debt.
Vikram Mohan : Consolidated, including Sundaram?
Priyadarsi Bastia: Including Sundaram, sir. We will have 80 crores of debt.
Khush Nahar: Okay. And the second bookkeeping question was that our other expenses have been
increasing, maybe 3%, 4% for a couple of quarters, 2 quarters and on third quarter, it's around
6% de -grown. So, is there any particular reason or is it the operational efficiencies that are
kicking in?
Vikram Mohan: Operational efficiencies and one -off, we use consultants to do certain technology agreements
and also for this deal, we have engaged, for due diligence and everything, we have engaged
people. These are the costs.
Khush Nahar: No sir I am saying it has reduced by 6% in this quarter. So, that is because of the operating
leverage only?
Priyadarsi Bastia: Yes. See, you got it correctly. In Q3, it has come down. Q2, it was a little higher. Q3, because there are a
couple of operational efficiencies which has come in and some cost reduction
initiatives which we have started, because of that, the cost has come down.
Khush Nahar: Okay. So, we can assume that 6.8% broad of revenue as a percentage should be maintained
going ahead, instead of 8%.
Priyadarsi Bas tia: Kind of.
 Moderator: Thank you. Next question is from the line of Suraj, retail investor. Please go ahead.
Suraj: Yes, sir. Just one thing that I wanted to understand. Who are the biggest competitors that you
are facing in the industry? Is it the auto OEMs or is it the auto ancillary manufacturers and
secondly, what is the competitive advantage that you have as compared to your competitors?
Is it in terms of the network effect or technological effect? So, these are the 2 things that I
wanted to unde rstand.
Vikram Mohan: We still hold the largest market share for two -wheelers and off- road vehicles and commercial
vehicles in the driver information system, which is our principal line of business. It is a combination of quality, cost, delivery,
service, and technology, which is why we have the lion's
share of the market. Our competitive landscape is companies like continental , Nippon Seiki,
Visteon and Minda. These are our 4 principal competitors. In spite of which, we are maintaining
a very healthy 40 -plus percent market share in two -wheelers and 80 -plus percent market share
in commercial vehicles and off -road vehicles. It is only because of our continuous investment
in technology. Even today, out of 1,000 employees in total white collar, 480 employees are just
in R&D and technology.
Moderator: Thank you. Next question is from the line of Richa from Equitymaster. Please go ahead.
Richa: My question is related to what share of revenue is coming from the electric vehicle segment. Also, if you could just give
some commentary on what is happening on the BMS licensing
agreement and the plan to manufacture in -house .
Vikram Mohan: I will request our CEO, Mr. Ganesh, to answer both those questions on the BMS and on the electric vehicle,
what percentage of sales of our total sales?
P. M. Ganesh: Good evening, Richa. The EV contribution has been continuously increasing on the driver

information system space. We are a major supplier to all the traditional OEMs like Hero Motor
Corp., TVS Motor, and also Bajaj. So, our pie on EV has been continuously increasing. But, of course, some degree of maturity will be reached after 12 months because all these OEMs are
evolving in terms of the volume. But, the pie of EV is continuously increasing, is number one.
Second thing i s on the battery management.
Richa: Sorry to interrupt. Is it below 10% or higher than that?
P. M. Ganesh: Currently, it is below 10% because if you see the total pie of the EV compared to the total two -
wheeler manufacturing is still quite low and it is evolving. We are very careful in the
penetration into the startup

EVs primarily because a lot of fluctuation is happening currently in the volume. So, secondly, a battery management system is under development and it is
under testing with few of our key O EMs. May be H2 of this year, we will start some business
on the BMS. And next year would be a full year of the battery management system sales.
 Richa: Sir, any kind of quantitative guidance on what kind of opportunity we are looking at here? It
would be a little difficult for us to talk about the numbers and value. But, what we can tell you
is that it is currently under testing with our key OEMs.
Vikram Mohan: Unless it is tested and passed, we will not be able to indicate any volumes.
Moderator: Thank you. Next question is from the line of Siddharth Chhabra from Minerva Asset Advisors.
Please go ahead.
Siddharth Chhabra: Hi. Can you give me the asset turns and the working capital as a percentage of sales for
Sundaram Auto Components? Asset turns of Sun daram and the working capital as a percentage
of sales for Sundaram. What is the number there?
Priyadarsi Bastia: Working capital, they work with 20 days of working capital and asset turns , it is a very asset
light entity because all the investments were very old investments. So, asset turns are pretty
high there.
Siddharth Chhabra: Can you give me a number? Is it possible?
Priyadarsi Bastia: Assets are pretty old.
Vikram Mohan: I don't think he has a readymade number right now on the call. If you can send an email to our
secretarial department, our CFO will be able to answer.
Siddharth Chhabra: Okay. I will do that. Secondly, can you tell me regarding the TFT clusters within two -wheeler
market. Can you give me an idea about how do you see the ramp -up in penetration there?
What the current penetration would be and how do you see the ramp -up in the next 3 -5 years
probably?
P. M. Ganesh : TFT cluster again is an evolving technology in the two -wheeler. Today, 5 -7% of our revenue is
coming from TFT cluste rs and as more EV is going up, TFT is something that is going to become
a major feature in all these vehicles. Not only on the EV, in the recent times even IC engine has
started adopting the TFT primarily because of the flexibility whatever it offers in te rms of many
features that can be added in quick time. So, we foresee that it is going to have good growth
in the next 2 years. If you remember, 5 years back, many of the mechanical clusters got
converted into LCD. Today, the same thing is happening. Moving , migration is happening from
LCD to TFT.
Siddharth Chhabra: Okay. And by penetration, I meant in the overall industry. You gave me the revenue figure.
That's great that will be also helpful. But in terms of the industry, in terms of two -wheeler, how
many units would be having the TFT and also you said, except EV, there is adoption coming. So,
within that, where is it coming, scooters, bikes, where are you seeing this penetration increasing?
 P. M. Ganesh : We are seeing TFT adaptation both in the scooter and motorcycle, both. It is not because it is
a scooter, EV or IC or motorcycle. TFT is a convenience for people to have more features like
onboard navigation or connectivity, Bluetooth, Wi -Fi, screen mirroring. Many of the features,
if you have seen, Pricol already has launched that in the market with multiple two -wheeler
customers. Now, if you ask me two -wheeler TFT in specific, we are quite proud to say that
nearly 80% of the TFT business of whatever is there in the two -wheeler is with Pricol.
Siddharth Chhabra: Okay. So, 80% of TFT two -wheeler industry is with Pricol.
Vikram Mohan So, two -wheeler TFT 75 -80% market share is maintained by Pricol.
Moderator: Thank you. Next question is from the line of Praveen Yadav, an individual investor. Please go
ahead.
Praveen Yadav: Sir, I have two questions. The first is about the product mix. Basically, volume a

nd revenue product mix in terms of two -wheeler, passenger vehicle, commercial and off -road vehicles and
my second question is about how we are progressin g on e -cockpit commercialization. Are we
able to get any order from any customer in the near future?
P. M. Ganesh : To give you a rough product mix in terms of vertical, this is little rough. 65% of our revenue comes from the two -stroke three -wheeler. If you see on the automotive side, 65% to 70% of
the total India vehicle production comes from the two -wheeler. This is one and Pricol follows
the same standard of what the industry has in terms of percentage. That is why we are a very
balanced company cuttin g across all segments of the market. Second, 10% of our revenue
approximately comes from the commercial vehicle segment. Now I am including tractors also though it is not a part of the

automotive since we are a major supplier to tractors. 5% to 7% comes fr om the tractor industry and off -road vehicle, 90% of the market share is with Pricol on the off- highway vehicle, the construction equipment where 7% to 8% of our total pie comes from the off- road vehicle and the remaining 10% comes from the personal passen ger vehicle segment.

Praveen Yadav: Okay. Got it, sir. Thank you. The other one is about the E -Cockpit commercialization. Can you please share some updates on that?

P. M. Ganesh : I will break up E -Cockpit into two. One is, you have to be on the infotain ment before we go into the E-Cockpit. Infotainment already actually is under testing with certain key four -wheeler customers at this point of time. We are jointly evaluating our infotainment. Step two would be in parallel we are developing the E -Cockpit wh ich will have the integrated connected cluster with the infotainment that is also under testing. In fact the good news is even two -wheeler now has started looking into the infotainment system in a larger manner and our product is getting validated with some of the two -wheeler customers as well on the infotainment. We hope from the next financial year because this takes a longer time for the software maturity and the testing which has to happen at our place and the customer place. So we expect from next financial year not from 2025 -2026, 2026- 2027 onwards we expect good amount of revenue to come from the infotainment and E -Cockpit.

Moderator: Thank you. Next question is from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: Thank you. Sir, you hinted at loss of sales due to supply chain issues in your initial answers. So can you please quantify this and are these issues largely over with?

Vikram Mohan: These issues are getting under control. About 50% mitigation has been done and the other 50% mitigation will happen in Q4 as we speak and supplies will be normalized from Q1 of FY’26.

Bismith Nayak: Understood. So the 13% to 15% Pricol’s guidance is ad justed for this also, I am assuming?

Vikram Mohan: Yes.

Bismith Nayak: Okay. Another, sir, just a clarification that exports will remain subdued for the next 8 to 12 months. Did I hear it correctly?

Vikram Mohan: At least for 8 quarters.

Bismith Nayak: Okay. So Pricol’s domestic mostly plus SAC ramping up from high single to low double digit. So with export remaining subdued and domestic as well as SAC's ramp up, Sundaram's ramp up, we should expect EBITDA to be somewhere around 11 to 12%?

Vikram Mohan: Around 11 to 12 is right, yes.

Bismith Nayak: Okay and lastly, sir, what will be the PAT figure or P BT figure for Sundaram?

Vikram Mohan: Why don't we comment about Sundaram once the acquisition is completed, we take control because technically , as of today, it is not Pricol’s company.

Moderator: The next question from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Thank you for the opportunity. Sir my question was regarding Sundaram. Could yo

u elaborate who are our major competitors and second, sir, what kind of CAPEX we are seeing in Pricol and in Sundaram for the next 3 years?

Vikram Mohan: Sundaram, we will talk about, like I said, all questions pertaining to Sundaram, broad contours of the deal have been given. Once we complete the acquisition and first 3 months we work on the company, we will be in a better position to give you more figures of how much CAPEX is required, how much more supply and demand, etc. Pricol we are at the far end of a 650 crore CAPEX cycle, which I have been talking about for the last 3 years. We are at the far end of that last 200 crores of that CAPEX cycle.

 Khush Nahar: Okay and sir major competitors for Sundaram, if you can just comment.

Vikram Mohan: There are plenty of people in the pl astics industry. There is Baroque, for example. There is Motherson in some cases. There is Tata Plastics in some cases.

Khush Nahar: Okay, sir. So just how do we plan to compete with these players, what differentiates us?

Vikram Mohan See the company is c ompeting with all of these players and making money. So we will continue to do the same thing and do it better.

Moderator: Thank you. Next question is from the line of Siddharth Chhabra from Minerva Asset Advisor. Please go ahead.

Siddharth Chhabra: Hi. So we are talking about the CAPEX that last 3 years, this 600 crore cycle is going to be finished. Now, do you have – is it possible to give any idea over the next 3 years what the kind of CAPEX is going to be? Any range possible?

Vikram Mohan: Now, we have just gone through a heavy round of CAPEX. Now, we will go CAPEX li te unless there is any inorganic growth before going through the next phase of growth.

Siddharth Chhabra: Maintenance CAPEX and that would be in the range of?

Vikram Mohan: Our mainte nance CAPEX is about 100 to 120 crores a year.

Siddharth Chhabra: Okay. So unless there is acquisition, this is going to be your yearly run rate going forward?

Vikram Mohan: Yes. Sundaram, of course, once it becomes Pricol Precision , we will then work out the CAPEX plans for that company and in about 3 to 6 months, we will have a CAPEX plan for that company.

Siddharth Chhabra: Okay. Right and earlier, the EBITDA margins were being discussed going forward and you said that it should be expected in the 11 to 12% range.

Vikram Mohan: So I always maintain that we will be on a consolidated basis at around 13%. Now, with Sundaram joining the table, it is going to be a lower average because the plastics business is a

lower average. But in terms of rupee EBITD A, obviously, it is going to go up.
Siddharth Chhabra: Okay. But you maintain the overall margin at 13%?
Vikram Mohan Overall margin of Pricol will be maintained, but when Sundaram consolidates, it is going to
come down lower because plastics is a single digit margin and not a double digit EBITDA product.
Moderator: Thank you. Next question is from the line of Smit Shah from Monarch Network Capital. Please
go ahead.
 Smit Shah: Hi, sir. My question is on the ACFMS segment. What kind of growth can w e expect in that
segment and what are the levers of growth in that segment?
Vikram Mohan : Levers of growth in the segment will be the fuel pump module, which will ramp up over the
next year, and disc brake, which will ramp up in the next 12 to 24 months. These will be the
major growth drivers coming to the ACFMS segment in the coming quarters.
Smit Shah: Okay. So disc brakes, we have started to supply, right, but not in a meaningful manner right
now. That is the status, right?
Vikram Mohan: No, we have st arted supplies already of the disc brake and our product is on the field. Now it
is on a ramp up phase.
Moderator: Thank you. Next question is from the line of Swapnil Gupta from White Pine Investment Management, Private
Limited. Please go ahead.
Swapnil Gupta: Sir, what i

s the current penetration of TFT clusters in two wheeler and going forward, say in
next 2 to 3 years, what will be the TFT penetration?
Vikram Mohan I think this question was answered earlier today by our CEO.
Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would
now like to hand the conference over to the management for the closing comments.
Vikram Mohan: Thank you very much all for your participation in this conference and look forw ard to seeing
you in the full year FY'25 results conference call, where we will also be able to throw a little bit
more light on our new acquisition, which would be completed in our management control by
then. Thank you very much. Good evening.
Moderator: Thank you. On behalf of Pricol Limited, that concludes this conference call. We thank you for
joining us, and you may now disconnect your lines

Call: May 2025

PL/SEC/TGT/2025 -2026/020 Tuesday , 20th May, 2025
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Dear Sir,
Sub: C on-call Transcript
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, we herewith submit the Transcript for the Con -call held on 16th May
2025 pertaining to Company’s audited financial results for the quarter and year end ed
31st March 2 025.
This is f or your information an d records.
Thank ing you
Yours faithfully,
For Pricol L imited
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Company Secretary
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Pricol Limited
Q4FY25 /FY25 Earnings Conference Call
May 16, 2025

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY25 Conference Call of Pr icol Limited hosted by Valor em Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing ‘*’, then ‘0’ on your touch tone phone. Please note that this conference is being recorded at this time.

I would now like to hand the conference over to Miss Nupur Jaink unia from Valorem Advisors. Thank you and over to you ma'am.

Nupur Jainkunia: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Pricol L imited on behalf of the company. I would like to thank you all for participating in the company's earnings conference call for the fourth quarter and the financial year 202 5.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by information currently available to management . Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review .

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for their opening remarks. We have with us , Mr. Vikram Mohan - Managing Director, Mr. P M Ganesh - Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial O fficer of the company .

Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you and over to you Sir.

Vikram Mohan: Thank you, Valorem team, for organizing this call. Namaste, ladies and gentlemen. Welcome to the Q4 Financial Year 25 financial performance and for the year ending FY25, call for our investors. The presentation has already been uploaded and I do hope all of you have seen the presentation. I will request our Director of Strategy - Siddharth Manoharan, who's also in charge of investor relations, to take you through the financial overview. After which I will a

ddress the participants in this call. Over to you , Siddharth.

Siddharth Manoharan: Thank you and good evening to one and all. Before we go into our financial performance, we would like to inform you all that the financial numbers, the consolidated financial numbers include the performance of our acquisition that we made for the months of February and March in the last quarter. So, for the Q4 of FY25, on a consolidated basis, our revenue from operations stood at INR 7520.11 million with an EBITDA of about INR 883.0 million. And the EBITDA margin percentage stood at 11.74%.

Our PAT numbers s tood at INR 349.48 million at a margin of about 4.65% and our earnings per share was at INR 2.87. On a full year basis for FY25, the consolidated financial performance, our revenue from operations stood at INR 26, 209.12 million with an EBIT of about INR 3341.09 million at 12.75% EBITDA margin. Ou r PAT numbers stood at INR 1670.30 million at 6.37% PAT margin and our earnings per share on a full year basis is at INR 13.70.

At a consolidated level of this quarter, our long -term borrowing is at INR 800 million. This is primarily due to the account of our acquisition of the plastics business from erstwhile Sundaram Auto Components Limited by Pricol Precision Products Private Limited. As well as at a consolidated level, our return on capital employed is at 22.86% in FY25 as against 23.18% in FY24 with a marginal reduction again due to the account of our acquisition.

In terms of our growth , on a quarter -to-quarter basis, our revenue from operation at a consolidated level clocked 32.81% and EBITDA clocked 21.65% growth in Q4 FY25.

On a full year basis FY25 versus FY 24 comparison. Our revenue from operations clocked at growth of 18.69% and our EBITDA clocked 19.91% growth in FY25 compared to FY 24. And the rest of the information is available in our presentation for your review.

With this, I'll hand over the call back to our Managing Director for his remarks. Thank you.

Vikram Mohan: Thank you Sidharth . I'd like to give our analysis of our performance for the quarter ended 31st March 2025, which is Q4. This quarter has not met our investors’ expectations or even the management's expectations. And I'd like to state the reasons for the same.

The dollar very sharply strengthened in this quarter, which has resulted in a significant f orex impact. Nevertheless, this is only deferred earnings because we have an indexation for Forex with all of our customers. So, while this has been a forex impact in Q4 of FY25 , this will be recovered on a six-month maximum trailing basis and so it's not a loss of earning. It is only deferred recognition of earnings.

You would have also noticed that compared to the similar quarter in the prior financial year , there has been a significant increase in manpower costs. This is a calculated decision taken by the management. As you know, your company has always invested heavily in R&D, both product and process development to keep us ahead of our competitors in launching cutting edge products. In our earlier calls, I had mentioned that we are launching some new ranges of products and new verticals of product to increase our content per vehicle and wallet share per vehicle, primarily in the two -wheeler sector and then moving on to the four -wheeler personal Passenger Vehicle segment.

During this quarter, we have significantly increased our manpower in R&D to start development work of products for these new verticals and products and have also hired subject matter expert consultants and these costs are not a one- time cost but will remain for the coming quarters and in about 8 quarters, we will start seeing the results of all these

investments in R&D and technology by way of revenue and in about 12 quarters, very steady state revenue coming from these new programs , products and which is over and above our
curre

nt range of products.

There have been significant headwinds also in Q4 resulting in some loss of EBITDA. While we have performed better than the market in terms of volumes , the two-wheeler sector, which accounts for 65% of the revenue of our company, has seen very muted numbers in Q4. This was because of the OBD 2 regulation, which saw a huge transformation from April 1st, 2025. We are already halfway into Q1 of FY26 and we see a significant revival of the market in the two-wheeler segment, because of the regulatory change. So, this is nothing to be concerned about. This is only on account of a technology change by the government imposed by the government that there was a production slowdown in Q4 of FY25 which has again picked back up in Q1, FY26. That have been some supply chain disruptions and productionization delays on account of this by our customers which are normalizing and will completely come back to normal by Q2 and we are already seeing a lot of earnings out in Q1 where we are currently.

An area of concern which is directly impacting our bottom line is our exports . With the new administration in the United States of America, which is our biggest export market coming in January 2025 and imposing significant tariffs. There was a lot of uncertainty among our export customers and they had delayed the imports , thereby we lost export revenue. Is this going to
be solved overnight? We believe it is not going to get solved overnight because there is still clarity yet to emerge on this subject and our bottom line on account of exports is significant, though our export numbers are low. But we firmly believe, after my personal discussion with other industry leaders in the automotive component industry, we are confident that by Q1 of
the current year, FY26 , India will sign a trade agreement with the United States and resumption of exports will start from Q2 of FY26. T his will bring back our earnings to a normalized basis.

With regard to Pricol precision products, the plastics business that we acquired from the T VS Group, which is now christened as Pricol Precision Products Private Limited. The EBITDA for February and March, which is the period after which we had acquired the company on February 1st, has been a little lower than what the company used to earn in the prior period. This was because of all the one- time acquisition costs related to this acquisition being booked in those two months . As explained by me in the earlier calls, this is about a 7 to 7 and a half percent 7.2% EBITDA company when we acquired it but post the acquisition, we are very confident of a high single digit margin to be achieved before in the next couple of quarters because we have already started a lot of restructuring of operations and trimming the fat and
realigning some of the operations and we are very convinced that this was a good buy. We have visited all the customers of the company and they have reposed confidence and also looking at increasing business to us and because this was owned by the TV S group, we were
not able to access other two -wheeler customers who are the primary revenue earners for Pricol. Now we have started engaging with all the other two -wheeler makers and we are confident of growing the company significantly, both in terms of top line and bottom line in the coming quarters once the realignment and restructuring is complete over the next few months. This is the broad highlights of some of our performance parameters and financial parameters in the quarter that's just gone by which is January through March , FY25.
Furthermore, it was a strategic decision which we had taken to divest the wiping business which albeit a small portion of our overall turnover was contributing some bottom line which we divested in the month of January. So, we had some loss of EBITDA and top line on account of that on a standalone basis which by introduction of new prod

ucts and increase of share of
business in our existing products and new product introduction in our standalone business which will again get normalized from Q1 of the current year.

With this, I'd like to hand over to the floor for the questions. We'd just like to set some ground rules for the question s. Since there are multiple participants and everyone has to be given an equal opportunity, we request all participants in the question queue to restrict themselves to one question, and if they have further questions , to rejoin the question queue so that
everyone has an opportunity to ask their question. Over to you, ladies and gentlemen.

Moderator: Thank you very much. The first question is from the line of Vijay Pandey from Nuvama . Please go ahead.

Vijay Pandey: Hi, good evening. Thank you for taking my question. Sir, I wanted to check about the employee expenses. So, can you give us a brief light o n how many employees we have added and what is your expectation over coming two years, three years, Sir ? So, is it expected to remain at the quarter four level of 13 to 13.5 percentile is the percentage of sales or will it like come down , how should we see it from here on ?

Vikram Mohan: Good evening, Vijay. Thank you for that question. See, I would not like to talk about it as a percentage of sales . As a percentage of sales , the number has been higher because our overall top line has been lower. F rom a rupee value, i t will remain the same and every July, w e also go in for a salary increase, which will also kick in from July, but as the top line goes up , as a percentage of sales , it will come down. We always used to maintain it at around 11 .5 to 12% of sales and we are pretty confident that with the current increasing sales in the quarter one itself, we will be able to normalize it . The additional employees that we have added primarily in the R&D both for product and process will continue to remain in the system because it is going to take at least about 8 to 12 quarters for the product to get product ionized . So once that revenue kicks in, then further the employee cost will come down as a percentage of sales. I hope I've answered your question.

Vijay Pandey: OK. Just to confirm. So, we expect around 11 .5 to 12% over next two years and then probably it will come down further after two years, right?

Vikram Mohan: 11 and a 1/2 to 12% is on a normalized basis that what we have been delivering and we will continue to deliver that. But based on revenue that number could go up by half a percent plus, or minus variance.

Vikram Mohan: But a strategic decision has been taken to invest in additional employees in R&D, which will start yielding dividends about 8 quarters from now because they are developing new products and new ranges of products for the new verticals that we are launching.

Vijay Pandey: OK. OK. OK. I'll get back to the question queue .

Vikram Mohan: Thank you.

Moderator: The next question is from the line of Sandeep from Sundaram Alternates. Please go ahead.

Sandeep: Yeah. Good evening. Thank you for the explanation. My first question is pertaining to margins. I think you highlighted 2 reasons. One is the raw material price inflation as well as the mix because we've been doing lesser exports compared to the earlier period, which has impacted the gross margins. If you could split broadly, you know , how much was the impact because of raw material cost inflation because that will be passed through in the subsequent quarters, but the mix probably till the time is a bilateral treaty signed it is likely to remain in the books, so if you could help us with that ?

Vikram Mohan: The exports also has not come to a zero Sanjeev . OK, the export slowdown in quarter four, we are seeing the resumption even in quarter one of exports because these are critical to production and we are single source in many cases

OK, and also overnight we are not a component company. We are a product company . Overnight , the products cannot be replaced with some other source in some other low -cost country because there is a typical 2- year lead time to develop these products. And luckily, we are also sailing on a boat where alternatively these products can be obtained from China or from Vietnam, on whom also tariffs have been imposed. So, I don't see a risk on that. There could be a risk in the margins based on what the tariffs are going to be imposed. Our margins could come down a little bit, which I think we will have a lot more clarity on in about 3 months because a lot of the customers also want us to share if there is a tariff impact, share some of that tariff impact by reducing our price s. Whereas we have stood very firm saying that we will not be able to reduce the prices because we know the other two low -cost destinations that they can take these products from are China and Vietnam which are also facing similar tariffs and they will not be overnight able to replace us also, because there is a 2-year lead time to develop an alternative supplier because we are not a component supplier. So, we are standing very firm on our pricing also and not giving any reduction in pricing. So, I just think it's a matter of time before normalcy comes back and I don't think even on the exports, the volumes or the erosion of margins will happen for the foreseeable future, this is our internal analysis because I had requested our head of international business to travel extensively to America and some of our customers in Europe to understand their outlook and things like that, I think it is only a temporary jolt of about two quarters and normality will return after that.

Sandeep: Got it. If you could also highlight , what would be the near -term capital requirement in the acquired business of Sundaram, you know both in terms of things CapEx required to augment capacity align some capacity which you already have on books and typically what's the net working capital cycle in that business?

Vikram Mohan: I know that is the second q uestion Sanjeev but since you have asked the question, I will answer it and if you have any further questions request you to join the question queue . We have planned over the next four quarters approximately between 225 crores to 250 crores of CapEx in Pricol Precision Products. This is to enhance efficiency by replacing about 50 machines add capacity in the tool room, add new machines, add automation, thereby also increasing our top line, because until today it was very dependent on TVS only. We are now starting to see openings in our other two -Wheeler customers. So, to enhance capacity debottleneck, i mprove efficiency and modernize combination of everything , We are looking at around 250 crores of CapEx over the next eight quarters in that company.

Sandeep: Got it. I'll join back to queue. Apologies for this and thank you so much for taking the second question.

Vikram Mohan: No problem. Thank you.

Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yeah. Hi, Sir. Thank you for the opportunity. So, my question was considering these new product developments that you're planning over the next 8 to 12 quarters, could you guide us, because I think previously, we have spoken about 13 to 15% growth in Pricol. So, considering these new products, what would be our revised guidance in P ricol a nd in Sundaram ?

Vikram Mohan: The 13 to 15% growth guidance continues to remain even without these new products. These are new products that we are looking at 24 to 36 months from now start of production because in our industry especially in electronics and auto electricals, the lead time from starting to develop a product and starting to see revenues typically about 30 months. So, this is we

are already at FY25 and this is going to be revenues in FY28 and 29. So our revenue guidance for growth continues to remain the same what we have promised before. I had given an EBITDA guidance of about 12 .5 to 13% normalized EBITDA which again from Q2 or latest by Q3 outermost we will get back to.

Kush Nahar: Similar for Sundaram?

Vikram Mohan: Pricol Precision Products will never have a 13 to 15% EBITDA because it is a component company. Typical margins for this range of products, the highest in the industry is about 11%. We are currently at around 7%, 7. 2% when we acquired the company . Steadily we will keep increasing it to high single digits over a year and thereafter to a higher number as the top line increases and modernization takes place and we add more customers.

Kush Nahar: Right. Thank you for that answer , Sir. I actually meant for the revenue side also, considering that also.

Vikram Mohan: Revenue will grow for that company also for at least 10%, but we are aiming for a slightly higher revenue growth than that.

Kush Nahar: I think previously we had talked about I think doubling in three years considering inorganic opportunities also for Sundaram. So that has changed or ?

Vikram Mohan: That has not changed. This is I'm only talking of organic growth, but if you are able to add more customers other than T VS where I see the visibility we have already taken into account the capacity enhancement requirement, CapEx for that, I'm not giving a firm guidance on that because it's still very early days because it's just three months into the acquisition. We are more confident about improving the bottom line in the last three months and in the next three months we will have a lot more visibility on increasing the top line also. But we are also looking at inorganic growth there which will basically, we took it over at around 750 crores run rate. We are pretty confident of growing it to about 1500 crores top line in three years that I stand committed to that commitment that we have made.

Kush Nahar: Right, Sir. Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Just couple of housekeeping questions. Can you just point out that the portfolios the one- off expense related to the acquisition? And secondly, what is our exposure to the US market?

Vikram Mohan: I will request the first half of the question to be answered by our CFO - Priyadarsi B astia and the second -half of the question to be answered by Ganesh - our CEO. Over to you, Priya n.

Priyadarsi Bastia: Good afternoon. This one- time cost what we have booked is the authorized capital increase, what we had to pay to MCA , that has been booked in Q4. Thank you.

Vijay Pandey: Sir, what was the amount ?

P M Ganesh: The second on exposure to us out of the total revenue of export, nearly 70% comes from the US market.

Vijay Pandey: What was the amount of the one time acquisition cost?

Priyadarsi Bastia: 1 crore.

Vikram Mohan: No, I'd like to also reiterate here. There are three aspects of it , I'd like to give an answer further to what our s enior executives have provided. There were costs of due diligence, legal, financial, etc., which is a one- time cost. Enhancement of limits and other things , there was a one- time cost. In terms of exports, there is about 7% of our revenue comes from exports of which about 70% is US linked. So, 5% of our revenue comes from exports but albeit at almost twice the margins of the OEM and domestic products. So, OEM comparison is it's equivalent to about 10% of our total revenue. But in real numbers it is from top line it is about 5% is our US exposure. I hope this answers your question a lot more clearer , Vijay.

Vijay Pandey: Yes, Sir. Thank you. And, Sir, just one more thing. What was the impact of the forex income in terms

of total value.

Vikram Mohan: It was about 3 and a half crores.

Vijay Pandey: OK. Thank you.

Moderator : Thank you. The next question is from the line of Hemant Soni, an individual investor. Please go ahead.

Hemant Soni: Sir, thank you for providing me the opportunity. Just wanted to ask you one thing . We had earlier given a guidance of 3600 crores of revenue by FY26 and 400 crores of revenue through the inorganic route. So altogether 4000 crores of revenue by FY 26 if I'm not wrong, so our FY25 numbers are around 2600. So, this looks a little difficult to meet the guidance for FY26?

Vikram Mohan: No, in many calls earlier, Mr. Hemant, I don't know if you have followed all our calls. I'd always maintained that we see a visibility for 3600 crores of revenue, both organic and inorganic put together for FY26. And those numbers, we are still sticking to and very confident of meeting. It
was not 3600 crores organic plus 400 crores inorganic. I think that is a mistaken statement. It is definitely we've always had a guidance of 3600 crores organically and inorganically by FY26 and if there are some green shoots or some new things we see could go up to as high as 4000 crores and a base guidance of 3600 crores and we stick to that guidance.

Hemant Soni: And Sir, the newly acquired entity will be contributing around 800 cr to the top line.

Vikram Mohan: Yes, thereabouts.

Hemant Soni: OK, Sir. Thank you. Thank you, Sir.

Mod erator : Thank you. The next question is from the line of Vipul Kumar from Shubh Mangal investment. Please go ahead.

Vipul Kumar: Hi, thanks for the opportunity, Sir. Is there any one- off in other expenses, Sir?

Vikram Mohan: There is no one off or other expenses at this point in time other than the acquisition cost that we have booked and the deferred earning of the Forex.

Vipul Kumar: And Sir, can you quantify the impact of dollar movement in terms of what was the impact on our bottom line?

Vikram Mohan: I had just said that to the earlier gentlemen, it is 3 and a 1/2 crores in Q4 which will be collected in a phased manner in Q1 and Q2 of the current financial year.

Vipul Kumar: Thank you, Sir. I'll rejoin the queue.

Moderator : Thank you. The next question is on the line of Saket, an individual investor. Please go ahead.

Saket: Yeah. My question was, Sir, for the current year, the new company that is acquired from Sundaram Group from the around ■200 crore whatever the amount it was and the compan y is doing a top line of 8/900 crore rupees like when we see the Sundaram group there being a very big group and the other companies that are listed, they are having very high valu ation . So, what was the reason of this company being at such a low valuation that we could acquire the company?

Vikram Mohan: Yes, thank you. That's a good question. It was strategically acquired at a much lower valuation than market value because in order to realize the full potential of this company, Pricol had to invest another 250 crores in modernization , in automation , in improving production efficiencies, so this was taken up by us for discussion and saying that we cannot acquire for a high value and further invest , it is going to have an impact on the return on capital employed, which is why we acquired a 750 crore turnover company for about 195 crores and another 250 crores is going to be invested to grow the company and bring it to a normalized EBITDA because the normalized EBITDA for the plastic component business is about 10% to 10 .5%, whereas this company was only at around 7%. So, this was the reason we were able to negotiate and get the price down because of these inefficiencies in the company which needed a further capital infusion.

Saket: OK. So, like we have just consolidated 2 months of revenue and profits. So, if you can give me some light on what was the actual last year's business revenue and what's the PAT level, do we have it taken into account, but what was it like?

Vikram Mohan: It was about 7 % EBITDA for the last year.

Saket: EBITDA. I am asking for the PAT level, Sir.

Vikram Mohan: At the PAT level, I think it was about 30 crores. Correct me if I'm wrong, Priya n our CFO.

Priyadarsi Bastia: Yes, Sir. It was around 30 crores.

Saket: So, like the 200 crores, so you're talking about 250 crores. We have to invest for the modernization. So, what is the timeline that we have putting the amount and by when we anticipate this EBITDA margin to reach this level?

Vikram Mohan: I think I had answered all of these questions to the earlier persons on the call as to when this investment will happen and how long it will take for the EBITDA to normalize. But so, I, but I will repeat it once more and I'm requesting other participants to kindly listen in when I'm giving the updates. So, these 250 crores will get invested over the next eight quarters, which has already started . Investments have started in Q1 itself and it is going to be broadly over the next eight quarters. The high single digit EBITDA we will achieve by the end of this financial year and then take it to a double- digit EBITDA in the next year when all investments are completed.

Saket: OK. So, one final question. So, like this amount, the investing for this part of the business, but again our business which we are into and that is also like that requires a lot of investments and all. So will this amount investment would have an impact on that part of the business. Because there also we have a lot of R&D .

Vikram Mohan: We are generating enough cash in our company which will take care of our growth.

Saket: Thank you so much , Sir.

Moderator : The next question is from the line of Sahil Rohit from Mona rch Network Capital. Please go ahead.

Sahil Rohit: Yeah. Hi. Good evening, Sir. My question is that in the recent investor interaction, you had mentioned that there was some supply chain issue, particularly with some electronic components. So, if you can share some more information on the same and how is that being tackled right now ?

Vikram Mohan: About 80% has been solved, Sir, and which is what is resulting in Q1 a great degree of normalization and by Q2 we expect complete normalization.

Sahil Rohit: What was that exactly? I mean, related to what?

Vikram Mohan: We had some quality issues from our Tier 1 vendor, so we had to develop some alternate vendors and alternate vendors have already come in, got approved by our ultimate customer and they have started supply.

Sahil Rohit: Yes, yes, thank you.

Moderator : The next question is on the line of Vijay Pandey from Nuvama . Please go ahead.

Vijay Pandey: Our tax rate in the Q4 was a bit summed up , just wanted to check what is the expectation for the upcoming quarters, upcoming year and also if you can tell us just one more thing was that I noticed that in cash flow, we have booked a loss from sale of w iping. But is this recorded in the P&L? Or is it?

Vikram Mohan: I will request our CFO to throw more light on this , Priyan , over to you.

Priyadarsi Bastia: Vijay. To answer to your first question, the tax rates are similar throughout the year. 25.168% we are at the lower tax regime and it is going to be similar in the coming period as well. T o answer to your second question, yes, the wiping division as Managing Director , told in the beginning remarks , we have divested that business and that loss which arised out of that divestment has been booked. That has been booked in P&L then only it has gone to cash flow. Thank you.

Vijay Pandey: OK.

Moderator : The next question is from the line of Siddharth Chabra from Minerva Asset Advisors, please go ahead.

Siddharth Chabra: Ye

ah, hi. Thanks for the opportunity. I just wanted to ask the question regarding the instrument cluster. Regarding to FY25, what is the split between analog, digital, semi digital and TFT? And is that market shift or trend shift , is it still going to happen as quick as we expect it to happen?

Vikram Mohan: 1st, I thank you for that, for that pertinent question, I will answer part of it and I will request our CEO to answer the other half of it. First, it is no more called an instrument cluster. It is now called a driver information system, just on a lighter note, because it has become very content rich. So, we have 3 -4 categories . Mechanical , Electromechanical , Hybrid and TF T. We are constantly seeing a shift moving up the value chain , right, exactly in line with our projections. Bulk of the market is going to be in the electromechanical and in the hybrid clusters. The Premium segment is going to be in the TFT segment. The entry level bikes that were in the pure mechanical segment will , over the next two years fade out and move completely into the electromechanical segment. This is absolutely in line with our expectations and projections. I would like Ganesh, our CEO, to throw a little bit more light on this.

P M Ga nesh: Thank you. The shift we clearly see from mechanical to electromechanical and then from electromechanical to what they call the LCD type of display and the LCD type of display, which was earlier used in the premium motorcycle is moving into the TFT type of display. Overall, still, about 40 to 50% is with mechanical and electromechanical as we speak, and which was at a much higher number, more than 70% in 2020. It is already coming down and the LCD type of instrument clusters, primarily the digital driver Information system has been continuously increasing. Currently it is about 50 :50 and we expect mechanical and electromechanical to come down significantly in the next three years, which will be taken over by the electronic instrument clusters or the driver Information system.

Siddharth Chabra: So currently and for the TFT , is TFT somewhere around 4-5% of the two -wheeler market right now even less than that ?

P M Ganesh: Correct. It is about 5% as we speak, but the trend is that this is going to move up. This trend is going to move up in the in the coming years.

Siddharth Chabra: And the rest is split equally between hybrid and both the types of mechanical right?

P M Ganesh: Absolutely. Absolutely. Absolutely. Mechanical, will keep going down.

Siddharth Chabra: No, but as of right now. Currently it would be strictly fully between hybrid , right?

Vikram Mohan: No, no, there are no two kinds of mechanical, Siddharth. OK, let me talk once again. There is a pure mechanical low value, low margin cluster which in the next two years will fade out completely. Just to give you an example, what is on a Hero splendor bike. Right.

Siddharth Chabra: Right, right.

Vikram Mohan: It is 300- 400 product which will vanish totally , right. T hen we have something called an electromechanical, which is more high value, more rich in content. And then you have something called the hybrid. Now, in a few years, there will be zero mechanical low value , low margin products altogether you know, we are anticipating that will all move to the electromechanical. El ectromechanical will move to a hybrid cluster. 85% of the market will be evenly split 50 :50 between the electromechanical and the hybrid clusters, and about 10% of the market will go to the TFT clusters. I hope that answers your question.

Siddharth Chabra: Correct. And do we see this kind of shift happen? Like you said, mechanical will purely go away within a quick time span of say 1 -2 or 3 years maybe?

Vikram Mohan: Not one. I never said one, but in two to three years, 100% it will go.

Siddharth Chabra: But TFT becoming a meaningful share of the pi

e, like maybe 20 -25% do we see that posted by 30 or?

Vikram Mohan: 20-25 will not happen, 25% will not happen in the immediate future. This 5% will go to 10% over the next two years. I'm just giving the forecast for the next two to three years , is what we are talking about.

Siddharth Chabra: Sure. Thank you.

Moderator : The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yeah. Thank you for the opportunity again, Sir, can you help me with the CapEx numbers in Pricol limited that you're planning over the next 2 -3 years ?

Vikram Mohan: We are going to be at the end of our high CapEx. We have two plants that are happening this year, Pune and Manesar. So, this year, correct me if I'm wrong Priya n, we are looking at around 200 to 225 crores of CapEx after which we will go into a maintenance CapEx mode. Priya n, can you just add to correct me if I'm right?

Priyadarsi Bastia: Yes, Sir. Absolutely. This year we are at the last leg of that CapEx journey.

Kush Nahar: Right. And sir , just to reconfirm, Sundaram entity , we'll be having around 225 to 250 over the next two years?

Vikram Mohan: Next two years , yes, this is standalone I spoke about this and these are two different things altogether. Yeah.

Kush Nahar: Alright, Sir. Thank you, Sir .

Moderator : Thank you. The next question is on the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Yeah, hi. Good evening and thanks for the opportunity. The first question, the question is on just the data point on the Pricol Precision , for the two months, if you could just give the Revenue, EBI TDA and PAT. And secondly on the for the full year 2- Wheeler revenues and you know what sort of outperformance we have seen over the underlying production volumes for the industry ?

Vikram Mohan: I would not like to comment on the first half because it was the first two months and we had booked a lot of these acquisition costs, but the run rate is about, it will take us to about 800 - 850 crores this year. So, you can divvy up that.

Jatin Chawla: No. So my question was more to understand the underlying performance of the business rather than understand Pricol precision performance.

Vikram Mohan: OK. Underlying performance, which Priya n can comment about the February and March figures for this, we can Priya n can talk about, but that between the consolidated and standalone you can make out the difference. But I will request Priya n to answer that part of the thing , please Priya n.

Priyadarsi Bastia: Hi, we have booked around 140 crores of revenue with 5% .

Jatin Chawla: EBITDA

Jatin Chawla: And just on the 2-Wheeler revenue and the outperformance of the industry.

Vikram Mohan: Ganesh, I would request you to talk about that. How much are we outperforming the industry on 2-Wheeler . Q4 as I earlier mentioned, we have only been marginally higher than the industry because of the technological change of OBD 2. But on a normalized basis, Ganesh, I want you to comment about.

P M Ganesh : For the full year basis, I will tell you . The 2-Wheeler industry has grown by about 9% and we have grown by around 14%.

Jatin Chawla: Great. Thanks a lot.

Vikram Mohan: Thank you.

Moderator : Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for closing comments.

Vikram Mohan: On behalf of my entire management team, I would like to thank all of you for your interest and investment in our company and we thank you for participating in today's investor call. And as mentioned by me, we have been below our expectations and our investors' expectations in Q4 and I have given out all the reasons as to why that happened and we are very confident of coming back even with the 1st 45 days of thi

s quarter, we see a huge resurgence and we will continue to maintain this resurgence and have normalized results and good news in the coming quarters. Thank you very much for your participation. And wishing everyone a good weekend.

Moderator : Thank you. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

PL/SEC/TGT/2025 -2026/052 Monday , 4th August 2025

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Dear Sir,

Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 1st August 2025 at 04:00 PM (IST) pertaining to Company’s unaudited financial results for the quarter ended 30th June 2025 .

This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl. As above

Page 1 of 14 PRICOL Limited
Q1 FY’26 Earnings Conference Call
August 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY’26 conference call of PRICOL Limited.
As a reminder, all participant s’ lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” followed by “0” on your touc htone phone.
Please note that this conference is being recorded.
At this time, I would like to hand over the conference to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you ma'am.
Purvangi Jain : Good evening everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of PRICOL Limited.
On behalf of the Company , I would like to thank you all for participating in the Company 's earnings call for the 1st Quarter of the financial year 2026. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company 's fundamental business and financial quarter under review.
Now let me introduce you to the Management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. P. M. Ganesh – Chief

Executive Officer and Executive Director, Mr. Siddharth Manoharan – Director - Strategy, and Mr. Priyadarsi Bastia – Chief Financial Officer.
Without any delay, I request Mr. P. M. Ganesh to start with his Opening Remarks . Thank you and over to you, sir.
 P. M. Ganesh: Hello, good evening to all of you and very nice to connect with you once again. I am sure that you have had a chance to go through the upload of whatever we have done in the Stock Exchange and welcome to the Q1 of FY'26 Financial Performanc e.
Straight away I will go to the Financial Performance:
Starting with the revenue from operations stood at INR 877.66 crores with an EBITDA of INR 101.8 with an EBITDA margin of 11.61%. The PAT stood at INR 49.89 crores with a PAT margin of 5.68% . EPS has gone up to INR 4.09. Our consolidated long -term borrowing as of Q1 is at Rs. 109. 7 crores .
Coming to the growth percentages:
Revenue from operation has grown at a healthy 45.57%. The EBITDA stood at 26.30% in terms of its growth. Cash profit was at 23.87 % and profit was at 9.51%. Thank you again once again and ov

er to you ma'am for the Q&A.
Moderator: Thank you very much. We will now begin the question -and- answer session. The first question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Hi sir. Thank you for taking my question. I wanted to check if you can give a break -up of what was the sales and what was the EBITDA margin for the PRICOL Precision Company . That is my first question. And secondly, if you can give us an update about the employee expenses, In the fourth quarter, it went up as a percentage of sales. I just wanted to check, and I think the Company stated that it will come down to nominal levels within two to three quarters. Do you still see that to be the case or is there going to be a difference by probably a quarter or something like that? These will be the two questions from my side.
Siddharth Manoharan: Good evening, Mr. Pandey. Thank you for your question. On the first part, let me answer. We have clocked a turnover of close to INR 205 crores for the 1st Quarter in PRICOL Precision Products Private Limited. With an EBITDA of close to 7%.
Vijay Pandey : Okay.
P.M Ganesh: The employee cost percentage was at around 12% and as we have been telling in the previous earning call, we are making some forward -looking recruitments primarily for many of our new projects which are going to be launched in the next couple of years.
Vijay Pandey: Sir, just one more, just wanted to check w hat is your view on the ABS regulation that i s going to come up? The disc brake which we are making, that should see an incremental growth from next year because of the ABS or how should we look into it?
 P.M. Ganesh : Absolutely. I think this is going to be a high potential area for growth and disc brake we have launched since Q2 of this year, just starting this month. We have already supplied to a few of the startup EVs and the disc brake system has come out very well. As you rightly said, the ABS regulation is becoming ma ndatory from January 2026 even starting with the 100cc two -wheelers, it means that the disc brake would be mandatory for all the vehicles in which ABS is going to be used. This gives us a lot of oppor tunities in terms of growth which we are seeing in the next couple of years. Also, one of our strategic two -wheeler customers, our mainframe customer, we are going to start the productionization from Q4 of this financial year.
Vijay Pandey : Okay.
Moderator: Thank you so much. The next question is from the line of Rahul Deshmukh from LKP Securities. Please go ahead.
Rahul Deshmukh: Thanks for the opportunity and congratulations on a good set of numbers. I have a couple of questions. My first question is that I just wanted to get some kind of sense on coming quarters as a couple of EV launches are scheduled within the next two, three quarters although there is slowdown in entry PV but SUV export and tractors are performing really well. So, considering the tax cut, monsoon and pay commission which is expected to improve the demand in PV as well as in two -wheelers, how do you see revenue mix evolving and what kind of growth are we expecting in short to medium term?
P.M Ganesh: Thank you for the question. Q1 has been muted quarter in terms of the OEM vehicle sales as you would have seen. The two -wheeler has just grown by 1%. That is primarily because you would have heard in the media about the shortage of rare earth magnet primarily due to the restriction of rare earth magnet from China. It had headwinds during Q1 and we expect the headwinds to continue in Q2 also. There have been uncertainties in the market in terms of the model mix change with the various OEMs. PRICO L has put a good amount of resilience in terms of meeting those changing conditions and despite the mark et being muted during Q1, PRICOL has shown a double- digit growth as you can see. Q2 , also we expect headwinds at from the OEM in t

erms of model mix changes and primarily they are countering the rare earth magnet shortage through multiple ways of de- risking. We expect that yes there are going to be certain uncertainties in Q2 before there are permanent solutions found for the rare earth magnet. I am sure t hat Q3 onwards you will find a much more stable revival of the two -wheeler production and thereupon till Q4. So, that is wh ere we see but primarily PRICOL as you could have seen in the presentation has also launched a number of new products which have supported us to beat market growth and that is where we are today and we expect a steady growth to happen though these headwinds are something which is not in our complete control.

Rahul Deshmukh: Thank you sir and my second question is ho w do you see margins evolving for the comi ng quarters as Sundaram acquisition is done and content per vehicle is I think also expected to increase over coming quarters supported by new product categories as just you mentioned and increasing content per vehicle. So, how do you see margins over next two three quarters?

P.M Ganesh: So, actually that would be a little difficult for us to predict at this point of time but you would have seen the Q1 margins, we hope that we should be in a position to be around that margin but again as I told you there are unpredictable conditions because of the rare earth magnet we have to wait and see but we are putting up a good what you call plan B so that we are able to be around the EBITDA margins whatever we have done during Q1.

Rahul Deshmukh : And sir any margin outlook for the Sundaram specifically P 3L?

Siddharth Manoharan: Mr. Deshmukh, good evening. To further qual ify specifically on the PRICOL Precision Products Private Limited, again earlier I just answered to Mr. Pandey's question that what we have clocked in terms of EBITDA for Q1. As you are all aware we have been successfully integrating the organization. There was a lot of one time calls that were involved which also helped to make EBITDA at the levels what it stood for Q1 but we have put together a comprehensive profitability improvement plan which is all starting to see results as we speak and we are qui te confident from Q2 onwards the initiative t hat we have put in place will yield better results and take us to good heights and we are also seeing a good amount of leverage after integration by looking at the customer concentration of PRICOL Limited and thereby leveraging la rger business buying for PRICOL Precision Products as well.

Rahul Deshmukh : Okay and sir have you added any new clients for the Sundaram?

Siddharth Manoharan: We are in t he process of leveraging PRICOL's larger ecosystem of client pools and our strategic customers which will yield results in the upcoming quarters.

Rahul Deshmukh : Okay, thank you.

Moderator: Thank you. The next quest ion is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Yes, hi sir. Thank you for the opportunity. So, a couple of questions from my side. One, because of this ABS regulation, could you quantify in terms of the total addressable market that would open up for PRICOL ? Because I think our previous target was around INR 300 crores is what we could do from the capacities that we have. So, because of the regulation, one, do we want to increase this capacity and two, what can be the larger picture in this segment?

Secondly, because of this magnet issue which will persist in Q2 also, are we still confident because of the product launches? Because I think previously, we have guided for around 11 to 13% growth in the PRICOL business. These two questions.

 P.M Ganesh: Khush, thank you for your question. First, I will answer the first one. Disc brake actually has been in the incubation stage and it has just got launched into the market. And as I told that end of this financial year in Q4, we are going to start the mass production for one of our major strategic two -wheeler customer. Having said that, with the ABS regulation, the market is going to be very supportive in terms of the disc br ake growth. To quantify that, how it is going to ramp up would be a little early for us . Maybe during Q4, maybe we will be in a much better position to tell you how the ramp -up is going to happen. Th is is the update on disc brake.

Second question was on the, yes, on the rare earth magnet. Yes, the headwinds and the uncertainties are going to continue in Q2 as well. As we explained, it is something that we have to wait and watch because, yes, something that uncertainty is beyond our contr ol. But as we explained, PRICOL is putting up very, very good alternate plans to see how we can mitigate this risk.

Khush Nahar : Right, sir. So, we are confident on the 11% to 13% and we will be able to achieve them.

P.M Ganesh: I would not be in a position to attribute any number to this. But what we can tell is we are working constantly on a number of alternate plans to mitigate this.

Khush Nahar : Sir, I have just one follow -up on the ABS. So, how do we see the competitive landscape in that segment?

P.M Ganesh: There are a number of mature players in the market. But it is going to open up a lot of opportunity for new players like PRICOL because the mandatory regulation is going to be there. It is going to open up a lot of avenues in terms of growth f or even new players like PRICOL . I think the growth is going to be good in the next two years.

Khush Nahar : Right, sir. Thank you.

P.M Ganesh : Thank you, K Hush.

Moderator: Thank you. The next question is from the line of Shubham Batra from Ambit AMC. Please go ahead.

Shubham Batra: Hi, sir. Thanks for taking my question. Congratulations on a good set of numbers. Could you throw some light on the technology license agreement that we have done with the Italy -based player? What kind of market size are we looking at? And what are the timelines of when we can see revenue coming on from this player?

Siddharth Manoharan: Good evening, Mr. Batra. We have signed the technology license agreement with an Italian firm called Domino for control systems primarily on two -wheeler handlebars components such as switches, throttles, levers, etc. This is an exclusive arrangement for th e Indian and Southeast Asian markets and this is also being done primarily on behalf of the customer confi dence that Page 6 of 14 they had in PRICOL and we are quite confident to start seeing some revenues twelve to sixteen months from here on.

Shubham Batra: Is this a case of import substitution or are there currently players also doing this in the market?

Siddharth Manoharan: There are a couple of competitors, but we also see a space for us to enter into and some of the customers have spoken to us and asked u s to get into the space. That is how we found this partnership and we are quite confident to create a niche for PRICOL in this marketplace.

Shubham Batra: Sure. Got it. One last follow -up. What kind of content for a vehicle would we be looking at when we are supplying the whole handlebar along with the BIS?

Siddharth Manoharan: It will be too early for us to comment on or give any numbers at this point in time, Mr. Batra. So, maybe we will park it for now and we will give you better guidance in a couple of quarters.

Shubham Batra : Sure. Thank you.

Moderator: The next question is from the line of Rahul Deshmukh from LKP Securities Limited. Please go ahead.

Rahul Deshmukh: Yes, sir. Just a bookkeeping question. So, could you please help me with segment -wise breakup? Like how much contribution was there from two -wheelers, PV or CV, etc.?

P.M Ganesh: About 65% of our revenue comes f rom the two -wheeler segment. I am giving you a rough estimate. It could be varying here and there, but as a thumb rule, about 65% comes from the two-wheeler se

gment , about 10% comes from the person al passenger vehicle segment, a bout 15% comes from the commercial vehicle segment and about 10% comes from the off -road vehicle and tractors. This is the broad breakup of the 100%.

Rahul Deshmukh : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Kachhawa from Reliance General Insurance. Please go ahead.

Saurabh Kachhawa: Yes. Thank you for taking my question, sir. Sir, I wanted to get a sense about the new product launches that we are having for the likes of smart cockpit or battery management system. So, I just wanted to know what could be the market size for these products and what would be the margins in this upcoming new product look like?

P.M Ganesh: Saurabh, thank you for this question, but it's a little early for us to predict in terms of the margins and the market size. As we explained duri ng the previous earning call, e -cockpit and BMS are currently developed and it is testing at various customer places. It is going to take another couple of quarters before we could come in terms of what is going to be the grow th

Page 7 of 14 plan and strategy for both e- cockpit and BMS. Please bear with us for another couple of quarters before we could come and explain to you more about the growth. But as we speak, the development has been completed and it is under testing at various customer places.

Saurabh Kachhawa: Okay, sir. Thank you.

Moderator: Thank you. The next ques tion is from the line of Sewant, an individual investor. Please go ahead.

Sewant : What is the revenue from passenger vehicles in driver information systems?

P.M Ganesh: As I told you, about 10% of our revenue came from the personal passenger vehicle. And most of it are from the driver information system.

Sewant : Okay. So , how do you expect this to scale up in a couple of years, for especially passenger vehicles in EIS segment?

P.M Ganesh: It is difficult for us to pick a number on this, but we are actively working with the OEMs in terms of the new product and one of the things like the prev ious caller mentioned on the e- cockpit as well, we are working with a few key OEMs. The growth in terms of numbers would be difficult for us at this point of time. But we are seeing a good growth in the personal passenger vehicle in the future years to come.

Sewant : Okay, thanks. That is it from me.

Moderator: Thank you. The next question is from the line of Vipul Kumar from Sumangal Investments. Please go ahead.

Vipul Kumar: Hi, sir. So, my question is, when the margins from thi s acquired entity, this PRICOL Precision Products will con verge to the margin of PRICOL Li mited? Over what time frame?

P.M Ganesh: See, it is going to be quite difficult for us to talk when this convergence will happen because PRICOL Precision P roduct has got a lot of growth potential, number one and second thing is we are going in to more of engineered plastic, Precision P lastics we have got. We have started developing a roadmap in terms of EBITDA improvement. Maybe we will see that the growth in terms of both top -line and EBITDA will continue to improve. But if you ask us when it is going to have a meeting point, we are no t very sure whether we are absolutely clear on the timeline of this.

Vipul Kumar : So, after two to three years, where do you see the margin of Precision Product entity?
P.M Ganesh: It is difficult for us to anticipate what is going to be the margin because we have just commenced our operations a quarter back and there are a number of programs actually which
 have been encouraged by the customers in terms of its top -line. So, we have to just wait and see. We are putting a lot of efforts in terms of both its top -line and then the cost -saving measures.
Vipul Kumar: And lastly, sir, this ABS regulation, so the business which will be flowing due to that, that will be mainly through this entity

or PRICOL has als o products for that regulation?
P.M Ganesh: So, disc brake is a part of PRICOL, not o f PRICOL P recision. So, that is what we were explaining that we are going to see a good growth in the next couple of years primarily because of start of regulation from January 2026.
Vipul Kumar: Okay, sir. Thank you and all the best.
Moderator : Thank you. The next qu estion is from the line of Mitul from DAM Capital. Please go ahead.
Mitul: Sir, thank you for the opportunity. Sir, I have two questions considering the current geopolitical issues and various global challenges. First one is, as ongoing US tariff -related challenge in terms of the major slowdown in the global auto market and also to some extent impacting the Indian OEMs also, are we facing any impact of that directly or maybe indirectly in terms of the discussion with the OEMs in our next one or two quarters of our dispatches?
P.M Ganesh: Mitul, as of now, we have not seen any uncertainty because of that because I think the US tariffs have not been firmed up, as you know that there are several different information in the last two to three months and it is keeping on extending. So, at this point of time, we do not see any uncertainties in terms of our product getting affected because of tariffs to the US market.
Mitul: And any impact on any of the future export strategy, we are doing any change based on that or nothing to do with that?
P.M Ganesh: We are not foreseeing at this point of time, but we have to wait and see how this tariff thing is going to turn out. But as of now, there is no effect because of that.
Mitul: Second question on this procurement of raw material or few components from China. As we have seen the issue for rare earth, anything similar we are finding, not a complete restriction, but any challenges in terms of the supply from China for any of the par ts, whether electronics or TFT, and are we going or looking out for similar alternate sources also as a strategy of mitigating that risk of depending on one source?
P.M Ganesh: Sure. See, we have mitigated most of the products which we were buying from China way back in 2020. You remember during the COVID crisis, many of the tier one companies including PRICOL put a lot of plans to mitigate this risk and we have been quite successful on that. But there are certain products like displays where China is the largest source of manufacture in the entire w orld. Not onl y to the automotive , they supply to the consumers electronics also. B ut
 this is something that PRICOL already has started good initiative in terms of backward integration and localization to a good extent. Our target is that in the next four quarters, we should be in a position to start some kind of backward integration or localization of the displays. Though not fully, we will have a good initiative in terms of backward integration. But if you ask me whethe r you can 100% de- risk China, maybe the answer is no at this point of time.
Mitul: Understood, sir. Thanks and all the best.
P.M Ganesh : Thank you.
Moderator : Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Just thanks for the follow -up. I just wanted to check, should we expect the PRICOL P recision to reach around 8 or more than 8% margin this year in FY ’26 and if not, probably next year? You can just help us build out how we should look into it. Secondly, there are many players entering into the plastic model business. There are a lot of acquisitions happening. The other competitors also do. How should we see that we will be able to turn around this business in terms of the volume growth? It is mainly with TVS Group as of now. So, how we a re going to convert like Bajaj Auto or Hero or any other OEM for that matter. You can give us guidance on both of these. That will be very helpful.
Siddharth Manoharan: Thank you, Mr. Pan

dey. In terms of opportunities and synergies, as I mentioned earlier, as you rightly know, I would also like to highlight that it is not any turnaround. The Company itself is quite healthy in terms of the growth potential, what it was seen over the past couple of years but after PRICOL’s takeover, there are a lot more synergies opening up for us, considering our larger pool of customer portfolio. The Company was traditionally dependent on the TVS and had certain restrictions also to reach out to other customers, being part of th e TVS umbrella. But with PRICOL taking over, we see a lot of opportunities with our strategic customers and a lot of them have already started reaching out to us, started floating RFQs. So, we see a good growth potential in the upcoming years for that particular division, with our current set of customers itself. And secondly, we are also working on to add more value- added products to the portfolio, moving up the value chain, thereby the marg ins are also steadily improving. And we have also put in place a lot of performance improvement plans, efficiency improvement

plans, which is yielding results in terms of increasing our bottom line and we are quite confident
this year we will be launching comfortably a healthy single -digit EBITDA and at a consolidated
level to maintain the EBITDA rate for the organization overall.
Vijay Pandey : Okay. T hank you.
Moderator : Thank you. The next question is from the line of Khus h Nahar fr om R MS. Please go ahead.
Page 10 of 14 Khush Nahar: Hi, sir. Thank you for the opportunity again. My first question was, could you tell us in terms of CAPEX, what is the amount that you are planning to spend over the next three years on a
consolidated Company level? And what is the capacity utilization in PRICOL Precision Products?
P.M Ganesh: Hi, Khus h. In the next three years, we will be spending somewhere around Rs. 500 crores of
CAPEX on a consolidated level. And capacity utilization is something like the Company can scale
up for another 20 -22% further revenue with existing capacities.
Khush Nahar : Thank you.
P.M Ganesh : Thank you.
Moderator: Thank you. The next ques tion is from the line of Smit Shah from Monarch Networth Capital
Limited. Please go ahead.
Smit Shah : Sir, c ongratulations on a good set of numbers. I want to know about the segments apart from
two-wheelers. Is it safe to assume that they are largely growing with the industry and the bulk
of the outperformance coming from the premiumization in the two -wheelers?
P.M Ganesh : You are askin g about the industry or PRICOL?
Smit Shah : PRICOL.
P.M Ganesh: PRICOL has been growing in all segments of market. As I mentioned, though in Q1, there was a
muted growth across the segments. In fact, the whole industry has grown in totality about less
than 2%. We have outperformed the market in all segments of the market, not only in two -
wheeler, but in commercial vehicles, in passenger car, in construction equipment, and tractors
as well. So, that is the reason we are abl e to show double- digit growth and if you see our
presentation, which has been uploaded, you can see a number of new product launches, which has happened across the segments of the market.
Smit Shah : Okay. So, my next question is on PRICOL P recision. What was the revenue number and EBITDA
margin number for like last year, 1st Quarter?
P.M Ganesh : Last year, Q1, they were around INR 170 crores of top -line and weekly 5% EBITDA.
Smit Shah : Sorry, sir. I missed out on the EBITDA margin.
P.M Ganesh : 5%, around 5% EBITDA last year
Smit Shah : 5%. Okay. Thank you, sir.
Page 11 of 14 Moderator: Thank you. The next question is from the line of Arvind R. from Sundaram Alternates . Please go ahead.
Arvind R: Yes. Thank you so much for the opportunity. Congratulations on the good set of numbers, sir.
So, on DIS systems, I want to understand one thing, either se

quentially or b y year -on-year, how
much of t he revenue growth is contributed by volumes and how much should be by ASPs. I
mean, yes that is the first thing I would like to understand. And with respect to gross margins
sequentially, it has come down a bit. Is it primarily because of the PPB business, I mean,
Precision P roduct business, or even in DIS systems business, we had some, like, margin
compression, which was going on there?
P.M Ganesh: It would be very difficult for us to quantify in terms of the DIS margins, whatever we are doing.
The combined margins is what you are already seeing on the performance. See, the margins
actually is little fluctuating, but it will become all right, primarily because of fluctuation in the dollar to rupee conversion If you see that even two days back, there has been a steep
depreciation o f the INR against the dollar and since we are import dependent, there will be
some fluctuation in terms of the margins, but it gets regularized because 100% of our external
factors like the raw metal forex are indexed back to back with the customer.
Arvind R : Sure. Also, t he question on what wou ld be the impact of v olumes on the reve nue growth ?
P.M Ganesh: No, PRICOL has been in the last few years having more value growth when compared to the
volume growth. And this is expected to continue because of the premiumization happening in
the drive r information system space and we expect this to continue for a few more years,
because a lot of conversion which are happening from the mechanical meters into more of
electronics and there upon into the high- end electronics.
Moderator: Thank you. The next question i s from the line of Zubin Puruseth from Karma Capital. Please go
ahead.
Zubin Puruseth : Hi, sir. Am I audible?
P.M Ganesh : Yes, please, Zubin . Please.
Zubin Puruseth : Yes, hi. Sir, I just want to get a sense with respect to the other segment that we have, that is
the actuation control and product management. So, if you can just help us with how we see
this segment growing ap art from the aspect where you have already spoken about the brakes
and it would just be a request if you all could also give revenue break -up for both the segments
going forward, if that would be possible.
P.M Ganesh: In terms of revenue potential in the past and going future, we expect a good growth in the actuation control and

rate management system. We call that the ACFMS. And the good portion
Page 12 of 14 of it is the export content of this segment is quite encouraging. We supply both to the Europe and the US market, primarily into many of the marquee customers like Caterpillar, Harley - Davidson, Polaris, Generac, and Kohler . We have got a number of customers with whom we export our ACFMS products to the US and Europe. So, we expect a good growth potential in this area. Another key segment where we have been constantly growing in this area is our fuel pump. Primarily, we started in a small manner in 2020 for the two -wheeler. Today, we supply to many of the two -wheelers in the country and also export fuel pumps to various countries. So, going forward, we see the momentum to continue. Breakup, it varies a lot actually between the driver information system and the ACFMS primarily because of the customer and model mix change. So, it will be very difficult for me to give a percentage on that.

Zubin Puruseth : Right, sir. Sir, like for example, in the past, you have said t hat 13% to 15% growth from PRICOL is what is expected from the parent Company . So, just wanted to sense as to how much we are seeing growth with respect to the ACFMS side apart from the DI S. So, that is where actually I was coming from.

P.M Ganesh: Actually, ACFMS has been growing steadily. You can see that whatever quarter -on-quarter performance we have been showing, there has been equal growth between the driver information system and ACFMS. And whatever growth we see in the fu

ture also, I think it is going to be a very balancing act. It is not that one segment is going to grow and another division is not going to grow, it is equally growing at both sides.

Moderator: Thank you so much. The next question is from the line of Saurabh Kacc hawa from Reliance General Insurance. Please go ahead.

Saurabh Kacchawa: Sir, as I can see in your PPT and the results, your revenue has grown by 45%. I just wanted to understand the growth percentage in terms of the segment. How much has the growth come from two wheelers, four wheelers, CVs, etc.?

P.M Ganesh: Actually, as a percentage of our sales mix, I just explained about the sales mix. But in terms of the total growth, actually, as I said, we have outperformed the market. The market has grown only by less than 2% on a consolidated basis. That is, two wheeler, commercial vehicle, personal passenger vehicle, all put together, the market has grown less than 2%. Whereas, PRICOL has grown more than 10%. So, many of the products are also common across the segments. So, it will be very difficult for us to separate out segments and say which of the segments of our product has been contributing. But overall, as a blended growth, you would have seen that we have grown by a healthy double digit.

Saurabh Kachhawa: What would be the Geography mix for this quarter. What was the percentage of exports and domestic sales?

P.M Ganesh : Okay. Our export is about 7 -8% and the remaining comes from the domestic market.

Page 13 of 14 Saurabh Kachhawa: And sir, do we see the export number increasing going forward?

P.M Ganesh: Yes, we do see. As I explained that there are good opportunities that currently we are working with multiple customers, both in the US and Europe market.

Saurabh Kachhawa: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Arvind R. fro m Sundaram Alternates. Please go ahead .

Arvind R: Yes, this is one follow -up question. So, on the D IS system, there is a volume growth of vehicles better than the industry. And do we think it will continue to be the case for subsequent quarters or years?

P.M Ganesh: Yes, we have been in a good growth momentum in terms of both volume and value in the driver information system and the ACFMS vertical. We expect that this growth momentum should continue.

Arvind R : Okay, better than the industry should continue in the medium term also, in terms of volume.

P.M Ganesh: In the past quarters, we have been outperforming the market on a steady state. We are hopeful that we will continue the same trend.

Arvind R : Sure sir.

Moderator: Thank you. The next question is from the line of Manish, a n individual investor. Please go ahead .

Manish: Yes, thank you for the opportunity. My first question is regarding the CAPEX. So, you have mentioned that we will be doing INR 500 crores across three years. So, I wanted to know the bifurcation here. So, how much for the PRICOL P recision handlebar foray and for the standalone business?

Management: Yes, Manish. Out of the INR 500 crores of CAPEX, like INR 250 to Rs. 300 crores will be for PRICOL Pr ecision and balance will be for PRIC OL L imited.

Manish: Okay. My second question would be regarding the top three customers and their corresponding revenue share, if you could share this.

P.M Ganesh: See, the top three customers are primarily the order of manufacturing. You see that two - wheeler is the largest market in India, where close to two -thirds of the volume of Indian automotive is produced from the two -wheeler. So, is our customers also in the order of the two-wheeler primarily, the top three comes from the two -wheeler, followed by the personal
Page 14 of 14 passenger vehicle and the commercial vehicle. So, we exactly follow the pattern of vehicle

manufactured in India. That is why we are not segment dependent. We are across all segments of the market.
Manish : Yes, I just wa

nted to know the names of the customers, if that is not an issue.
P.M Ganesh: That would be difficult because of the confidentiality that we have with each of the customers. It will be difficult for us to give the breakup.
Manish : Okay, no problem. Thank you.
P.M Ganesh : Thank you so much.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
P.M Ganesh: Thank you so much again, once again for the participation. Good evening to all of you. So, see you soon during the Q2 earnings call of FY ’26. Thank you so much.
Moderator: On behalf of PRICOL Limited and Valorem Advisors, that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

PL/SEC/TGT/2025-2026/096 Tuesday, 11th November 2025

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Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Friday, 7th November 2025 at 04:00 PM (IST) pertaining to Company's unaudited financial results for the quarter and half year ended 30th September 2025.

This is for your information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl. As above

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Q2 and H1 FY26 Earnings Conference Call
November 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2026 Conference Call of PRICOL Limited.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valorem Advisors.
Thank you, and over to you.
Purvangi Jain: Good afternoon everyone and a warm welcome to you all. My name is Purvangi Jain from

Valorem Advisors. We represent the investor relations of PRICOL Limited.
On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the second Quarter and Financial Year 2026. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.
The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Now let me introduce you to the management participating with us in today's earnings call, and hand it over to them for opening remarks. We have with us Mr. Vikram Mohan, Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan, Director of Strategy; and Mr. Priyadarsi Bastia, Chief Financial Officer. Without any delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you, and over to you, sir.
Page 2 of 11 Vikram Mohan: Welcome, namaskar, vanakkam to the H1 Earnings Call of Pricol for the financial year ending 31st March 2026. I hope all of you had a good festive season and had a good time with all of your family.
I hope all of you did see the presentation that has been uploaded. I'll give you a very quick synopsis of the same, and then we will move to the questions. I am sure a lot of you have questions to ask us.
We are overall pleased to deliver a good set of numbers for the first half of the year and the second quarter of the year. Our revenue from operations on a cons

olidated basis stands at
around INR 988 crores with an EBITDA of INR 123.35 crores, thereby giving an EBITDA margin of 12.49%, a PAT of INR 64 crores, PAT margin of 6.5% with an EPS of INR 5.25 per share for the quarter. And for the half year, revenue from operations of INR 1,865.59 crores with an EBITDA of INR 225 crores, EBITDA margin of 12.07%, PAT of INR 113.88 crores, PAT margin of 6.1% with an EPS of INR 9.34 per share, which has seen a significant increase from H1 of the prior period and the Q2 of the prior period on a year-on-year basis.
On a consolidated basis for the quarter, our revenue from operations has grown significantly by 52%, both organically and inorganically. This has been affected by the acquisition of the new company, which is the name and style of Pricol Precision Products Private Limited, the injection molding division of Sundaram Auto that we had acquired, and our own very healthy growth has resulted in this 52% growth. Also a 41.59% EBITDA growth. You may feel why has the EBITDA growth been a little lower than the revenue growth. It is because of the consolidation of the plastics business that we acquired at a lower EBITDA, and slowly and steadily improving the EBITDA of that business. Our revenue from operations for the first half has grown by 48.89% and EBITDA by 34.24% compared to the same period in the prior year.
I do hope the set of numbers and any other questions related to this, we will answer in the question-and-answer session going forward. May I request all participants to restrict themselves to one question to allow other people to have a chance to ask their questions. If there are more than one question, request them to join the queue again. Thank you.
Moderator: Thank you very much. The first question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Congratulations for an excellent quarter. First, a couple of housekeeping questions. Just can you tell us what was the revenue above from Pricol Precision and what is the EBITDA margin from there?
Vikram Mohan: I will request our CFO to answer the specific question. But EBITDA margin, when we took over the company, was at around 6.3% in March of this year, and it's been steadily growing month-on-month with the actions that we have been taking and has hit a number of about 9.5% in the Page 3 of 11 month of September, which we hope to maintain and sustain in the months forward and a marginal improvement on that. So, it's been a steady improvement.
We have been having 0.5% or so EBITDA improvement every month since we have taken over with all the restructuring activities that we have planned. With regard to revenue and EBITDA for the H1, Priyan, I request you to take that.
Priyadarsi Bastia: Good evening. For Q2, the revenue was INR 235 crores with an EBITDA of 9.08%. Thank you.
Vijay Pandey: Secondly, so as we now look forward, we expected that there will be some production issues from rare earth magnets in Q2. Has that transpired? And are you seeing what are the level of orders you are seeing now in the Q3, especially with festive season and going forward over like next 2 months? So, if you can help us, that will be helpful.
Vikram Mohan: Yes. So, there are 3 issues distinctly that you're talking about. What we alluded to in the last call was a rare earth magnet crisis, which was affecting the automotive industry as a whole. I think that crisis has largely passed. And we have been able to manage it very well, ably led by

our CEO. We have been able to tide over that crisis, and we have been able to meet the numbers.
And yes, festive season demand is over. Always Q3 in the automotive industry is the weakest quarter in the year, and we will be aligned with that. Automotive industry never does Q2 level of performance in Q3 historically, and this year is going to be no different.
But having said so, I don't know how many of you are aware, there is a bigger crisis that ha

s hit
the auto industry, which is the semiconductor crisis caused by one company called Nexperia, right? So, this is not just restricted to Pricol. It has affected the whole industry. About 80, 90 semiconductor parts meant for automotive has gone out of production where they have raised their hands. So, many of the automakers and the Tier-1s like Pricol are affected. This, we believe, will have some degree of impact on the industry this quarter in addition to the overall low demand this quarter. How much? We don't know. Will the sales drop significantly compared to our original plan? No. It will not be significant. I'm quite confident we'll be able to ably manage it because we have found alternate sources, tested alternate parts, given it to the customer for validation. There could be some delays of revenue by 2, 3 weeks, but we will not lose the revenue.
But will we exceed our internal targets? Probably no. We'll probably meet our internal targets or be short of it by 4%, 5%. That's the status for this quarter. I will not be able to comment more or neither will our CEO be able to comment more because the situation is unfolding as it speaks, not just for Pricol, but for the entire automotive industry.
 Moderator: Thank you. The next question is from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.
Nishita Shanklesha: So, I just have a few questions. I wanted to understand about your CAPEX plans. What is the total amount of CAPEX that you've done in FY '26? And what is the CAPEX plan for FY '27?
Vikram Mohan: This year, we will be doing about INR 250 crores of CAPEX and we are again beginning to start another CAPEX cycle because of the acquisition of the new business and a lot of the new business opportunities, the switches business that we have signed a new technology license agreement for. So, we are going to be creating capacities for many of those businesses. We have won a lot of new business in the SPM space, the disc brake space. So, we are again getting into a CAPEX cycle and also buying some land for expansion of the company. This year, it will be somewhere in the region of INR 250 crores to INR 300 crores and next year would be a very similar number.
Nishita Shanklesha: Okay. Okay. Understood. Also, so your depreciation has been increasing quarter-on-quarter in this H1 it includes. So, can you give any reason for that?
Vikram Mohan: Yes. We are continuously investing in new machinery modernization, debottlenecking production lines. So, we have been on a heavy CAPEX mode in the last 2 years itself. So, as a result, our depreciation is going to keep increasing going forward. As we evolve from being a mechanical to an electromechanical to an electronics company and now the plastics business is also undertaking expansion and modernization, the more the CAPEX, the more the depreciation. And that's going to continue. That's going to be the trend for the next 3 years.
Moderator: Thank you very much. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.
Ashwin Patil: Congratulations on a great set of numbers. My question is on P3L business. Just wanted to know the business outlook for this business going forward like in medium and long term? And also on the margin front, how much expansion do we see in the margins going forward? And also the order wins we would be seeing or the client wins which we have seen in this quarter. And going forward, how are we planning to expand our clientele going forward?
Vikram Mohan: Okay. That's 4 questions bundled into one. Yes, we took over a business with about 6.5% EBITDA. We have grown it to about 9.5%. I think PAT for the course for this business would be about 10% to 10.5%, which we will hit over the next quarter or 2.
In terms of margins, will there be scope to expand beyond that at this point in time, no. B, is there going to be a huge amount of growth in the next 2 yea

rs? The answer again is going to
be no. It is going to be a reasonable amount of growth of between 11% to 15% because we need to create capacity. So, we are in the process of buying land and creating more plants and
 putting in new machinery, etcetera. So, now there is a very healthy pipeline of RFQs and orders, but we are unable to convert it to business because of lack of real estate, which we are now working on.
But having said that, I'm very confident that we will be able to deliver 11% to 14% year-on-year or 15% year-on-year growth for the next year, year and a half. Thereafter, accelerated growth with the capacities being enhanced. It was a very tedious dependent business when we took it over. We have now increased our business. We have won a lot of business from Ather. We have won business from Hanon. We have won business from Autoliv. We have won business from Schneider. We are now in active talks with Hero, Honda and Bajaj and Tata Motors where

we are in the final stages of getting business awarded. So, it is going to change the landscape of the business quite significantly in the next 2 years as we add more customers, add more capacity and add more plants to the company.

Moderator: Thank you very much. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: So, 2 questions. One on our dividend plan. So, this is the first time we have announced dividend. I just wanted to understand what is our dividend payout policy expected to be? Will it be like -- should we expect another 2 rupees in the second half of this year? Or will it be like 2 only for the entire year?

Vikram Mohan: Vijay, this would be for the entire full year. We had planned it actually for the year ending FY '25. But because the semiconductor crisis was hitting, we didn't know what is going to be the degree of the rare earth magnet crisis. We thought there was a lot of doomsday predictions. So, we had deferred it by a quarter to see how we are able to tie it over and then we paid out this dividend. And undertaking a heavy CAPEX cycle again, I think it's prudent to put money back into the business and create wealth for our shareholders, then go through the dividend route, which I don't think is very financially good returns for our shareholders because of the taxation involved.

Vijay Pandey: Okay. That was very helpful and that confirms our view. Can you just speak a little bit about the disc brake business and how is this coming up? What is the revenue--?

Vikram Mohan : Pardon me, Vijay, can you repeat again? Disc brake business coming up. Yes, I will start with production. I will request our CEO to throw some more light about the disc brake business.

P. Ganesh: Disc brake has gone into productionization about 6 months back. First, we have started with the new age EVs. And also we have won a large business from the top 5 OEMs in the country. So, that will go into productionization from Q1 of next year. So, as you know that when ABS is becoming mandatory from January onwards, disc brake also will become like an equivalent mandatory to an ABS. So, we find that the growth of disc brake is going to be quite good in the coming years. Thank you.

Vijay Pandey: Just so that order is for like which category of model? Will it be more than 200cc or in the new range? And how do you see the government regulation? Because a couple of competitors have said that that mandate is not going to come. I just want to see your understanding on that.

P. Ganesh: So, the government, what you call, the mandate has come as that all, see irrespective of the cc, ABS would be mandatory. That is what the regulation says from January onwards. So, irrespective of the cc, currently 150cc and above have got ABS. Now irrespective of the cc, all vehicles will have ABS. So, if you have to implement ABS, disc brake is also mandatory to have it. So, that's why you find that the disc b

rake business will be right, yes.

Vijay Pandey: And our orders for, like, 150cc and above or--?

Vikram Mohan : Sir, I think we have a lot of people on the queue. I think we are going too deep into one product category, into a vehicle category. I think we should give an opportunity for the others. Thank you, Mr. Vijay.

Moderator: Thank you very much. The next question is from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.

Nishita Shanklesha: Yes. So, it's a follow-up question on the CAPEX only. You mentioned that in FY '27 also, we will do INR 250 crores to INR 300 crores of CAPEX. So, is that going to be the acquired business or for our business only? And if you could also...

Vikram Mohan: Both.

Nishita Shanklesha: Okay. So, it is going to be for the both. And you mentioned that for the acquired business, we are in the process of looking for land and then build a plant. So, like have we already bought a land? Or what's the progress on that?

Vikram Mohan: We are in the final process of completing the land purchases. It should be completed in the next 45 days or so whereas all legal due diligence is completed. And in fact, we are drawing up plans to even start construction of the plants.

Moderator: Thank you very much. The next question is from the line of Shubham Batra from Ambit Asset Management. Please go ahead.

Shubham Batra: Congratulations on a good set of numbers. A couple of questions on the new order wins that you had indicated in the last quarter. You indicated we got an order from Yamaha and Honda. Can you give us an update on is it on track and when do we start seeing revenue from it? Secondly, anything that you could add on to the...

 Vikram Mohan: One question at a time. I think people are bundling in too many questions. What are the new order wins from the last quarter. Ganesh, what are the new order wins in the last quarter? Any new order win in our DICVS division or ACFMS division from the LOI to SoP, start of production, is always about a 24-month lead time. So, that's a generic answer for most of our things. Plastics, it's more like 6 to 8 months. Ganesh, what are the significant new order wins for the last quarter?

P. Ganesh: Last quarter, you could have seen that -- you asked specifically for Honda and Yamada, right? I think that was your question.

Shubham Batra: Right, sir.

P. Ganesh : Okay. Honda, in fact, we have already gone into mass production in the last 2 quarters for their motorcycle model where our instruments are being used. Secondly, the new EV vehicle launch by Honda, we supply the speedometers to them. Both the models actually already have gone into the ramping up stage, and we are working with Honda for much more models in the future to come.

Yamaha actually has made some kind of initial discussion with us and we have also got some requirement from Yamaha, which we are trying to convert into a business.

Vikram Mohan: They have also completed the audit and certified our facility. So, they've completed the audit of the plant certified us and now engaged in commercial discussions and LOI is not received as yet is under discussion.

Moderator: Thank you very much. The next question is from the line of Madhav Agarwal from Emerge Capital. Please go ahead.

Madhav Agarwal: Sir, for our product verticals, the 3 verticals, DIS, Actuation Systems and Precision Products, just wanted to understand what is the current share of revenue between the 3 and the margin profile? And also what is the target share that we are hoping to achieve between the 3?

Vikram Mohan: This year, the plastics, the Polymer business will be about INR 850 crores to INR 900 crores with a steady-state margin of 9.5%. Of course, we started the year with a much lower margin because we have just acquired the business and a steady-state margin of about 9.5%. The ACFMS division is going to go through a very steep growth curve in the next 36 months be

cause

of acquisition of new customers and new product vertical. We are going to be seeing about 30% to 35% growth year-on-year or perhaps even higher in the next 2 to 3 years. And that is at about INR 600 crores. And the DICVS vertical will be at around INR 2,100 crores to INR 2,200 crores, and the margin is likely to be at around 12.5% to 13%. Correct me if I'm wrong, Ganesh.

 Madhav Agarwal: Okay. Just wanted to know the mix between these 3 divisions, any change in the mix that you will see going forward?

Vikram Mohan: So, like I mentioned to an earlier participant, we will see 11% to 15% growth for our Polymer division till we add capacities and then we will see a much higher growth rate. ACFMS will see a growth of about 30%, 35% in the next 2 to 3 years, we aspire to grow. The DICVS division will maintain a steady state growth of above 15%.

Moderator: Thank you very much. The next question is from the line of Vipulkumar Anopchand Shah from Sumangal Investments. Please go ahead.

Vipul Shah: Yes. My question has been answered.

Vikram Mohan: Thank you, Mr. Shah.

Moderator: Thank you very much. The next question is from the line of Chaitanya Hardikar from Purnartha Investment Advisers Private Limited. Please go ahead.

Chaitanya Hardikar: I just wanted to ask one question. If I'm not wrong, we had a target of around INR 8,000 crores of annual revenue by FY '30. And what I have understood from your earlier answers is that we are planning around INR 500 crores of CAPEX over the next 2 years. So, just to know if that CAPEX will be sufficient to reach the target or are you planning some more CAPEX or something any opportunity there?

Vikram Mohan: No, this CAPEX is not going to be sufficient to meet that. CAPEX will be an ongoing affair as and when we acquire businesses and create capacity. So, we have carved out the balance sheet all and it's not FY '30, it is December 30, which is FY '31 and it is INR 8,000 crores. And CAPEX will be an ongoing item because there is a sustenance CAPEX of INR 120 crores to INR 150 crores that has to be done every year. It's not that there will be INR 0 CAPEX after that.

Chaitanya Hardikar: Okay. So, can you just give me a little bit of guidance on how that CAPEX would be around and just a broad estimate?

Vikram Mohan: I think I have given an estimate for this year and next year. It will as it evolves, CAPEX will happen. But I don't remember, we have projected a 5-year balance sheet. I'm not able to remember from memory what exactly is going to be our CAPEX for the next 5 years, I'm sorry.

Moderator: Thank you very much. The next question is from the line of Nishita Shanklesha from Sapphire Capital.

Nishita Shanklesha: So, I just have 2 more questions. One is on what is the current capacity and its utilization for both the business and the guidance for FY '26, FY '27 sustainable margins? These are my 2 questions.

 Vikram Mohan: Margins, I already spoke about, ma'am, to an earlier person in the Q&A. So, I'm not going to repeat that. In terms of capacity utilization for the Polymer business, it is closer to 94%, 95% today, which is why we are enhancing capacities. Once we enhance capacities for the DICVS division, which will happen over the next 2 quarters, which is a work in progress, then our capacity utilization will come down to about 70% so that we have capacity for more growth in that division. In the ACFMS, it is currently at around 80%, 85% and additional capacities are being created.

Moderator: Thank you very much. The next question is from the line of Meenu, an Individual Investor

Meenu: Sir, can you give me guidance on tentative EBITDA of your cluster business?

Vikram Mohan: I don't want to be giving future-looking numbers. I've already given what the run rate is and what we hope to maintain, ma'am. I don't want to give forward-looking statements, ma'am.
Meenu: And sir, can you give me guidance on the growth of

Pricol, like the current growth of Pricol and growth from each system at...
Vikram Mohan: I just answered that to another investor just now each division, what EBITDA and what growth rates we are expected to maintain ma'am.
Moderator: The line for the participant is disconnected. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.
Ashwin Patil: This question is on ACFMS that we have just said that we are expecting about 30% to 35% kind of growth in this business going forward. So, what would be the composition? From where all this business we are expecting to come from?
Vikram Mohan: The first wave will come from FPM, second wave of growth from disc brake, the third wave of growth from the switches.
Ashwin Patil: Okay. So, over a period of like 1.5 years or I mean, what period or the duration we would be expecting this kind of...
Vikram Mohan : The switches will be 2 years later. Disc brake growth will happen from 18 to 24 months. FPM is as we speak.
Moderator: Thank you very much. The next question is from the line of Smit Shah from Monarch Networth Capital Limited. Please go ahead.
Smit Shah: Congratulations on a good set of numbers. So, my question is regarding 2 collaborations that we have done. One is the tech license agreement for handlebar and the other is with BOE for optical bonding. What is the progress on the same, the tentative CAPEX that will be required for the same? And by when can we expect the revenues to start?
Vikram Mohan: Thank you for your note of congratulations, Mr. Shah. Let me correct you, it's not for the handlebar. It's products of the handlebar. So, handlebar per se is just a metal form product. It's primarily for the switches and the throttle. In fact, we have just had the first engineering workshop and it is not a JV. It's a technology license agreement, TLA, right? So, we are going to start the roadshow to the customers, 2 customers have already -- our anchor customers. They are the ones who actually identified the partner and asked us to go forward with them, 2 large customers, OEMs in India. They will be our anchor customers.
Next in 2 weeks' time, we are starting our roadshow with our partners to not just those 2 customers, but a whole host of other customers. Revenues are about at least 24 months away because it's a completely new vertical. That's what I answered to the gentleman, Mr. Ashwin Patil in the earlier because it now has to get converted to a product into testing and revenue. So, we are talking of about 24 months away.
With regard to BOE, it is for a backward integration to do the optical bonding and screen manufacturing. That way, we make it a little more Atmanirbhar Bharat as per our PM statement, and we reduce our import dependence. And we are also able to get some cost arbitrage because we then get into also the screen because there are 3 important components of instrument cluster, which is, a, all the plastics, which we do; all the PCBs, which we do; and third is the screen, the most expensive part for the touchscreen, which is where we are going into. We are just constructing the premises for the same, and we have concluded on the entire project cost. It will be spent over the next 9 months and productionized. Is it going to give any revenue? No, because it is a backward integration project to make it more self-reliant and to give us cost arbitrage. Because our major competitors are backward integrating also, so if we do not backward integrate, we will not have a cost arbitrage. So, it is not going to be a revenue-earning technology license agreement. It is to strengthen our business and our offerings to our customers and reduce our import dependence.
Moderator: Thank you very much. The next question is from the line of Saurabh Kachhawa from IndusInd General Insurance. Please go ahead.
Saurabh Kachhawa: So, this question is regarding the newer verticals, which we are willi

ng to enter in. So, in the last concall, we discussed about the smart e-cockpits and battery management systems being tested at your various customer places. So, I wanted to understand how far we reached in that and any further visibility about that?
Vikram Mohan: We have developed the product. We have showcased it in technology roadshows to our customers. And revenue potential, we are yet to see because now customers know that we are able to meet the cost, the quality and have the technology. Now it has to slowly start translating into revenue. Is there any revenue visibility as we speak? The answer is no.
Saurabh Kachhawa: So, would it be okay to assume that it would be a margin accretive business for us as it is a pretty advanced thing?
Vikram Mohan: Yes. It will be anything new. When we got into LCD for the first time 5 years ago, it was hugely margin accretive. Now slowly, it is getting commoditized. So, any new technology is slow to start off and then until it picks up pace it's margin accretive, then it gets commoditized.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to management for closing comments.
Vikram Mohan: Thank you very much, ladies and gentlemen, for your active participation in this call. We do hope that we are able to tide over the current crisis that has hit the automotive industry, which is the Nexperia crisis, which, of course, is way beyond our control, and we are ably navigating it under the leadership of our CEO and his management team. And we do hope that the impact of this crisis will be minimum, and we will be able to meet and exceed the investors' expectations in this quarter also.
Look forward to connecting with you in the next call after the Q3 results are announced. Thank you. Have a good evening.
Moderator: Thank you very much. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

PL/SEC/TGT/2025 -2026/12 8 Monday, 2nd February , 2026

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Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 30th January 2026 at 04:00 PM (IST) pertaining to Company’s unaudited financial results for the quarter and nine months ended 31st December 2025 .

This is for your information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and nine- months FY’26 conference call of PRICOL limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference c all, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Ms. Purvangi Jain from Valorem Advisors.
Thank you and over to you, ma'am.
Purvangi Jain: Good evening everyone and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of PRICOL Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 3rd Quarter and nine- month s ended for the Financial Year 2 026.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements

are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available t o the management. Audiences are cautioned not to place any undue reliance on these forward -looking statem ents in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for their opening remarks. We have with us Mr. Vikram Mohan - Managing Director. Mr. P.M. Ganesh - Chief Executive Officer and Executive Director. Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial Officer.

Without any delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, sir.

P.M. Ganesh: Thank you, Purvangi. This is Ganesh here. Just a little correction, Mr. Vikram Mohan is not attending this Earnings Call .

So, Ganesh, myself, Priya n and Siddharth are there in the call. Thank you, Purvangi. Good evening to all. Welcome to the Q3 Earnings Call . I am sure that you had an opportunity to go through the uploaded presentation. So, I will straight away go to the key financial highlights.

Page 2 of 14 First, I will start with the Q3 revenue from operations. We are ver

y happy that we have crossed
a thousand crore milestone during Q3. The EBITDA stands at around Rs. 125 crores with a growth of 12.19%. The PAT is at 6.24% growth. And the EPS is at 5.22 as against 3.4 during the corresponding Q3 last financial year.

On a nine- month consolidated level, the revenue from operations is at close to Rs. 2,900 crores with EBITDA of Rs. 350 crores and a margin of 12.11%. The PAT percentage is at 6.15% and the EPS is at 14.57. Coming to the growth on Q3 on a consolidated level, our sales have grown by 65.67%. EBI TDA has grown by 59.44%. On a nine- month consolidated level, the revenue from operations has grown by 54.42%. And for a nine- month period, EB ITDA growth has been at 42.24%.

Now I would request Purvangi to open the forum for the Q&A session. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and- answer session. The first question comes from the line of Akhilesh R awat with Ridhanta Vision Private Limite d. Please go ahead.

Akhilesh Rawat: First, I would like to congratulate you guys on a very good set of numbers.

P.M. Ganesh: Thank you very much.

Akhilesh Rawat: My first question is, as you guys mentioned in the last quarter, there is a nexpe ria crisis going on. Could you please update us on the current status of the issue and is the disruption largely behind us? Or are there still some residual challenges that have been faced? How should we think about the medium to long -term operational impacts from here?

P.M. Ganesh: Akhilesh, thank you for the question. As explained during last time, we get passive components from nexperia, China. We were able to develop alternates for these passive parts during Q2 of last year. We have de -risked all the components of nexperia as we talk. We do not see any risk going forward because we have developed alternates and the customer also has approved.

Akhilesh Rawat: Okay. That i s great. My second question is, as we are seeing that there is an up -cycle in commodity prices, are we seeing any adverse impact on our margins due to th e rise in the commodity prices?

P.M. Ganesh: Akhilesh, on the commodity, we are indexed back to back 100% with all the customers. I think you are referring to the steep increase in the silver prices, right? Something like that.

Akhilesh Rawat: Yes. Overall commodity.

P.M. Ganesh: Overall commodity, we are 100% backed up with customer compensation. There will be only a lag of three to six months. However, it is all recoverable from the customer.

Page 3 of 14 Akhilesh Rawat: Okay. Thank you. That i s it from my side. Thank you. All the very best for the upcoming quarter.
Thank you.

P.M. Ganesh: Thank you, Akhilesh.

Moderator: The next question comes from the line of Vijay Pandey with Nuv ama. Please go ahead.

Vijay Pandey: Hi, sir. Thank you for taking my question and congratulations for a good quarter. A couple of questions from my side. Firstly, I wanted to check on the new products which we are planning to come up with. So, the handlebars, the d isc brake.

P.M. Ganesh: Vijay, your voice is a little garbled. Can you just come closer to the mic and speak, Vijay? We are not able to hear you.

Vijay Pandey: Is it okay now?

P.M. Ganesh: Yes, it is better. Go ahead.

Vijay Pandey: So, I wanted to check about the new products which we are coming up with. So, the handlebars, the disc brake, I assume that disc brake we launched last year only. So, if you can just give a highlight about how this thing is moving and in case if you can give a revenue breakup of disc brake and PRICOL Precision?

P.M. Ganesh: Vijay, I will give you some brief of the disc brake. We started with startup EV companies during last year. Last year was more of pilot run of disc brake. And from Q1 of the coming financial year, we would be starting with one of the large two -wheeler OEMs in India. So, the start of production

will be there during Q1 or latest by beginning of Q2. So, as we know that, as explained during the previous earning call , sooner or later there could be mandatory condition coming for ABS for all the two -wheeler irrespective of the CC. So, we are expecting good growth to happen in disc brake in the quarters to come. And we are fully ready in terms of our mass manufacturing. We see good growth in the coming future. On the P3L, I would request our Director of Strategy Siddharth to give you some briefing.

Siddharth Manoharan: Thank you. Good evening Mr. Vijay Pandey. In P3L, as we communicated to you in the last quarter, we have been able to win more businesses from various customers in the last two quarters specifically. And we are actively creating new capacities. At this poi nt in time, we are stretched for capacities, which is kind of hampering our growth temporarily, for which we have also opened out our investments to create new capacities. And we discussed in the process of commissioning a new plant as well. So, all this will enhance the business value in P3L in the upcoming quarters. And subsequently, in the next financial, you will see a good growth happening in that particular division as well. Further to that, we are also investing in a center of excellence. So, to work on new technologies and value -added products for P3L, for which work has been commissioned and first level of facilities has been set up and teams have been on-boarded, which will start giving more revenue and new products in the next financial year or so. Thank you.

Vijay Pandey: Sir, what is the revenue from P3L?

P.M. Ganesh: I request to join back the queue because we have got a lot of participants.

Vijay Pandey: Okay.

Moderator: The next question comes from th e line of Jyoti Singh with Arihant Capital Markets. Please go ahead.

Jyoti Singh: Thank you for the opportunity. I just wanted to understand on the margin side, like how much the margin pressure is due to new program ramp -up costs and EV investment. And another question is on the CAPEX outline side, how much CAPEX we were guiding for FY ’27-28 and the split between capacity expansion and EV tooling and automation side.

P.M. Ganesh: Jyoti, in terms of the margins, you would have seen that we have been on a steady -state margin. You could have seen in the past quarters and we expect the same type of margins to continue in the future quarters as well. Coming to the CAPEX, I think we have outlined that the CAPEX will be around Rs. 500 crores for the next two, three years.

Jyoti Singh: Okay. And sir, on the bigger picture over the next five years, do you see PRICOL evolving more as an auto -electronic company than a traditional auto -component supplier?

P.M. Ganesh: I think we have explained this in detail. We are a technology company in terms of our driver information system and also on the actuation and control management system and the new company whatever we have acquired on the polymers. We will continue to inves t in our engineering, which is currently about 4.5% of our total revenue. So, we position ourselves in the next five years also as a technology company.

Jyoti Singh: Okay. Thank you, sir. And just earlier, the parti cipants asked a question on the, yes, am I audible to you?

P.M. Ganesh: Can you please come in the queue, Jyoti?

Jyoti Singh: Sure, sir. Thank you.

P.M. Ganesh: Thank you so much.

Moderator: The next question comes fro m the line of Shriram with ithought PMS. Please go ahead.

 Shriram: Sir, with regards to plastic products, is there any plans to get into non -auto plastic products? And when it comes to new products, what kind of complexity level are present in the new products which you are planning?

Siddharth Manoharan: So, Mr. S hriram, to answer your first part of the question, at this point in time, our focus is largely on the automotive sector. Having sa

id that, we have also onboarded a couple of customers who are in the industrial segment as well, especially in the energy meter s and so on and so forth. As and when the opportunity comes up, we are constantly evaluating such opportunities, onboarding key customers.

Shriram: With the complexity level of the new products, as you menti oned in the previous conference call that you are planning to get into new products including the plastic alone. So, can you throw some light on the new products which will be coming?

Siddharth Manoharan: Yes. So, we are also moving up the value chain, as I mentioned in my previous response. So, we are setting up a center of excellence to work on certain new products and new technologies where we eliminate painting and do in- mould painting itself and such other technologies are also being worked on. And it will take at least a year or so to mature and then bring it into the market. And we are also looking at certain value -added assemblies in addition to just pure plain moulding and paint ing as well. So, that will all yield a better revenue and margin as we go along.

Shriram : Okay, sir. Thank you.
Moderator: Thank you. The next question c omes from the line of Kush Nahar with Electrum PMS. Please go ahead.
Kush Nahar: Hi, sir. Thank you for the opportunity. So, my questions are more on the new products. I think this is the telematics, the battery management system , E-Cockpit and recently the MOU that we had signed. One was with BOE Hong Kong and the other with Domino for the handlebar. So, some color in terms of when can we see, at what stages are these products? And secondly, when can we see some revenues contributing for us?
P.M. Ganesh: Thank you for your question, Kush. First, I will answer your question on the telematics. For your information, telematics has been a s a product portfolio in PRICOL for the last more than a decade. In fact, for your information, we are the largest supplier of telematics for the off -road vehicle. And for JCB, who is the largest in India, we are a live link supplier to telematics. So, what we are looking at is an integrated telematics with the instrume nt cluster, that is the driver information sys tem. That is the next level of technology tha t currently we are working with. We have given samples to the customers for validation. So, in the next three to four quarters, we will find some light into that. But as telematics standalone, we are already a large player in India. Coming to battery management system, as we e xplained during the last earning call also, we have matured the product to a good level and then we have given the samples to various two-wheeler customers. And we are also in a final stage of the design and development with a large two -wheeler customer in India. Like the disc brake, which is going to start start of production from later part of Q1 of next financial year, the battery management system also will find a start of production in the next maybe four or five quarters. Currently, it is under development. Okay. What was your third question? Yes, the partnership of BOE. BOE is a China -based company, not a Taiwan -based company. Kush, t he agreement is to do backward integratio n of our LCD and TFT in PRICOL . So, as you know t hat currently our business on the display has been on the continuous increase. So, it is important that we start localization activity in India. So, we have signed an MOU, w hich is exclusive between PRICOL and BOE, who is the world's largest display maker, to do backward integration in terms of our LCD and TFT development. And Domino is one of the pioneers in making switches and throttles to various premium two -wheeler customers in the Europe region. So, cu rrently, we are making, along with them, a joint study in terms of the design and development of the switches and throttle in the forthcoming quarters.
Kush Nahar: Sir, just one follow -up on that. You mentioned that BOE, given the expertise. So, my question was more around have we formalized the agreement in terms of any JVs and, accordingly, are we planning CAPEX to set up this backward integration?
P.M. Ganesh: Kush, it is actually not a JV. It is an MOU. And it is an exclusive MOU, which has bee n signed between BOE and PRICOL. You would have seen the notification in the stock exchange. So, this backward integration is going to be exclusi vely supported by BOE to PRICOL. That is how this arrangement has been made.
Kush Nahar: Right, sir. So, when are we expecti ng the investments for the same ?
P.M. Ganesh: Investment. We will start from the next three to four quarters.
Kush Nahar: We will start production in the next three to four quarters?
P.M. Ganesh: Yes, production will start from the next four to five quarters. The investment will start from the next three to four quarters.
Kush Nahar: Okay, sir. Thank you.
P.M. Ganesh: Thank you, Kush.
Moderator: Thank you. The next question comes from the line of Karan Gupta with ACM IIL. Please go ahead.
Karan Gupta: Yes, hi. Congrats on a good set of numbers for the quarter. Am I audible, right?
P.M. Ganesh: Yes Karan. Go on.
 Karan Gupta: Yes. Sir, for the CAPEX side, I think in the last quarter you said Rs. 250 crores to Rs. 300 crores for the next, for this year also and FY’ 27 also. But your long -term target of around Rs. 8000 crores top line by FY’ 2030, right? FY’ 31. What kind of runway do you see for the CAPEX side and how much it will be the mix of equity and debt ? So, as of now we have close to Rs. 100 crores of cash, right? And we are generating good free cash flow also. So , how it will be the mix of debt and equity?
P.M. Ganesh: Karan, it would be diffi cult for us to arrive at a CAPEX number till FY ’31. As we explained in the next two years, two to three years, we are looking at a CAPEX of about Rs. 500 crores for the group.
Siddharth Manoharan: And it will all be planned to be met through internal accrual .
Karan Gupta: Okay. So, this quarter we have finance cost increased significantly as compared to s ame quarter last year. So, what i s the debt right now and how much it has increased in quarter 3?
P.M. Ganesh: I will request our CFO Priyan to explain this.
Priyadarsi Bastia: Hi Karan. S ee, the interest cost , finance cost whatever increase d you see, these are all working capital usage. So, we do no t have any long -term borrowing in our balance sheet.

Karan Gupta: No, I mean the debt here increased in quarter 3 and this has came.

Priyadarsi Bastia: No, we do no t have any long -term borrowing in our balance sheet. And whatever finance cost you are saying, these are all working capital usage.

P.M. Ganesh: Yes. Karan that is because of the large growth in our sales, working capital has gone up. That is the reason.

Karan Gupta: Okay. Yes . Thank you.

P.M. Ganesh: Thank you.

Moderator: Thank you. The next question is a follow -up question. It is from the line of Vijay Pandey with Nuvama. Please go ahead.

Vijay Pandey: Hi, sir. Just want to know the revenue for PRICOL P recision in the 3rd Quarter and what will be the EBITDA margin?

P.M. Ganesh: Yes, Vijay. P3L for the quarter 3, they have generated Rs. 233 crores of top line with a 9.33% of EBITDA margin . Thank you.

 Vijay Pandey: Okay. And sir, how are you seeing the demand in the now as the euphoria of the GST cut has now come ? How are you seeing the demand in the two -wheeler space, two -wheeler & commercial vehicle space?

P.M. Ganesh: Vijay, the demand seems to be quite robust. Yes, we had a lot of good tailwinds during Q3. But the demand continues to be good. You would have seen the F ADA whereby the two -wheeler stocks at various dealers are at quite a low level. So, we are expecting the demand to continue to be robust on all segm

ents of the market, not only in the two -wheeler but in the commercial vehicle and also the off -highway vehicle.

Vijay Pandey: Okay. Thank you and all the best for upcoming quarters.

P.M. Ganesh: Thank you, Vijay.

Moderator: The next question comes from the lin e of Am an Agarwal with Carnelian Capital. Please go ahead. Yes, Aman .

Aman Agarwal: Thank you for the opportunity. My first question was basically on the new subsidiary which we have set up. Can you talk about the purpose of the subsidiary which we are s etting up or which we have taken the board approval?

Siddharth Manoharan: Good evening, Am an. Hope I a m audible. So, your question is regarding the new subsidiary that is planned to be incorporated. As you know that we are constantly working on new partnerships and new technology partnerships as well. We have practically gone ahead and incorporated the company. And as our CEO was mentioning earlier, we ha ve also signed an MOU with BOE. Considering all these aspects, we wanted to have the flexibility an d have a company in place. That is how we ha ve gone into t he incorporat ion at this point in time. But whenever the plan materializes, we wil l talk about that in detail later.

Aman Agarwal: Understood, sir. My second question was on employee costs. If I see empl oyee costs for this quarter, it i s around Rs. 125 crores. It is a good increase, like 20% kind of increase Y-O-Y and like even on a Q -O-Q basis, it has increased almost 9% or so. Was there any one -off in this? Why has the employee cost basically increased?

P.M. Ganesh: Aman as explained we are looking at a lot of strategic partnerships and development as a director strategy Just explained about having an exclusive MOU signed with BOE. And also explained about the recent partnership with Domino for switches and throttle. There i s a need for us to have forward -looking employees to develop this. So, that is the reason you found that the employee costs have gone up.

Aman Agarwal: Understood, sir. My third and final question was on exports. In our ACFMS business, exports was one area we were initially focusing on. But two, three quart ers back, we mentioned exports is something which has seen slow down and for the next o ne and a half years also some growth is expected, not much in the exports side. Right? Can you share what is the view currently on exports and recovery in the ACFMS business?

P.M. Ganesh: On the ACFMS division, export growth has been steady. Even during this quarter, we have posted 15% growt h as compared to the Q3 of last financial year. Primarily, the new projects whatever we spoke about ACFMS division have gone into mass production. Primarily which we explained last time customers like Caterpillar, many of the U.S. based customers and Europe based customers have already gone into mass production. You will find there is steady growth in the export business.

Aman Agarwal: Got it sir. My one more question like if I see PRICOL P recision, our margins are 9.3%. We had indicated guidance of 10.5% as an aspirational margin for this business. Right? So, what impacted the margins this quarter ? When can we achieve 10.5% margins in PRICOL Precision ?

Siddharth Manoharan: That indication of EBITDA was after a couple of quarters. We have just acquired business one year ago at much lower EBITDA. We put together a lot of improvement plans and efficiency improvement plant, manpower enhancement plans, etc., which is steadil y increasing the EBITDA quarter -on-quarter if you would have seen our past performance. With this steady performance and increase in revenue with better absorption of fixed cost we expect the margins to hit the desired numbers or optimal numbers that we have indicated in the past.

Aman Agarwal: Okay. Got it. Thank you sir. Thanks for answering my questions.

Siddharth Manoharan: Thank you. Thank you so much.
Moderator: Thank y

ou. The next question is from the line of Chaitanya Hardikar with Purnartha PMS. Please
go ahead.
Chaitanya Hardikar: Actually my question is already answered so, thank you. Yes.
Moderator: Okay. Thank you. The next question comes from the line of Rahul Deshmukh with LKP
Securities. Please go ahead.
Rahul Deshmukh: Hello sir. My question is, just wanted to know about the factors that are having the growth in
our polymer business. Is it because of increas ing wallet share or we are acquiring new
customers. And other one is that what is the capacity utilization of that business and any
thought on expansion of the existing capacity?
Siddharth Manoharan: Rahul, thank you so much for your questions. To answer your first question the revenue
increase is contributing primarily due to these factors – one is the share of business increase
or wallet share increase with the existing customers plus we are also act ively onboarding new
customers with the relationship of PRICOL's demand in the market today. So, which will increase the revenue in the coming
quarters. And to answer your second question in terms of capacity utilization, we are above 90% capacity peak . That is why
we are increasing fresh capital
Page 10 of 14 to increase capacities and also create new facilities to keep up with the growing demands of
the business.
Rahul Deshmukh: Thank you sir.
Siddharth Manoharan: Thank you.
Moderator: We have a follow -up question. It i s from the line of S hriram with ithought PMS. Please go
ahead.
Shriram: Sir, what is the status of the e -cockpit product, and do we have any passenger vehicle
customers currently?
P.M. Ganesh: As explained during the previous earning call, S hriram, it is currently under proof of concept at
our engineering center. And we have also given some samples to our personal passenger
vehicle customers. That may take another three to four quarters to mature as a product and
then thereupon start the mass production.
Shriram : Thank you, sir.
Moderator: Next question comes from the line of Kush Nahar with Electrum PMS. Please go ahead. Thank
you for the opportunity again, sir.
Kush Nahar: Yes. Thank you for the opportunity again sir. Sir, could you help us with the quarterly revenu e
and EBITDA number for PRICOL P recision? And secondly, what would be the peak revenue that
we can achieve from the disc brake capacity that we have right now? And are we planning to
expand that more considering that Q1 FY'27 onward will start production for a large OEM?
P.M. Ganesh: Kush, to answer y our first question, for PRICOL P recision for Q3, the revenue was Rs. 233 crores
and the EBITDA was 9.33%. I request our director of strategy to answer the second question.
Siddharth Manoharan: For disc brake capacity, we have created a capacity of 0.5 million units at this point in time. And we
see a good visibility to fill this capacity with the businesses in hand. And as and when the
new business emerges, we will be creating additional capacit ies. We will not be able to quantify
as a peak capacity or peak value at this point in time because some of the businesses are also
under conversion as we speak.
Kush Nahar: Thank you. Last question, sir. So, I think in the previous call, you have mentioned that we are
expecting for the PRICOL Limited to grow at around 11% to 15%. So, do we have the same
guidance as on this quarter also? And does this include the new business of the telematics and the BMS, etcetera?
P.M. Ganesh: We have been steadily gro wing at 15% plus, if you recall Kush in all our quarters. And this
quarter also, we have grown more than 15% as PRICOL standalone. Coming to your next
Page 11 of 14 question on telematics, I think I already explained that telematics i s not a new product for
PRICOL . We have been there in telematics business for more than a decade. We are looking
more into the integrated telematics with the driver information system g

oing forward. And in
terms of, I think BMS, I already explained that we have completed the development of the
battery management system. And currently, we are in a testing phase with one of the two -
wheeler premium customer of ours. And maybe in the next thre e to four quarters, the testing
would have been completed with the two -wheeler customer. And thereupon, the mass
production will start for BMS.
Kush Nahar: So, in conclusion, we expect that 15% CAGR growth is something th at we can work with for
PRICOL standalone business.
P.M. Ganesh: This is difficult. It depends upon the market conditions as well. Yes, PRICOL has been
outperforming the market in the last 8 to 12 quarters. If you see, we have grown more than
the market. We expect the same momentum to continue primarily because of our various new
product portfolio.
Kush Nahar: Right. Okay, sir. Thank you.
Moderator: The next question comes from the line of Preet with InCred AMC. Please go ahead.

Preet: Thank you for the opportunity, sir. I would like to ask on the employee cost. There has been increase in employee cost across company due to new labor law. Has PRICOL factoring this impact? And if yes, if you could quantify the same. And also, what kind of impact do you expect in coming quarters?
Priyadarsi Bastia: Preet, I will answer you to this question. See, if you would have noticed the result, we have published a note as well. That the new labor code has not been having a significant impac t on employee cost and PRICOL because we have taken care of that part in the past. We are in the process of evaluating further impact on some parts, which is basically contract labor part, which we will be concluding before March. Thank you.
Preet: Okay. My second ques tion would be lying on the CAPEX . You have mentioned that you are already at a 90% plus capacity utilization. And going forward, you are gu iding of Rs. 250 crore to Rs. 300 crores of CAPEX . What kind of additional revenue we can derive from this Rs. 250 crore, Rs. 300 crores of revenue?
Siddharth Manoharan: Preet, the 90% capacity recession was spe cific to the PRICOL Precision , our polymer business. In our PRICOL limited, in our DIC VS and ACFMS vertical, we have already created enough capacity. As you know, in the past, we have undertaken a huge CAPEX investment, the CAPEX cycle, which has given us the capacity additions as we speak. So, overall, we will be investing close to about Rs. 400 crore to Rs. 500 crores over the next two to three years on new product and bulk of it will be invest ed for our polymer div ision to create new capacities.
 Preet : Okay, got it. What would be our c apacity utilization in PRICOL standalone?
P.M. Ganesh: That would be a little difficult, Preet, because of the complexity and diversity of products, whatever we have. It would be difficult to put a steady number for the capacity, but we have created enough capacity in terms of flexible lines and then flexibili ty in terms of the backward integration, which will see us through f or the next two to three years.
Preet : Thank you, sir. I will join back in the queue.
Moderator: Thank you. The next questi on comes from the line of Mitul Shah with Pantomat h Financial Services. Please go ahead.
Mitul Shah: Thank you for the opportunity, sir. My question is on overall growth. Considering yesterday, one of the leading two -wheeler OEM guided for 8%, 9% type of industry growth for two -year next year and for initial first half of nine -month industry was nearly low single- digit growth. Still, we reported double -digit revenue growth. So, based on that, don' t you think it would be much more than 15% type of growth possible next year as we are adding customer also, we are adding products. It could be lik e upwards of close to 20% .
P.M. Ganesh: Mitul, as I explained that we have been o utperforming the market quarter -on-quarter fo

r the
last 8 to 12 quarters and we expect the same momentum to continue. If the industry is going to grow by 8 % to 9% , we are sure that we will grow much more than that. I do not know whether it will grow by 20% or so. I do not know at this point of time, but there are opportunities because of our various new products that we will continue to outperform the market.
Mitul Shah: Sir, on the non- two-wheeler side, what is our outlook or what is our understanding for next one, one and half year?
P.M. Ganesh: The demand, as I told you, has been robust. Ever since there has been a reduction in GST since Q3, there has been good amount of positive sentiments, particularly in the two -wheeler segment. You will find that Q3 has had a good growth among all the two -wheeler customers and we hope that same positive sentiments continue in the Q4 and maybe for the next year as well. We are waiting and watching it very carefully, but as we see, the growth seems to be quite robust.
Mitul Shah: Even for non- two-wheeler side where we are trying to increase our contribution?
P.M. Ganesh: Yes, across all segments of the market. That is what I explained. It i s not only two -wheeler, we find all segments of the market in terms of robust growth.
Mitul Shah: Thanks, sir. All the best.
P.M. Ganesh: Thank you Mitul. Thank you.
 Moderator: The next question comes from the line of Zubin Pru seth with Karma Capital. Please go ahead.
Zubin Pruseth: Sir, I just want to know, for the nine- months of total consolidated, what percentage of our revenue would be from the ACFMS business?
P.M. Ganesh: Nearly one- fourth of our total revenue comes from the ACFMS division on the consolidated sales.
Zubin Pruseth: Okay, sir. And sir, if you can just help us with the non- brake portion of the ACFMS, how are we seeing this? And I just want to understand, is this majorly towards export?
P.M. Ganesh: Yes. The export content in the total ACFMS product is quite significant and it will continue to be significant as we are going along. Primarily, export happening to both the US and also to the European regions. In terms of the non- disc brake, yes, disc brake is going to be a new product addition. Apart from that, we make a number of ACFMS products starting from oil and water pumps for across the segments. Two -wheeler, personal passenger vehicle, commercial vehicl e, we supply to all of them. And also, we supply the fuel pump module to a number of two -

wheeler customers. In fact, we are a major supplier to the commercial vehicle division for the cabin tilting mechanism. So, we have got across the segments multiple products in the ACFMS division.

Zubin Pruseth: Okay, sir. And sir, my second question would be within our primary segment in terms of instrument clusters. So, if you can just help us with respect to how much proportion would CV and PV be? And are we going to see this particular segment increase much further and the two -wheeler going down as we focus more on these kinds of clients?

P.M. Ganesh: No, we are a company which is spread across all segments of the market. That is the strength of PRICOL . We are across all segments of the market, starting from two to three -wheeler, personal passenger vehicle, four -wheeler, and also commercial vehicle, and also off -highway vehicle. If you ask me, we are focused across all segments of the market. And we expect the same focus to be there across all segments of the market.

Zubin Pruseth: Sure, sir.

Moderator: Thank you. The next question comes from t he line of Vijay Pandey with Nuv ama. Please go ahead.

Vijay Pandey: Thank you for the follow -up. Sir, what is our break -up between domestic and exports? And how much of the expo rt comes from the ACFMS business?

P.M. Ganesh: Overall, our export revenue is about 10% on the total revenue. ACFMS would be a very significant portion, Vijay, in terms of the export revenue.

Overall, on a consolidated level, 10% of our revenue comes from export.

 Vijay Pandey: And, sir, are we seeing a similar level of growth between the driver information system and ACFMS system? Becau se the export somewhat has been, n ot like the export just because of the tariff and other restrictions. I just want to understand how are we seeing both division growth?

P.M. Ganesh: Vijay, actually, the tariff has not affected us. Because we make specialized ACFMS products to various customers. So, actually, the tariff has not affected us. In terms of growth, both ACFMS and driver information system are gro wing in the same pace, what we are talking about, total as a company growth. Bot h divisions are growing for us.

Vijay Pandey: Okay. Both at similar level, around 15% to 20% standalone.

P.M. Ganesh: Whatever you see as the total growth, actually, both divisi ons are almost equally growing.

Vijay Pandey: Okay. Thank you.

Moderator: Thank you. The next question c omes from the line of Kush Nahar with Electrum PMS. Please go ahead.

Kush Nahar: Thank you for the opportunity again. Sir, any update on the inorganic acquisition that we were planning in the PRICOL P recision segment?

Siddharth Manoharan: Kush, we constantly keep evaluating opportunities as we used to do. And if something materializes, then we will inform you on it.

Kush Nahar: So, nothing on the advanced stage as of yet?

Siddharth Manoharan: No. As I mentioned, we consistently keep evaluating new opportunities. Nothing in the advanced stage at this point in time.

Kush Nahar: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the m anagement for closing comments.

Priyadarsi Bastia: Good evening again. Thank you all for the questions. And asking patiently all these questions and we could answer. Looking forward to hear from all of you again in the next investors call. Thank you so much.

Moderator: Thank you. On behalf of PRICOL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 15
th
May 2026 at 04:00 PM (IST) pertaining to Company’s audited financial results for the quarter
and year ended 31st March 2026.
This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl. As above

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PRICOL Limited
Q4 & FY’26 Conference Call
May 15, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY26 Conference Call of PRICOL Ltd.
As a reminder, all participant s’ lines will be in the listen -only mode. There will be an opportunity
for you to ask questions after the presentation concludes.
Should you need any assistance during this call, please signal for an operator by pressing “*”and
then “0” on your touchtone telephones. Please note that this conference call is being recorded.
I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and
over to you, ma'am.
Purvangi Jain: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Purvangi
Jain from Valorem Advisors.
We represent the investor relations of PRICOL Ltd. On behalf of the company, I would like to
thank you all for participating in the company's earnings call for the 4th Quarter and Financial
Year 2026.
Before we begin, let me mention a short cautionary statement :
Some of the statements made in today's conference call may be forward -looking in nature.
Such forward- looking statements are subject to risk and uncertainties, which could cause

actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward- looking statements in making any investment decisions. The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over to them for the opening remarks.

We have with us Mr. Vikram Mohan – Chairman and Managing Director. Mr. P. M. Ganesh – Chief Executive Officer and Executive Director , Mr. Siddharth Manoharan – Group Executive Director, Ms. Madhura Mohan – Executive Director, a nd Mr. Priyadarsi Bastia – Chief Financial Officer.

Without any delay, I request Mr. Vikram to start with his opening remarks. Thank you.

Vikram Mohan: Thank you very much. A very good evening to one and all on this call today. Namaskar, ladies and gentlemen.

I welcome you to the call to discuss the key Financial Highlights for the year ending 31st March 2026 and for the 4th Quarter of the Financial Year ‘25 -26. The Presentation has already been uploaded and I hope all of you have had a chance to see the Presentation .

Nevertheless, I would like to give you some highlights of our performance :

On a consolidated basis, our revenue from operations for the quarter that has just crossed the INR 1000 crore mark to hit INR 1077.9 crores with an EBITDA of INR 143.28 crores and an EBITDA margin of 13.29 %. Profit after tax of INR 73.23 crores with a PAT margin of 6.79% with a basic EPS of INR 6 per share.

For the entire financial year, for the year ending 31st March 2026, our revenue from operations was just shy of INR 4000 crores with an EBITDA of INR 492.91 crores with an EBITDA margin of 12.44% with a PAT of INR 250.80 crores. PAT margin of 6.33% with an EPS of INR 20.57 per share.

I am happy to report that we have been able to achieve these numbers with the dedicated work of our entire team in spite of the multiple headwinds that we faced this financial year.

This financial year started off with a semiconductor crisis, followed by a rare earth magnet crisis, followed by the West Asia crisis. In spite of all of these headwinds, we have been able to deliver a decent set of numbers to you this quarter and for the entire financial year.

Our revenue from operations on a consolidated basis because of our inorganic actions and organic growth has resulted in a 43.34 % growth quarter- on-quarter on a comparable basis.

EBITDA 62.27% increase on a quarter -on-quarter on a comparable basis.

For the entire year, we have been able to show an increase in revenue from operations of 51.24% and the EBITDA for the entire year has seen an increase on the corresponding prior period of 47.53% .

With this, I would like to move to the questions and answers. As a matter of protocol, we would like all participants to restrict themselves to one question so that others have a chance to join the question queue. And if you have more than one question, we request you to rejoin the question queue and you will be given a chance subsequently.

Before we start the questions, I would also like to probably take a few minutes to talk about the outlook where I have given quite a cautionary statement as part of the Chairman and Managing Director's statement after the Board Meeting yesterday.

The West Asia crisis I think is reaching a peak and the disruptions of the West Asia crisis or due to the West Asia crisis is also starting to hit not just the industry but also the economy quite hard. April was reasonably okay because we had a lot of pipeline inventory, pipeline stocks and raw material that were bought at earlier rates. The rupee is on a free fall. Polymer prices have gone up by about 55 %. Aluminum has gone up by about 62 %. The semiconductors have gone up by about 35 %. Memory control devices by about 28 %. Freight costs are also spiraling out of control both inbound and outbound freight.

These are multiple headwinds not just affecting your company but the industry as a whole and the economy as a whole. All of you would have also seen Prime Minister's Address to the Nation on cutting back on consumption to save Forex and stop purchasing gold, etc.

So, the situation is quite bleak but nevertheless, we are confident of crossing this storm also with the collective efforts of our entire team, the support of our customers, our suppliers and aided by a strong balance sheet .

We continue to stay focused on mid -to-long term growth and are not scaling back on any investments whatsoever of capital nature which will hamper the long -term and medium -term prospects of the company. We continue to invest as usual heavily on R&D and on technology to keep developing new products and new technologies to keep us ahead of the curve compared to the competition .

So, while we are not scaling back on any of our critical activities that is going to hamper the growth of the company, we do believe that there will be softening of earnings and slowing of

the whole automotive sector on account of these geopolitical headwi nds that are actually sending ripples across the world.
Without further ado, we can move to the questions.
Moderator: We will begin with the question- and- answer session. The firs

t question is from the line of Jatin Chawla from RTL Investments. Please go ahead.
Jatin Chawla: Hi, good evening and congratulations on a great set of results and thanks for the opportunity to ask the question. My question is how do you see your market share on instrument clusters evolve over the next two to three years? And the context is when we were doing channel checks, we figured out that in the largest OEM in the country, there is a group company which is entering the instrument cluster business. In one other OEM, there is some new competition that is emerging. So, in that context, I wanted to u nderstand how do you see your market share evolving over the next two to three years?
Vikram Mohan: Mr. Chawla, good evening. A good question. In fact, we just did a complete analysis of our share of business. We got an external market analyst agency to come and do a complete analysis of the market. And in fact, just last week, we had a workshop on that. We have maintained our market share by volume and increased our market share by value. Competition has always been there. Competition will continue to be there. And what differentiates PRICOL from our competition is our heavy investment on R &D and product development, which is keeping us ahead of the curve. Will we be able to maintain the market share for the foreseeable future for the next three years? I do not see any dip in market share because we have got confirmed L OIs for most of the programs. So, for the next three years, barring degrowth or slowing down of the market, loss of market share is not something that we need to fear about.
Jatin Chawla: Got it. That is very reassuring, sir. I have a couple of other questions, but I will come back in the queue.
Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Networ th Capital. Please go ahead.
Sahil Sanghvi: Good evening and t hank you for the opportunity and congratulations for very good numbers. My question is on the financials. So, there is some restatement in the FY25 financials if we look at the borrowing lines and see what their line items . I can point it out specifically if required, but if one can explain, what is the reason for that?
Vikram Mohan: Mr. Sanghvi, we will get our CFO – Mr. Bastia, to answer that question. There have been some changes in the corporate guidelines on how debt has to be treated and I will request Priya n – our CFO to clarify on that.
Priyadarsi Bastia : Mr. Sanghvi, good evening.. Regrouping is on account of the change in IndAS . There is a circular which came up saying that debt -like items to be regrouped , which the customer bill discounting and vendor bill discounting, which used to be classified under trade payable, have been regrouped to borrow ing. That is the borrowing which you can see in the short -term borrowing.
Sahil Sanghvi: Okay, thank you. I will come back in the queue. Thank you.
Vikram Mohan: Just to give you a perspective, barring the supplier discounting and the customer bill discounting which earlier was hitherto treated as trade payable, now actual borrowing as of 31st March 2026, net debt is INR 63.11 crores.
Sahil Sanghvi: Sure, thank you.
Moderator: Thank you. The next question is from the line of Hitesh Go el from Aurigin Capital. Please go ahead.
Hitesh Go el: Thanks for taking my question and congratulations on the great set of numbers. Sir. First question is can you give us revenue for FY26 of the three segments like DI CVS, ACFMS and P3L revenue?
Vikram Mohan: Ganesh – our CEO and Executive Director will answer that question.
M. P. Ganesh: I will give you on the total consolidated numbers an approximate number. On the D ICVS our revenue is about 60% of our total revenue, and AC FMS is about 20% and P3L would be about 20%.
Hitesh Go el: Okay. And sir, basically my question is also on the TFT, LCD and analog mix basically for the industry

.
Vikram Mohan: Mr. Goyal, request you to rejoin the question queue, please, if you don't mind.
Hitesh Go el: Okay, no problem.
Moderator: Thank you. The next question is from the line of Aman Agrawal from Carnelian. Please go ahead.
Aman Agrawal: Sir, thank you for the opportunity. My question was basically on the new products and new businesses which we have focused on. Can we please share an update on like the PV Digital cluster which we were focusing on with Mahindra and TATA Motors and also like in terms of creating new business on disc brakes and other verticals, like how is the update there basically?
Vikram Mohan: I will answer. Three parts to that question. First, PV Digital clusters, we have grown significantly with TATA Motors. We are yet to make an entry into Mahindra. Today, about 75% to 80% of

TATA cars are coming out with Pricol's clusters and we are increasing our market share with TATA . In fact, the new Sierra, which we launched has even won us an award from TATA Motors for the development, which I was happy to receive from the Managing Director of TATA Motors. With regard to disc brakes, we continue to make steady progress with our key customers, and we are quite sure that we will meet the forecast that I gave for 2030 in terms of disc brakes.

Aman Agrawal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent PMS. Please go ahead.

Divyansh Gupta: Hi, sir. One question regarding ABS. Are we manufacturing only the sensors for the ABS or the whole ABS as a package? And is there a plan to…

Vikram Mohan: Let me just interrupt you here, Mr. Gupta. We are not into the ABS. We intend at some time in the future when disc brakes become a mature product for us to get into ABS. At this point in time, we have not even commenced development or intend to commence development in the immediate future.

Divyansh Gupta: So, my question was for that less than 125cc bike that you are trying to target because of the change in the regulations.

Vikram Mohan: We were never in the ABS product. We never intended to be in the ABS product in the foreseeable future also. Even earlier this question was asked in earlier meetings and that's what we have maintained.

Divyansh Gupta: Got it. I will join back to you.

Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yes. Thank you. Thank you for the opportunity, sir. So, I have a question more on the growth side. So, like you said that some softness is something that we see going ahead in the industry in general and for the company. So, I think previously we had a guidance of 13 % to 15% growth for Pricol and if I am not wrong, we were targeting to double the revenues of P3L on a base of 25% . So, are there any changes in this guidance?

Vikram Mohan: Frankly, I think we should ask this question to Mr. Donald Trump on a lighter note because we really don't know how long this war is going to continue and what the impact is going to be, what crude oil prices are going to be like and what the rupee is going to be. And if fertilizer imports are going to be curtailed, then agriculture output is going to reduce, which rural consumption is going to have an impact. So, I wish I knew, but even I am not aware. We are all closely connected in the industry. But I ca n assure you that we will be continuing to grow at higher than the market growth rate. And with regard to P3L, I have given a guidance that we aim to double the turnover in three years after taking over the company. I think we are well on track to achieve that. We have won a lot of new businesses, and we are now creating capacities to cater to the new businesses from customers that didn't exist before. So, we are well on track to double P3L's business or probably even exceed in the three- year timeframe that I had promised.

Moderat

or: Thank you. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain : Thank you so much for the opportunity. Sir, you did mention about multiple cost pressures in your opening comments. So, any thoughts in terms of how are we navigating from a margin standpoint over the next couple of quarters? Would that be largely an automatic pass -through to our OEM customers or there is some sort of negotiation happening and if at all, how are the progress going on that?

Vikram Mohan: The situation is evolving, Mr. Jain. There is a lag factor of six months. So, we are only now getting corrections of FOREX for the Q3 of the last financial year. But having said that, we are not going with the normal route. In this case, we have expedited it and we have requested for supplementary invoicing and price correction to be done immediately. Most of our customers have taken note of it and still figuring o ut because the entire industry, we have all got together and as a trade body represented through ACMA to the OEMs. But please do understand, the impact is so huge that they cannot pass on the entire thing to the end customer who is the ultimate buyer of the, let's say, a bike, a motorbike. If a motorbike goes up by INR 25,000- INR 30,000, it is going to, demand is going to really soften or probably de- grow. So, I think, personally, it's an evolving process. We have put out an active team that is engaging with our top 10 -12 customers to recover costs. I think it's going to be tripartite. People have to take, there is going to be a price increase in the vehicle. OEMs will absorb some of that shock and I think, considering a long -term partnership with OEMs, we also have to absorb some of that shock. How much is that number going to be and how long is this going to take? It's probably, time will tell. But I think, next quarter, we will have a better idea of how much each of the stakeholders in this pie will take.

Chirag Jain : Thank you. Thank you so much for the detail.

Vikram Mohan: If you ask me can we recover the entire amount from the OEM , I do not think so.

Chirag Jain : Okay. Thank you so much, sir.

Moderator: Thank you. Next question is from the line of Rangan V, an individual investor. Please go ahead.
Rangan V: Good evening, managing director, Mr. Vikram Mohan. I wish Vanita Mohan the best. Are you going to make her the Emeritus Chairman or like that? Regarding the company's performance,
I think what we have achieved is, I think we'll be having a very satisfied person. Because, actually, in the COVID period, we set a target, something like that, internal target. I think that was good. But I find the ma rgin on the employees, this one.
Vikram Mohan: Mr. Rangan, can we just take it one question at a time, Mr. Rangan? I would like to thank you yes, 2022, I had given a guidance that for FY26, we will hit the INR 4000 crore mark with about a debt equity ratio of less than 1 :1. I am happy to note we have hit that mark, but with next to no debt. So, I am happy that we have been able to deliver on the promise made to you four years ago, right after COVID, once we recovered. Mrs. Vanita Mohan has stepped down as an active role from PRICOL , and I have taken over as the Chairman of the company. She goes on to become the chairperson of PRICOL Holdings.
Rangan V: Okay, thanks. I don't have anything, because I think I am also satisfied with the work you are doing. Thanks.
Vikram Mohan: Okay. I know you may have another question which I will forward answer, Mr. Rangan, because this is your favorite topic. So, I will take the liberty of my old friend that I have known you for 14-15 years. So, I am going to take the liberty of giving you a third answer also. As for our dividend policy, we were eligible for paying out a higher dividend this year after the interim dividend. But as a matter of caution, our entire Board met and deliberated

on this subject
yesterday. And we believed that, having already declared an interim Golden Jubilee dividend of 200%, we felt it was good to conserve cash, knowing fully well that with all the amount of capital investments and the headwinds ahead of us, it was important to conserve cash. So, this is something that we took a conscious call yesterday. We had the subject of the dividend, and the entire Board , including myself, recommended that we retain it at a 200% dividend for the
FY26, see the performance for the next six months, and then take a call on that subject. I know you probably were intending to ask that question, because that's your favorite subject. So, I thought I will preempt and answer that for the benefit of other investors also.
Rangan V: Yes, very nice. Actually, what you have done is a very extraordinary thing. I know that you have done always nothing to be accomplished now. I am very happy about that. Thank you, sir.
Moderator: Thank you. The next question is from the line of Hitesh Go el from Aurigin Capital. Please go ahead.
Hitesh Go el: Sir, can you tell us what was the exports in FY26? And you have talked about exports being 20% of revenue, right? So, when can we achieve that?
Vikram Mohan: No. Let me clarify. Our desire was exports to be 20% of revenue, and I have always maintained in my earlier call, so that is one area where we failed to deliver. And our goal is to take it to 10% of revenue in the coming years. And as we speak, it stands at around 7% of revenue.
Hitesh Go el: Thank you, sir. Thank you.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Net worth Capital. Please go ahead.
Sahil Sanghvi: Thank you for the opportunity again. My question is, can you please give us details on the progress of your MOU with BOE Varitronix and also with Domino and the timelines, please, of
commencement of commercial sales?
Vikram Mohan: With BOE, work has already commenced internally on doing the backlight module. Work is under progress on the equipment and the machinery and the buildings, and we will be commencing in about 10 to 12 months' production. With Domino, more like 18 months to 24 months is where we will be ready, and the early stages of revenue will start trickling in, right?
With regard to TYW, it's a technological partnership where we are using their select technologies to develop products for our existing custom ers.
Sahil Sanghvi: Just to follow up, if I may, on the Vari troni x, right?
Management: That's BOE.
Sahil Sanghvi: BOE, yes. If I may, so what kind of contracts or what kind of revenue estimates? I mean, if you can give some direction, not the number, but maybe some order book that you have or some visibility.
Vikram Mohan: It's not going to be adding any incremental revenue. It's only a backward integration that's going to strengthen our product offering.
Sahil Sanghvi: Understood. Thank you.
Moderator: Thank you. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.
Ashwin Patil: Yes, thanks for taking my question, sir. My question is regarding the AC FMS business which we had guided for a 30 %-35% kind of growth in the last call. So, are we still maintaining that particular outlook? And what would be the outlook for this particular business going forward, sir?
Vikram Mohan: We are working towards 30% growth and particularly with a focus on exports. But the headwinds since the last two, three months, I am not sure we will be able to meet those
numbers because the rupee is on a freefall, the crude oil prices have gone for a toss. So, like I said, I wish I were Nostradamus, but I think we need to wait till September to see when the

world economy is going to come back to some degree of normalcy before we hit that strike.
Under normal conditions, we should have hit a 30% growth rate year- on-year.
Ashwin Patil: So, what is our growth rate for this y

ear then till now? If less than 30%, then how much is the
number, sir?
Vikram Mohan: How much is the number for FY26?
Ashwin Patil: Yes.
Vikram Mohan: I would request Ganesh, our CEO and ED to answer that, please.
P. M Ganesh: FY26, we have achieved a 30% growth rate. Going forward, as our Chairman and Managing Director said, it is a little difficult for us to predict. Maybe after September, we can have a better answer in this.
Ashwin Patil: Okay, so for FY26, it's close to 30%.
P. M Ganesh: That's right.
Ashwin Patil: Okay, sir. Thank you so much.
Moderator: Thank you. Next question is from the line of Preet Pilani from Incred AMC. Please go ahead.
Preet Pilani: Thank you for the opportunity. I just wanted to ask one bookkeeping question. What was our revenue from P3L for this quarter along with the ir margin? And also, if you could mention the revenue of non -brakes in AC FMS segment for the entire year?
Vikram Mohan: I will not be able to give you exactly for this break for the year as it's still a latent state. P3L, Priya n, can you just comment about for the year, how much turnover we closed at?
Priyadarsi Bastia: For the year, P3L generated revenue of INR 924 crores with EBITDA of 9.24%.
Vikram Moham: But part of this involved a business that had to be transferred back to TVS , which we have also completed the transfer as of February. So, that segment of business of about INR 65 crores will not continue. That was not a polymer business. That was a foaming business which we operated on contract.
Preet Pilani: And on non- brake side in ACFMS segment, non -brakes ?
Vikram Mohan: Bulk of the revenue, 96 %-97% of the revenue comes from non -brakes . Overall, this year, it's about INR 750 crores.
Preet Pilani: Thank you, sir. And one last thing on raw material side. You mentioned that raw material…
Vikram Mohan: Preet, I request you to join the queue, please. That's the protocol we have been following.
Moderator: Thank you, sir. The next question is from the line of V ansh Modi from Swan Investments. Please go ahead.
Vansh Modi: Hi. Thank you for the opportunity and congrats on a great set of numbers. I would just like to request if you could share the segmental numbers in the information cluster segment between the vehicle segments that is.
Vikram Mohan: Please get in touch with our CFO and whatever non- competitive data we will be happy to provide.
Vansh Modi: Okay. Thank you, sir. I will join back in the queue.
Moderator: Thank you. Next question is from the line of Shubham Batra from Ambit AMC. Please go ahead.
Shubham Batra: Hi there. Thanks for taking my question. Congratulations on a strong set of numbers. Sir, just a bookkeeping question. In your standalone books, your other expenses have shot up by 32% on a quarter -on-quarter basis.
Vikram Mohan: Slow, Shubham Batra. Little slow. We're not able to understand you.
Shubham Batra: Sir, in your standalone books, your other expenses have shot up by 32% on a quarter -on-quarter basis. Any particular one- off that you want to call off?
Vikram Mohan: I will request our CFO to answer that, please.
Priyadarsi Bastia: Shubham, the expense, if you compare quarter -on-quarter, yes, it has gone up. Two items which are contributing to that. One is FOREX , which has gone up to INR 95. And the other one is the freight, because the freight cost is in line with the revenue increase. But these two are contributing to the increase.
Vansh Modi: Got it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Aman Agrawal from Carnelian . Please go ahead.
Aman Agrawal: Sir, thank you for the follow -up. My question was on P3L, basically. So, if I see last quarter basis, the number which our CFO Sir gave, we made 11% kind of EBITDA margins in P3L. So, like, can you guide, like, is this something sustainable or do we expect margin to revert back to 10 %- 10.5% kin

d of margins in this business, basically?
Vikram Mohan: That's an interesting question and that's a strategic call that I have taken also as chairman of that board. That we will start forwarding, forward investing in P3L in line with PR ICOL's strategy of investing in technology. So, we are setting up a center of excellence in polymer technology. So, we will be forward investing in that. And also for the new plants that are coming up, we will be forward recruiting of personnel to commission those plants. So, there will be a softening of margins over two years before the benefits of all of this start kicking in. So, we will go back to normalized margins of 10% or so and then kick back up going back.
Aman Agrawal: Got it. Thank you, sir. And if I can squeeze in one more question, sir. Are we looking to get any more M&As, basically? Like, we had talked about more deals maybe in plastic division. So, is

there anything we are evaluating and, like, anything we want to close?
Vikram Mohan: Yes, we are but cautiously. Under the current headwinds, we are being very cautious about capital investments. And unless the quality of asset is top class with a good set of customers, with a good balance sheet, with a good management team, and backed by good manufacturing facilities, and coming with a decent ROI, we are being very selective. In fact, we had a ver y long discussion at the Board meeting yesterday on the various assets that we are considering. And we have taken some calls. And a ctually, active negotiations and due diligence is in progress. That's all I can say at this time.
Aman Agrawal: And, sir, this is on mainly plastic side or some other business segment?
Vikram Mohan: We are evaluating multiple opportunities.
Aman Agrawal: Okay. Thank you, sir. Thank you for answering my question. All the best.
Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.
Kush Nahar : Based on the content per vehicle, so what is it today and considering the new products in the pipeline that we have across this segment, how do we see it panning out over the next three to five years?
Vikram Mohan: It's very difficult to answer that question, Mr. N ahar, because you have a INR 4,000 cluster in a TATA car. And then you have a INR 30,000 cluster in a TVS BMW or a BMW motorbike. Or you have a INR 1,000 cluster and then you have INR 3,000 of plastics and INR 1,000 odd of FPM. So, I think a broad- based question like that based on the CC of the vehicle or the OEM is very difficult to answer.
Kush Nahar : So, but directionally considering the profile, do we think and considering the TFT mix that is changing, maybe we can double or 1.5 x to 2x our realization in terms of content per vehicle?
Vikram Mohan: For example, we opened our account with Honda on clusters, on pumps and on plastics, right? Now, so our content for vehicles from literally very low and Honda is going to go up very high. TVS, we are already very high , and we are now de- risking by working on other customers. So, yes, our intent is with about 10 strategic customers to keep increasing our wallet share so that we are at least 50% higher than what we are today in the next three years.
Kush Nahar : Right, sir. So, just if I can add one more question, what will be the CAPEX figure for the next three years?
Vikram Mohan: That is a good question and in fact, I was wanting to use that as my closing note. I am happy to inform you that we have a very, very healthy pipeline of new business, both domestic and international across all our divisions. Be it for ACFMS or polymer or for D ICVS, we are starting our next major cycle of CAPEX this year as our previous cycle of CAPEX has come to an end and our capacity utilization has reached a peak. In fact, so much so that in plastics, we are unable to grow this year because of lack of capacity, which is why you see the R

OCE at a very high figure compared to what I had given guidance for because of sweating the capital assets. So, we are starting a major cycle of CAPEX . In fact, this year, in itself, we have planned for about between INR 680 crore to INR 700 crores of CAPEX to cater to all of our new businesses that we have won, new plants, new machines, so on and so forth, which will keep propelling us forward and to maintain this growth momentum. So, there will be some amount of debt, as I mentioned, but a very healthy amount of debt. I am always very conservative when it comes to debt. A lot of our investors keep telling us that I am a little risk- averse, but I prefer to remain that way. So, we will have a debt -equity ratio of probably about 0.5 or 0.6, not even hitting 1, and that is how we plan to operate.
Kush Nahar : Right, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments.
Vikram Mohan: I would like to thank everyone for participating and for some great questions. I am sorry I could not give a clear answer, especially with regard to the growth, because it has affected macroeconomic factors, geopolitical factors over which we have no contr ol. But the management will leave no stone unturned to recover all costs possible and control all costs possible to maintain earnings. But having said that, there will be some softening of earnings. This is the voice of not just PRICOL , but t he voice of the industry, and this is going to be a short - term pain, and we just hope and pray that this entire geopolitical mess comes to an end sooner rather than later, and all of us can focus on strategically growing the business for the mid- to- long term. We stay committed to our mid -to-long term projections, our investments, and our recommitment to technology, and in the polymer business, we are going to be investing in technology and converting it from a component maker to a value- added polymer player , and we do hope that those will also pay dividends, like in our other divisions in the years to come. Thank you very much for your confidence in the company, and I look forward to connecting with you on the H1 call six months from now. Thank you. Good evening. Namaskar.
Moderator: Thank you very much, sir. On behalf of PRICOL Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank you.